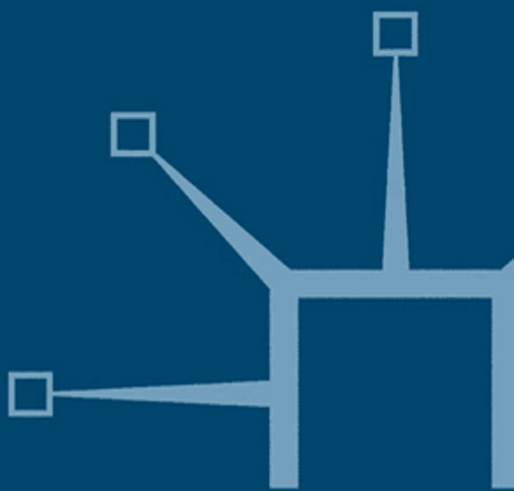


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Customer Loyalty and Success

James J. Lynch



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For Christine

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Preface

Few can doubt that there is a positive relationship between customer loyalty and profitability. Ford Motors estimates that in the United States each one point gain in car owner loyalty is worth \$100 million in profit. Whatever the precise figures, keeping an existing customer is normally much less expensive than attracting a new one. Estimates vary from a cost advantage of from five to twenty times depending on the industry.

Why, therefore, do companies lose customers? Not just the awkward few that a company is glad to see the back of, but the many on whom the organisation has lavished time and energy; what makes them 'disloyal'? In searching for the answer across a spectrum of industries in a variety of countries, I have discerned a number of trends which, I believe, provide the answers. My search has caused me to rethink the two main strands of my career – manpower planning and customer care.

Almost thirty years have passed since I wrote *Making Manpower Effective* – an early guide to manpower planning and human resource management. This focused on ways of making the best use of people within an organisation; it ignored that most vital resource – the customer. Subsequently, in airlines, financial services and other industries, I have been preoccupied with training and consultancy on customer care. But despite positive improvements in service, I have shared with others concern as to the durability of enhanced standards of quality and care. Just as in the pioneering of human resource management the customer was overlooked as a resource, so too in customer care programmes the changing role of the consumer has been overlooked. People no longer want to be the passive recipients of whatever a provider decides to offer. They want to be involved in the processes which will result in the satisfying of their needs.

Companies are finding that the 'zero-defects' philosophy of the gurus of Total Quality Management may be applicable to products, but not to services. In hotels, airlines, banks and other industries, there is ample evidence that customers who have had problems which have been solved are more loyal

than those who have not experienced a problem. Why should this be?

In seeking an answer I have researched a score of industries from nappy-makers to airlines, from banks to video rental. From this and other experiences have emerged what I hope are findings which will provide new insights on how to win success by keeping customers loyal.

The first lesson is to keep in mind that tomorrow's customers will come, in the main, from those you have today, if they are satisfied. This theme runs through Chapter 1 which looks back at the evolution of provider-customer relationships and considers the forces shaping customer loyalty today and in the future. At the end of the chapter the process of redefining the customer begins, giving rise to the concepts of the customer in the roles of:

- Carer
- Resource
- Change-driver
- Experience-shaper

Chapter 2 looks at where marketing is going with a particular focus on databased marketing in a dozen industries. The comparative merits of old and new customer retention practices are analysed as part of a review of the essentials of retention management. To enable customers to play their new roles successfully it is necessary to develop a culture which sustains a company's loyalty advantage over its competitors. Ways of creating such a loyalty inducing environment are described in Chapter 3. Particular attention is given to managing changing customer relationships; designing a strategy blueprint for sustaining loyalty advantage forms the core of this chapter. Guidance is given on developing a customer retention cycle which mirrors the more traditional product cycle in business planning.

However, techniques alone will not keep customers loyal. Account has to be taken of other dimensions – economic, psychological and ethical. How best to do this is shown in Chapter 4 which lists an A to Z of retention reinforcers which relate to each of the three dimensions.

There is, moreover, one significant new technique for improving customer loyalty in any business – Customer Input Management (CIM). Chapter 5 covers this novel methodology which, by intertwining marketing and human resource management, brings the customer into the centre of business planning and operations.

Having laid a solid foundation of analyses, techniques and insights in the first five chapters, the next four focus on the new customer roles associated with loyalty and success. Each reveals the extra attributes which will distinguish the successful business from the also-ran, hence the chapter headings: 6, Not just Caring but Sharing; 7, Not just Receiving but Resourcing; 8, Not just Value Seeking but Values Searching; 9, Not just Shopping but Shaping.

Finally, Chapter 10 concentrates on the secret of any successful relationship – symbiosis, that sense of real interdependency which underlies marriages, partnerships and other interpersonal relationships which depend on loyalty for their success.

Each chapter draws on real life examples of companies who are trail blazers in customer retention. However, to keep ahead in any business it is necessary not simply to emulate others, no matter how innovative, but to break new ground. This book is, therefore well sprinkled with speculations and suggestions to stimulate new thinking and creative action which will enable you to achieve levels of customer loyalty which will set the pace for your industry as it enters a new era; one in which the customer is at the epicentre of business success.

JAMES J. LYNCH

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1 Tomorrow's Customer is Today's

INTRODUCTION

Tomorrow's customers are those you serve today. Whether or not they remain *your* customers depends on your effectiveness in combating the major threat to business success – consumer promiscuity. Unlike its other forms this type of promiscuous behaviour is not a matter of morals but of economics. However, shopping around can be almost as socially damaging as sleeping around. Resources are wasted, effort needlessly expended, costs kept high because of an inability to nurture and sustain customer loyalty. This inability stems in part from a lack of recognition of the need to redefine outmoded concepts of what customer loyalty means. Just as attempts to impose outmoded solutions based on traditional gender roles to problems in dual career partnerships are doomed to failure, so too are traditional approaches to customer retention. While there will still be a place for marketing ploys with short-term impact, long-term market leadership will go to those who can espy the difference between a sea breeze and a sea change sooner than their competitors.

This book provides a compass, navigational maps and a barometer for those seeking to venture into relatively uncharted waters. The 'customer compass' has as its four points, the customer as:

1. Carer
2. Resource
3. Change-driver
4. Experience-shaper

The navigational maps form a canvas on which a business can chart its desired position strategically and embark on the most successful route for securing customer loyalty. The barometer of consumer values provides forewarnings of shifts in

consumer preferences and behaviour which will call for continuous fine tuning of day-to-day business plans.

Before examining these tools it is necessary to review where we have come from on the long march of customer progress which has shaped our consumerist society.

A HISTORY OF CUSTOMER LOYALTY

In any history of consumerism, the customer as a free choice purchaser of goods and services is a relatively recent phenomenon. At the start of the first millennium there were, throughout much of the civilised world, only masters and slaves. While masters had freedom of choice in the market, slaves had to make do with what they were given. The 'provider-customer' relationship, so to speak, was one of total dependence on the wishes and whims of the all-powerful master. Fear lay at the core of the relationship; it was a time of slavish loyalty.

For the next 1000 years consumer choice remained severely restricted. Slaves gave way to serfs who, provided they met their feudal dues, were permitted to barter what they could spare from their work on the land and at the loom. Much dependent for most essentials and, indeed, life itself on their lords and masters, the customer-serf was enforced to display homage and fealty. The public oath of loyalty to his feudal lord was the main means available to the vassal of filling the larder.

By the sixteenth century three sets of circumstances came together to create the first customer revolution. Barter was supplanted by trade based on money as discoveries in the New World and Asia greatly extended the range of goods available in the market-places of Europe. Improved agricultural methods gave rise to a growing middle class and agrarian workers rather than serfs. Above all, the Reformation changed the concept of 'work' from a source of punishment for the fall from grace in Eden to a means of achieving eternal grace. The 'work ethic' had arrived; so too had a sense of changing loyalties. Hitherto, dependent on fear or force, loyalty came to be seen as a sharing of values, allegiance to a cause, fidelity to a faith. Although the concept widened, fear and force still acted as enforcers.

A second customer revolution had taken place by around 1800. It began with the spread of imperial companies such as East India and Hudson Bay; it ended with the fall of the aristocracy in France and the rise of democracy in the USA. Political and commercial freedom made happy bed-fellows, fostering the growth of industry and creating the 'customer' as a distinctive role. However, for many workers employed by ruthless factory owners it was a very limited role, confined to forced choice and prolonged indebtedness to the company store. Loyalty as an employee and as a customer were painfully interlinked. Even the freer workers found consumer choice severely restricted by geography and lack of transport. For the first but not the last time complacent retailers would mistake 'customer inertia' for 'customer loyalty'.

Between the mid-nineteenth and twentieth centuries technology and political reform leapt forward cradling in their entwined hands a new being – consumerism. Products of ever increasing inventiveness rolled off assembly lines – geography was mastered by transport and telecommunications. Customers in Western economies found themselves in the 1950s rich in choice and affluent in pocket. They had survived a time of war during which ration schemes enforced steadfastness. But constancy which is based wholly on possession of a ration book is like fidelity determined solely by the existence of a marriage licence: it will not last. And so began the age of consumer promiscuity.

From the mid-1950s to the early 1960s the dam of post-war scarcity burst, flooding the mass markets of North America and Europe. Customers were indiscriminate in seeking to quench their thirst for goods and services; producers were indiscriminate in the quality of their supplies. In most countries it was still a seller's market. This changed with overproduction in the 1970s stemming in part from the expanding industries of Japan and South-East Asia. The progressively extending choice which had marked the provider–customer relationship since the turn of the century with the growth of department stores, mail order and supermarkets, exploded into a kaleidoscope of diverse purchasing opportunities. New patterns of consumption were shaped and reshaped with the rise of shopping malls, the spread of television advertising, the growth of consumer interest groups.

Competitive pressures caused a heightening of customers' expectations; technological advances accelerated service delivery; economic forces contained price differentials. By the 1980s, quality of product became a primary means for securing customer loyalty, by the 1990s the focus had moved to customer care. As will be seen later in this book, a range of devices for attracting and retaining customers are now deployed by all types of industries, from airlines to banks, from food manufacturers to utilities.

In the evolution of the customer as depicted in Digest 1.1, customer power has gradually supplanted monopoly power as a shaper of markets. Freedom of choice for the consumer is buttressed by international treaties and customer charters. Customer service has become one of the triplets of competitiveness, nudging aside its siblings, price and quality.

FORCES SHAPING CUSTOMER LOYALTY

As our society perches on the cusp of the second and third millennia more complex changes in customer relationships are emerging due in part to advances in information technology. These and other forces are transforming traditional concepts of the roles of manufacturers, service providers and their customers. The producer of goods and services is evolving into a 'needs satisfaction facilitator', striving to appeal to and satisfy the psychological and spiritual, as well as the physical and economic needs of customers. Operating increasingly through international networks of high flexibility, the satisfaction-facilitators and seekers are forming symbiotic relationships in which their mutual loyalty is acknowledged and nurtured. A new customer revolution is in the offing. It is being shaped by a variety of forces, each of which impinges on customer loyalty and success. The most powerful and prevailing of these are summarised in Digest 1.2.

There is a confluence of five streams of change carrying forward customer needs, aspirations and expectations:

1. Demographics
2. Economics
3. Technology
4. Ecology
5. Sociology

Digest 1.1 The evolution of provider–customer relationships

<i>Provider</i>	<i>Customer</i>	<i>Type of relationship</i>
Master	Slave	Total dependence on provider to meet all material needs. No choice in selection of goods.
Nobleman	Serf	Almost total dependence on provider, but able to meet some needs through barter. Very limited choice.
Landowner	Peasant	High dependence on provider for accommodation, but limited ability to barter or buy and sell at local market. Restricted choice.
Factory owner	Industrial worker	Either forced choice purchases at company store or restricted choice at local shops.
Local shop/market	Local shopper	Choice limited by income and location.
Department store	Discretionary purchaser	Extended choice, but required residence in, or visit to, a city. Initially biased towards luxury or discretionary purchases.
Mail order	Catalogue shopper/ discretionary purchaser	Extended choice though limited to catalogue contents. An alternative to local shopping with no location constraints.

Digest 1.1 Cont.

<i>Provider</i>	<i>Customer</i>	<i>Type of relationship</i>
Supermarket	Shopper/ discretionary purchaser	Multichoice with bias towards essential purchases extending to discretionary. High dependence on brands, own brands and mass markets.
TV retailing	Home-based discretionary purchaser	Complete freedom of choice, limited by credit rating.
Information highways	Electronic shopper/ discretionary purchaser	Freedom to purchase goods and services from virtually any part of the world.
Needs – satisfaction facilitator network	Satisfaction-seeker	Partnership of provider and customer to provide mutual satisfaction of virtually every need – physical, psychic and spiritual.

The demographic structure of nations is changing, not simply in terms of the growth of populations but in their composition. Across the globe the proportion of people over 65 is rapidly increasing. In the European Union members of 1994 it is predicted to increase on average from under 10 per cent to just over 20 per cent by 2020; Britain will by then have almost 30 per cent of its population beyond retirement age. Of greater significance in terms of purchasing power will be the superold over 80 who will be, in many cases, customers by proxy. Another important demographic trend is the restructuring of the family. The number of births outside marriage reached almost one-third of all births in Britain by

Digest 1.2 Forces shaping customer loyalty

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
<i>Demographics</i>			
Increasing proportion of old and superold	Limited physical mobility Increased nostalgia Rejuvenation seeking Increasing influence of carers Heightened mental and physical vulnerability	Customers living longer Tendency to stay with the known Appealing to psychic age Carers can reinforce bonding Trust a key factor in purchasing decisions	Loss of house-bound customers Resistance to updating Fear of projecting wrong image Carers override cared preferences Changed values perceived as lower values
Spread of ethnic diversity	Cosmopolitan tastes Transethnic appeal of products Ethnic mutation Cultural sensitivity	Willingness to accept the new Enhanced benefits of ethnic mixing Blending of compatible though diverse features Provision of a culturally comfortable bolthole	Rejection of overt chauvinism Lack of focused identity Hotchpotch repels Inability to adapt to culture change

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
<i>Economics</i>			
Changing work patterns	Move from single career to multicareer Dual earners replace single bread-winner Highly variable work scheduling	Discontinuity in earning power can be offset by long-term purchase planning Goods and services compensate for less time with family Continuous provision of goods and services	Sudden changes in financial circumstances can lead to default Joint purchase decisions replace traditional male/female dominated buying Restricted opening hours no longer acceptable
Growth of global industries	Wider choice of goods and services Harmonisation of duty reduces price differential Greater ethnic diversity of sales staff	Growth of local/global brands Greater diversity of unique selling points Increased appeal of exotica	Dwindling of appeal to xenophobia Obsolescence of traditional unique selling points Danger of culture clash between buyers and sellers
Widening income differentials	More exclusivity for rich More low-cost products and services	Appeal of unique/special products and services Increasing demand for 'no frills'	Acceleration of spread of fads Decline of conspicuous consumption

Digest 1.2 Cont.

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
Heightening sophistication of the young	Rise of pre-teen and teenage consumerism Spread of technophilia Maturity acceleration seeking	Capturing hearts and minds of customers in their formative years Attractiveness of technology based bonds Evolutionary approach to customer bonding	Vagaries of youth Swift obsolescence of 'state of the art' products Concern misinterpreted as condescension
Restructuring of the family	'New Family' purchasing Family identification through products/services Home-based security	Forging 'new family' links Ability to adjust to family changes Premium for discretion	Disenchantment by one member can jeopardise relationship Adverse effects of family break-ups Telephone contact weakens bonding
Changing gender purchasing power balance	Increasing female influence in traditionally male markets New roles require new products/services Growth of unisex and varisex products/services	Reinforcing links with 'new woman'/'new man' Positive reinforcement of new self-image Avoidance of judgemental approach to the bizarre	Sexist-based relationships rejected Reinforcement of negative or fragile self-image Inability to accept the unusual

Digest 1.2 Cont.

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
Products as services and vice versa	Preference for broad needs satisfaction Growth of multiservice organisations	Growth of 'one-stop' businesses Service from cradle to grave	Products without service back-up not acceptable Redundancy of inflexibility
Increasing economic volatility	Booms and slumps increase customer anxiety Customer power will wax and wane	Anxiety reduction is major selling point Consistency of treatment will be prized	Perceived anxiety raisers will have multiplier effect Unscrupulous competitors will reduce standards of quality and behaviour
<i>Technology</i>			
Increasingly sophisticated communications	Instant access to ordering products/services Home shopping will move from gimmick to mainstream Multimedia retailing	Telefriendly systems will be major competitive weapon Increasing range of products and services available New product-service linkages	Technophobia will repel some customers House/nursing home bound will turn to TV shopping Shunning of unsophisticated retailing

Digest 1.2 Cont.

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
The spread of biogenetic products and services	Widening range of health foods/services Growth of 'pharmafoods' Spread of 'healthy vices'	Physical and psychic bonding Legalised addiction Life threatening substance and alcohol abuse replaced by 'healthy' alternatives	Traditional health care becoming outmoded Dangerous addiction used by unethical competitors 'Bootlegging' of traditional dangerous products
Rebirth of old technologies, e.g. water supply, clean air	Willingness to buy traditionally 'free' essentials	Provision of the 'pure'	Perceived 'impure' products evoke magnified negative response
<i>Ecology</i>			
Enhanced environmental sensitivity	Increasing appeal of the ecologically friendly product/service – at a price Distribution systems can be as important as product/service Anti-hazard products for active young and inactive old	Genuine ecological concern attracts Attention to environmental impact of warehousing, etc. important Avoidance of danger greatly enhances product/service appeal	Phoney ecological concern repels 'Blots on landscape' reduce product appeal Avoidable accidents have magnified negative impact

Digest 1.2 Cont.

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
Human/nature balance	Holistic purchasing Total life products which are non-exploitative of animals/environments	Holistic products/services have high synergistic appeal 'Caring' products/services have enhanced appeal	Loss of attraction of individual products which could be interlinked holistically. Adverse reaction to products/services perceived as exploitative
Spread of recycling	Disposability influences purchasability Recoverability of materials influences purchasability	'Second chance' product appeal Products made from highly recoverable materials (e.g. aluminium) have enhanced appeal	Disposal problems reduce product appeal Products made from low recoverability materials (e.g. plastic) increasingly rejected
<i>Sociology</i>			
New age lifestyles	Seeking an extra dimension in products/services Search for life-enhancing products/services	Appeal of the ethereal and ephemeral Appeal to psychic and moral needs	Rejection of the old fashioned Appeal to economic needs no longer sufficient

Digest 1.2 Cont.

<i>Force of change</i>	<i>Impact on customer behaviour</i>	<i>Opportunities for enhancing customer loyalty</i>	<i>Threats to existing customer loyalty</i>
New morality	More overt multivariated sexual preferences Greater propensity to behave unethically	Appeal of taboo Use ethical behaviour as a bonding instrument	Traditional customers frightened off by the non-conforming
New values	Products/services as basis of self-identity Multivariated 'added value' built into products/services Moral dimension a key factor in purchasing decisions	Reinforcement of positive self-image Increase product/service attractiveness by appealing to wide range of values Moral dimension is articulated and well publicised	Reinforcement of negative self-image Restricted 'added value' will dissuade potential customers Moral dimension is ignored

the mid-1990s and will continue its upward trend into the new millennium. As a consequence, the number of customers who are lone parent families will exceed the 10 per cent of all British households which it reached in 1992. Similar changes will occur throughout the United States and Europe.

The economic scene will continue to be scarred by high levels of unemployment. The European Commission estimated Europe's unemployed at 17 million in the mid-1990s and rising. One result is that for many adults and even more teenagers, their principal economic role is that of consumer rather than producer. Playing that role will become a full-time occupation. New patterns of world trade are emerging, shaped by the trading blocs of the enlarged European Union, the General Agreement on Tariffs and Trade (GATT), the North American Free Trade Agreement (NAFTA) and similar geoeconomic groupings. These will widen customer choice, not simply for goods but for services. New strains and stresses will be placed on traditional customer loyalties.

Technology will transform concepts and reality in matters of customer loyalty and care. In such fields as genetics, nanotechnology and information highways, customers will have available a new range of products and services providing they are willing to acquire the necessary competences to avail themselves of undreamt of capabilities, in the real world and in cyberspace. In many markets the gap between the haves and the have-nots will be determined almost as much by technical competence as by disposable income.

Ecology will loom large in customer perceptions and preferences if not always in actual expenditure. Green consumerism, like green political parties, will be subsumed into mainstream consumer behaviour. An enhanced sense of history (stimulated in part by neotribalism) will transform 'inheritance' from a concept into a product; one to be nurtured and protected.

Sociology is a label which covers a plethora of human activities from lifestyles to leisure preferences. Social instability arising in part from endemic unemployment and culture clashes will distort traditional moral values and pose new threats to customer loyalty and success.

All of these forces are shaping markets. Each influences the transformation of today's customer into tomorrow's.

Individually, people will not change so much in appearance as in behaviour. This change will be particularly noticeable in their behaviour as consumers.

REDEFINING THE CUSTOMER

Peering into 2001 there are four new forms of customer relationship in the making:

1. The customer as carer
2. The customer as a resource
3. The customer as change-driver
4. The customer as experience-shaper

In each case the customer will be playing a more contributive and proactive role than the traditional 'consumer'. Those companies who seek to sustain customer loyalty must now prepare the setting, script and props which will enable the customers to play their desired role.

1. *The customer as carer* is a form of role reversal; a counter-point to misguided concepts of customer care which have been exploited by the unscrupulous 'mugger consumers' who have held up providers to ransom. If companies are to care for customers, customers need to care more about companies.
2. *The customer as a resource* shifts the customer from audience to centre stage as a means of production and delivery rather than recipient. Such a shift calls for a redefining of the concept of 'human resources'; techniques of selection, competence building, empowerment and other employee-focused tools need to be recalibrated for wider use.
3. *The customer as change-driver* reflects the power for social, moral and political change which can be exercised with more immediate effect at the check-out than at the ballot-box. Such power will be used to an increasing extent to influence employment policies, earnings differentials and even the destinies of global corporations.
4. *The customer as experience-shaper* moves the consumer from impulse buyer to lifestyle manager. Able to choose from a

kaleidoscope of values, resources, options and time-states, customers will shape their preferred pattern of experience. As in a kaleidoscope, though the contents may be constant, they can be continuously rebalanced and reshaped to meet the needs of the user.

New technologies, new business alliances and new thinking will fuel the changes which will propel customer loyalty into an era far beyond where it stands today. The remainder of this chapter explores more widely the new horizons which beckon.

THE CUSTOMER AS CARER

Customer coddling, if overdone, can produce hard-boiled people. Many customers have become inured to the cossetting they have received from companies who equate pampering with care. The result is that the overindulged exploit their position of power at the expense of the more responsible. Since the mid-1970s, customer power has been greatly reinforced by legislation, codes, charters, investigative media and, not least, enlightened management. Few would argue that much was needed, and much remains to be done, to safeguard and improve the interests of customers. But, as have other revolutions before it, the Customer Revolution of the latter part of the twentieth century has eaten at least some of its children.

As the century entered its second half, customers in Europe and the USA were suffering from post-war scarcity. Through rationing they had been conditioned to forced choice; still living with the memories of bitter conflict, the idea of rowing over the quality of a product or service verged on the obscene. The concept of a customer as little more than a 'compliant receptor' was all pervasive. Opening hours, methods of payment, range of products, availability of service were determined by the producer. Dissatisfied customers could concede their place in the queue to the less demanding. Banks decided when you could receive your cash, hotels specified when you could eat, airlines told you where to sit, manufacturers determined the colour of your car and when it would be delivered. The era of the subservient customer lasted until the mid-1960s. Then came two decades of boom and bust and with them an awareness of the need to attract and retain customers.

In little over ten years, during the 1980s, the mindset of customers in airlines, banks, supermarkets and other services changed from aspiring to satisfy their needs to demanding total needs satisfaction – now! Throughout the decade expectations were inflated to bursting point; irritations were magnified into erupting sores of grievance; gestures of goodwill were mangled into tortured acquiescence. In opening the floodgates on pent up inequity there sluiced forth the poison of exploitation together with the sweet waters of expiation. Less ethical than their forefathers, some customers sought to exploit every loophole in legislation, to manipulate complaints procedures, to take advantage of customer care policies. Unjustified complaints, the return of mutilated products, false claims for compensation, planned default of financial obligations became, for some customers, a way of life. To the rotten core of criminals was added an outer ring of 'twilight customers' operating on the darker side of business.

Adding to the encroachment of the twilight zone into reputable customer relationships have been the academically respectable vandalism of the so-called 'researcher' seeking to highlight customer care deficiencies, the 'provider harassment' of the investigative journalist, and the self-destructive use of 'mystery shoppers' gnawing at the bonds of trust which secure genuine customer care in an organisation.

With this miasma of negative behaviour by some customers, politicians, journalists and even 'customer care specialists', the voice of the responsible customer has been stilled. But it is being revived as it becomes apparent that the costs of attempting to satisfy exploitative customers are being borne by the responsible ones. In industries such as insurance, the law abiding customer is becoming aware of the additional cost resulting from false or exaggerated claims. At airports, patient passengers witness assertive ones being upgraded through bullying the check-in staff. In department stores customers with a genuine concern about the quality of a product find that product mutilation tends to get results quicker than explanation. Bank customers with a history of abiding by the rules find themselves treated no better than those who flaunt them; computers are no respecters of morality.

As a consequence, customers who care about their relationships with providers could become a dying breed. They need to be convinced that 'caring' is worthwhile. Ways of doing this are

many; they range from discounts for prompt payment to rewards for loyalty and 'hassle free' relationships. Traditional approaches to customer bonding can be added to by actions to eliminate 'customer contamination', stimulate 'life care' beyond the immediate needs, accentuate customer self-image. Above all, the transformation of the provider– customer relationship to one that is manifestly symbiotic or interdependent is essential to establishing new forms of mutuality. This is particularly so when we look at the customer as a resource.

THE CUSTOMER AS A RESOURCE

Self-reliance can be an overrated attribute; much depends on the quality of the self on which you are relying. None the less, the legacy of education, technology and social attributes which we have inherited makes us potentially the best equipped customers in history. This customer competence resource will be tapped into much more extensively in the future than in the past.

The role of the customer in many fields will shift from a marketing target to a provider resource. The trend began in the USA in the 1960s with the rise of the supermarket where customers serve themselves, but also check-out without human intervention. Similarly, with petrol stations, some of which in Scandinavia are permanently unmanned. This approach has been tarred with the label 'Servuction', which in no way increases its appeal, but highlights the production role of customers.

Using the customer as a resource will become more radical than the self-service/servuction practices of today. It will mean factoring into human resource planning the customer resource requirements in terms of:

- Type of service delivery
- Point of delivery
- Equipment involved
- Mode of delivery
- Opportunities for technology substitution
- Nature of technology substitution
- Desired outcomes

- Deadlines
- Competence mix required
- Hazards

Such an analysis will lead in turn to identifying customers, not only in terms of needs, location, disposable income, but also competences, education and potential for contributing to service delivery.

Such established human resource concepts as 'job families' and 'attrition' will have their counterparts in 'customer families' and 'customer loss analysis'. The aim will be to have:

- (a) the right *types* of customer competence;
- (b) of the right *levels*;
- (c) in the right *quantities*;
- (d) in the right *place*;
- (e) at the right *time*;
- (f) making the right *contribution*.

This approach will call for high levels of skill in attracting, training and motivating customers as a key resource. Approaches such as 'shared care', 'loyalty schemes', 'time-shaping' and others listed in Chapter 2, will be brought into play. In addition, 'Customer Competence Modelling' will become a useful technique for defining the desired mix and levels of competence required for enhancing both the contribution and satisfaction of customers in service delivery. Industry will look to medicine as a guide on how to use the customer as a resource, releasing 'doctors' and 'nurses' for more specialised tasks.

THE CUSTOMER AS CHANGE-DRIVER

Across the decades there are numerous examples of customers effecting social, political and economic change. Boycotts of produce from South Africa, demands that tuna fishing should not harm dolphins, support for shops to open on Sundays, are but a few examples of customers using market forces to bring about changes.

As environmental awareness increases and media reporting of mismanagement becomes instant, reactions of customers will impact far more swiftly on purchasing patterns. When there is little to choose between the quality and price of competitive products, customer choice will be based on the less tangible factors such as environmental friendliness and moral well-being.

Managing the 'Integrity Factor' will become a key issue in customer care. This will call for the carrying out of Integrity Audits and their publication. Shared values will become as important as brand loyalty in binding customers and producers. Whereas, hitherto, customer power has been harnessed at national level, in future there will be two countervailing trends. On the one hand, international alliances of consumer groups will increase; but there will also be an increase in local focus as customers seek to avoid any negative effects of neighbouring manufacturing, waste disposal and service activities which are perceived as reducing the quality of life.

Two emerging customer groups will be significant change-drivers – the elderly and the disabled. Both groups will increase in numbers, affluence (comparatively speaking) and political clout. Each will demand products, services and facilities which place them on a par, in terms of ease of use and accessibility, with the mainstream of customers. Other minority groups will demand majority treatment in the market-place. It needs to be remembered that the struggle for desegregation in the United States began as much on buses, in restaurants and stores as in State assemblies.

The era of the customer as change-driver is only beginning in some industries. Banking and finance in the UK provides abundant case studies on how not to respond to this new customer role; there are also a few examples of how to benefit from the change.

THE CUSTOMER AS EXPERIENCE-SHAPER

Effective experience management lies at the heart of traditional customer care; it will become of even greater importance in the future. Living consists of tiny experiences which we shape into a unique mosaic entitled 'My Life'.

Experiences fall into three main categories – physical, psychological and spiritual. Within each of these experiences we classify them as:

- Hedonic – pleasure giving
- Ordeals – involving pain and suffering
- Vicissitudes – changes of fortune
- Transcendental – involving intuition and/or the supernatural

Human beings, unless perverse, want experiences which are life-enhancing rather than life-diminishing, hence the importance of the 'delight factor' in traditional customer care. An experience is a phenomenon which is felt internally as a result of an event. The process of internalising varies between individuals; a visit to the theatre can enthrall one person and bore another. Much depends on the match between expectations and event; a visit to the dentist which is less painful than expected can be classified as a 'good experience', whereas a treat which does not measure up to expectations will be perceived as a 'bad experience'.

Success in the provision of products and services is largely determined by the extent to which they resulted in the customer having the desired experience or the degree to which the event transcended customer expectations. Few people want to be passive receptors of an experience; the term 'couch potato' is never used as a compliment. By and large, we like to exercise some control over events in which we are involved; we want to shape our experiences to make them more pleasurable or less painful.

The range of 'experience options' available to customers is ever increasing. Whereas in the past, experiences could only be felt in real time or passively witnessed, today through information technology we can:

- (a) Undergo the experience in real time.
- (b) Have a simulated experience at the time of our choosing.
- (c) Pay others to partake in events which provide undesired experiences.
- (d) Participate as interactive observers in an event.
- (e) Be passive observers.

Just as in medicine the discovery of anaesthetics drastically reduced the pain element in surgical operations, so in the future a combination of harm free drugs and information technology will enhance the pleasure element in experiences. However, more common than these mechanistic techniques will be the use of improved psychological insights into customer needs.

Time-shaping, by which service providers can influence customers' mindsets in different situations, will enable events to be structured in ways which convey a sense of 'just for you' (see James J. Lynch, *Time Shaping for Business Success*, London: Macmillan, 1995). As in the 1950s when producers of cake mixes discovered that housewives preferred those which required them to add an egg as distinct from no involvement in the baking, so too ways will be found to provide opportunities for customers to contribute to shaping the service delivery experience.

CONCLUSION

Tomorrow's customers are alive and well; the majority are active purchasers, an increasing number are being prepared for their role in the consumer society as they attend school, watch television, accompany parents on shopping expeditions. While many of the needs of customers remain constant over time as they adapt to different life stages, history shows that expectations and priorities change. So too do the bases of provider-customer relationships. Companies unable to respond to these changes fall by the wayside.

Customer recruitment is an ongoing task for those who seek to increase market share; but customer retention is the essential means for ensuring company success. Repeat business is usually a sign of customer satisfaction; it is certainly a means of curtailing costs without diluting quality. For this reason, businesses are continually on the search for schemes and devices to keep customers loyal. While we shall see that many of these have a contribution to make, success in terms of customer loyalty calls for more than gimmicks. It requires the understanding of the forces which are reshaping the concept

of the customer, the changing roles which customers will play, the basis on which loyalty will be sustained.

As with any aspect of business in which one strives for success, strategic thinking is essential. Our next step, therefore, is to begin to rethink the role of marketing.

2 Moving beyond Marketing

INTRODUCTION

It is claimed that on one of his regular visits to Annabel's, the London nightclub, Frank Sinatra admired an expensive painting and sought to buy it, but was told it was not for sale. Upon hearing later of Sinatra's interest the club owner ordered that the singer be given the painting as a gift. This illustrates the fundamentals of achieving customer loyalty: it costs money; the more personal the action is the better; it should be focused on customers worth keeping; it should convey a genuine interest in customer satisfaction.

Transforming a one-to-one relationship to mass markets calls for new thinking, new technology and substantial investment. In a sense the provider–customer relationship has moved from corner-shop friendship to computer-based intimacy. The blunderbuss approach of media advertising is being replaced with the laser beam accuracy of databased marketing.

DATABASED MARKETING

Databased marketing comes in a variety of guises:

- Direct
- Relationship
- One-to-one

Whatever the label, it uses information about customers to establish an emotional as well as a consuming linkage. By influencing attitudes, plugging into values, shaping behaviour, marketing strives to achieve customer loyalty and, through repeat business, secure company success.

The market segmentation of the 1960s through to the 1980s, which classified mass markets by income and social criteria, is giving way to precision marketing in the 1990s. As services and manufacturers combine, new sources of customer

data and new opportunities for using it are constantly emerging.

The alliance of service providers and manufacturers began in the early 1990s when the latter realised that direct merchandising such as mail order, book clubs and, above all, credit card companies, possessed more customer information than just the names and addresses essential to their businesses of servicing subscribers and account holders. By appealing to a 'club membership' mentality a range of mail-based companies have been able to elicit from customers details of lifestyles as well as product preferences. Credit card companies in particular have drawn on the obligation vacuum created by indebtedness to build up customer profiles of greater detail and accuracy than any census gatherer since Mary and Joseph were compelled by King Herod to travel to Bethlehem.

The fortunes of Mastercard, Visa, American Express and others have become swollen, not simply by the interest paid *by* cardholders, but by the interest *in* cardholders shown by others. Thus by linking with MasterCard in 1992 General Motors Corporation established a database in excess of 12 million holders of the GM card in the USA. Other automobile manufacturers have made similar alliances across the globe. A new era of marketing has dawned.

THE DYNAMICS OF DATABASED MARKETING

Later in the book we shall see that among the factors influencing customer loyalty are:

- (a) The length of the cycle of customer relationship
- (b) The customer mix
- (c) Geographic spread
- (d) Opportunities for customer inputs

When it comes to databased marketing there are additional dynamics to be considered:

- (a) Frequency of purchase
- (b) Purchasing mindset

- (c) The balance of economic, psychological and ethical pressures

These dynamics vary in relative importance between industries. The examples in Digest 2.1 have been selected to demonstrate these differences. By considering the examples we shall identify the main opportunities and pitfalls facing any business which seeks to reinforce customer loyalty solely through marketing. For ease of illustration the industries are listed in alphabetical order, and attention is focused on only key issues.

Airlines seek to retain their most profitable customers: business executives paying premium fares. Like all airline passengers, business travellers seek safety although this may not figure high on surveys of customer needs. Few executives are as honest as the business tycoon who, when asked why he was willing to pay such a high fare for flying on Concorde, replied: 'When I cross the Atlantic by jumbo jet I'm scared for six hours, on Concorde I'm scared only for three.' The cycles of customer relationships on airlines are short but intense. For business travellers, reliability of departure and arrival times, flexibility in scheduling, opportunity to use their travel time efficiently, minimal hassle at airports, a seamless linkage of air travel with car hire and hotel accommodation are all important retention factors. Marketing has to focus on guaranteeing these features. Business customers segment themselves into first class, business class and full paying economy. The marketing strategy of airlines is to encourage an upgrading from economy and the disappearance of first class except on long haul, because of the costs of sustaining a first-class differentiation.

Since the appeal of air transport is speed of arrival and since all passengers on a particular aircraft arrive simultaneously, it is difficult to justify premium fares purely on economic grounds. For this reason, retention has focused on the use of the psychological dimension, creating a sense of special treatment and a boosting of self-esteem as the lure to entrap the business passenger. However, there is a limit to how much even the most affluent will pay for the ephemeral. Hence the popularity of frequent flyer programmes which provided the executive with 'free travel' for personal use. The spread of

Digest 2.1 Databased relationship marketing techniques

<i>Industry</i>	<i>Company/database</i>	<i>Marketing technique</i>
Airlines	British Airways	Uses BA Executive Club data to segment its members and tailors its fare/destination offers accordingly.
	Major airlines	Frequent flier programmes to encourage loyalty of business passengers.
Alcohol manufacturing	House of Seagram (USA)	Offers regular drinkers free gifts, advice on new products and guides to 'good living'.
	Bols Wessanen (Holland)	Created 'Club' in 1989 to increase market share of its liquors to upmarket men over 30. Increased share by over 10 per cent.
Automobile manufacturing	Renault (Europe)	System of quality evaluation of leads from enquiries and showroom visits plus previous purchases leads to fine focused marketing.
	Citroen (Europe)	Uses point-of-sale questionnaires and telemarketing to build up information on customer car change dates. These and <i>Directions</i> magazine are used to attract and retain customers. Also has database of 1 million 'suspects' as distinct from prospects.
	General Motors (USA) and others	Link with credit card company to provide discounts to card users.

Digest 2.1 Cont.

<i>Industry</i>	<i>Company/database</i>	<i>Marketing technique</i>
Financial services	American Express (USA)	Targets small affluent segments with special promotions related to previous purchases.
	Visa/MasterCard	Points incentive schemes for goods/services based on purchases.
Food manufacturing	Kraft General Foods Inc. (USA)	Uses coupon responses to provide recipes involving company products and advice on healthy living.
	Brooke Bond (UK)	Coupon collection schemes to retain young mothers as tea buyers. Members can save for gifts or help charities.
Hotels	Hilton Hotels (USA)	Offers members of its Senior Honors frequent travellers programme special discounts.
Nappy manufacturing	Peaudouce (France)	Collects data on age of babies and provides mothers with advice on types of nappies best for different ages.
Petrol distribution	Mobil	Premier points scheme in association with catalogue retailer Argos provides flexibility to purchase wide range of goods with points accrued from buying petrol and oil.
	Major petrol companies	Transform service stations into shopping/dining centres.

Digest 2.1 Cont.

<i>Industry</i>	<i>Company/database</i>	<i>Marketing technique</i>
Rental	Blockbuster Entertainment Corporation (USA) Video Rentals	Recommends ten movie titles based on customers' previous selections. Provides discounts to attract customers who have rented children's videos to use its Discovery Zone play centres.
	Hertz/Avis and other car rentals	Speedy service and discounts for frequent users. Package deals with airlines and hotels.
Retail	Wal-Mart Stores Inc. (USA) Supermarkets	Use check-out scanner data to increase leverage on suppliers.
	Harrods (UK) Department Store	Account holder privileges include free magazine, sales discounts, previews and use of luxury toilet.
Tobacco	RJR Nabisco (USA)	Gathers data and support for smoking lobby by providing gifts in return for coupons and completing detailed questionnaires.
Toy manufacturing	Mattel (France)	Barbie Fan Club attracts 250 000 French girls aged between 6 and 11 years of age (13% of total in that group). Provides magazine, birthday cards and news of new products.

these schemes has reduced their competitive appeal; in addition, in times of recession business travellers, particularly the self-employed, have used their free travel entitlement for business trips, thus diluting revenue. Keeping customers at the cost of losing income is not sound marketing – databased or otherwise. In the mid-1990s a new element entered the scene. A growing sensitivity by the business community to ethical issues has caused some concern that employees might be tempted to shape their schedules to maximise frequent flyer entitlements, questions of equity *vis-à-vis* non-flying colleagues have been raised and tax collectors have shown interest in the fiscal implications. What had some attraction in terms of the economic dimension of marketing is in jeopardy from the ethical dimension. This lesson from marketing in airlines should be studied by other industries.

Alcohol manufacturers have long been sensitive to the ethical dimension in their marketing. Their products are, for some of their customers, addictive, for others a social facilitator, an aid to celebration, a reinforcer of self-image. Ironically, marketing strategies are aimed not at heavy users but at regular and occasional users. Identification with alcohol abuse, with its effects on drunken driving, seduction of the young, broken homes and other social disasters, sets particular challenges for distillers and brewers. Attempts to limit image damage includes sponsoring sensible drinking campaigns and research on countering addiction. These, however, do not improve customer retention. Here the aim is to give a social cachet to certain drinks through intensive branding and by educational promotion on the rituals associated with certain liquors. At the core of marketing dynamics is the psychological dimension with its emphasis on 'drink snobbery', self-justification of occasional indulgence and reinforcement of self-esteem. By producing copious information on different types of wines and spirits and their appropriateness with various foods, a form of intellectual snobbism is used to retain customer interest. To this is added the ritualistic role of alcohol at life-changing events such as weddings, birthdays, retirements, as well as seasonal celebrations to create a mindset of alcohol as an essential part of life, justifying imbibing by all but life-denying people. Finally, unlike expensive cars, exotic holidays or valuable works of art, most people can afford at some time the

luxury drinks once the prerogative of only the rich and famous. (The rich and famous are used by the industry to get this message across.) Strong branding and an emphasis on the product as an aid to life enhancement and part of life changes underpin marketing strategies not only in the alcohol industry.

Automobile manufacturers use the same retention factors but in somewhat different ways. Whereas alcohol is purchased frequently, cars are purchased at intervals measurable in years. Apart from house purchase, they are normally the largest single item of expenditure for customers. At the heart of marketing in the automobile industry are three goals: maintenance of contact during a prolonged non-buying period; increasing the frequency of purchase; encouraging an upgrading of product choice. To achieve the first goal it is desirable to tie the customer to a regular point of contact, usually an agent or distributor for servicing and/or insurance. In addition, publications and invitations to new car launches can provide opportunities to maintain customer relationships. Using data from insurance and finance houses who may have funded the initial car purchase is one means of assessing the likely opportunities for encouraging replacement. Such devices as generous trade-ins, special discounts for repeat business, can be useful economic stimulants. To these long-established marketing ploys have been added the psychological hooks of the automobile as status symbol, ego booster and indicator of career progress. More recently, the ethical dimension has come into greater prominence. By emphasising safety features, pollution reduction and energy savings, the focus of marketing has moved to appealing to a customer's sense of moral responsibility. This will only be effective if product quality is high and the price is competitive. The history of the British motor industry is witness to the futility of appealing to such moral values as patriotism as the basis of loyalty if customers perceive the economic and psychological attributes of the product as inferior. As previously mentioned, the 1990s has witnessed a real breakthrough in customer retention with the launch of the GM card in association with MasterCard in the US. Its significance goes beyond the automobile industry.

Financial services facilitates the purchase of cars and many other products. Ranging from banks to credit cards, from

mortgages to stockbroking it is a diverse industry. For purposes of this analysis we shall confine ourselves to card companies since they have the largest customer base and, as will be seen later in this chapter, they play a key role in most areas of databased marketing. Visa, MasterCard, American Express and all other card companies sell only one product – convenience. Cards are perceived by customers as instruments for making it easy to purchase things one wants and pay for them when one can, as long as the period and amounts are agreed by the card issuer. Retention in relation to card companies, as with other financial services, takes two forms – indebtedness and free choice. Here we are dealing with the former, although it is associated with the latter. Credit card companies (as distinct from charge cards) thrive on indebtedness within agreed limits. Therefore, the higher they can encourage card usage the higher their profits from interest and fees from outlets. Points which are based on purchases with cards and which are exchangeable for goods, hotel accommodation and air travel are a major marketing ploy. These schemes are for the hoi polloi. The custom of holders of gold and platinum cards is retained by transforming the credit card to an entry card. It can be used to gain access to exclusive sporting events, tickets for hit shows, opportunities for previewing art exhibitions, and product launches. The concept of a ‘charge card’ developed with Diners Club as a means for affluent gourmets to meet, dine and pay for their meals without the bother of carrying cash. Ironically, this company has been superseded by the giant card issuers, whose customers are rarely affluent.

‘Smart cards’, whose tiny microprocessors can store as much data as early mainframe computers, will revolutionise customer retention. Cards capable of displaying details of a customer’s financial balances, stock transactions, health and schedules, as well as giving access to home and security systems, will become an essential part of life. As card dependency grows, the merits of staying with one issuer over another will increase. Convenience is one facet of life of which we can never have enough. For some of us the same can be said of the next product.

Food manufacturing is a life core industry. Consumers are in their millions, purchases are regular, changes in habits are

frequent. Of all consumer products, food manufacture and distribution is a hotbed of customer promiscuity. Devotion to a particular brand can be abandoned at a whim. The slightest change in price, taste or packaging can lead to individual infidelity and even group revolt; ask Coca-Cola.

On the whole, food purchasing is a mundane experience for the customer. For many, the preparation of food is a chore. Tastes, literally as well as metaphorically, in foods are determined early in life. As babies and children we form what often become permanent likes and dislikes for particular types of food; the reasons can be chemical, textual or just sheer cussedness: 'I am what I refuse to eat.'

The dynamics of marketing in food manufacturing revolve around transforming the mundane, facilitating preparation, evoking pleasurable senses. All senses come into play: food that looks or smells good is most likely to taste good; food that hurts the palate or whose masticating offends the ears has less appeal than the easily and quietly digestible. Customer loyalty depends on keeping a particular brand of food interesting, perceived as preferable to others in terms of taste and price, conducive to healthy living. Techniques for customer retention include, therefore, recipes for cooking and serving the food in different ways, using it as a substitute for other products, highlighting its healthy properties. The first provider of food in any species is the mother; marketing is therefore directed primarily at women. Since food preferences are formed early in life, a prime target is the mother of young children. Messers Heinz and Kellogg adapted the dictum of the Jesuit Order to 'Give me a child to the age of 7 and I will have his taste buds for life'.

Recognising that food generally is a mundane product, manufacturers, as well as providing variety in its use, appeal to the hedonistic and social sides of customers by offering prizes and 'clubs' to regular customers. A recent development is to link marketing to the cycle of life stages (see Chapter 3). As life-spans stretch into the nineties, the foods of the nursery will become the foods of the nursing home. Keeping customers by making the uninteresting interesting, the old new, the unappetising appetising is the constant challenge for food manufacturers and the way of life for any marketer.

The hotel industry can be a marketer's dream or nightmare; much depends on the gap between customers' expectations and reality. Hotels cater for three types of need; the mundane demands for shelter and food; the hedonistic desires for leisure and pleasure; the ritualistic requirements for family gatherings, group meetings and celebrations. To each need the customer brings a different mindset and expectations. Satisfaction with the comfort and cleanliness of overnight accommodation does not necessarily transfer to satisfaction with the arrangements for a wedding reception or a monthly meeting of Rotary. For each of these, different dynamics come into play. In terms of retention the leisure and pleasure market is usually the most important. The aim is to target high spenders with spare time and flexible schedules. This tends to be the recently retired. Promotions targeted at this group can have a marked effect on occupancy rates at off-peak times. The example quoted in Digest 2.1 resulted in Hilton Hotels persuading almost half the members of its Senior Honours frequent traveller programme to take previously unplanned trips which included staying at Hilton Hotels. Care has to be taken in marketing aimed at retired people to avoid being patronising or causing embarrassment. Discount prices for 'children' and 'senior citizens' as distinct from 'adults' can be insulting. Another danger of marketing ploys based on off-season patronage is that the customer may feel that the poor weather and lack of high season amenities makes the discounted price a poor bargain. This is even more the case where a regular customer who enjoyed high standards of hotel service at an early life stage feels fobbed off with lower standards at a bargain break. Service dilution to offset lower prices is a dangerous technique of marketing; it is unlikely to work in the long term.

Nappy manufacturers retain their consumers for the short term – though it may not appear so to fraught parents. The example of Peaudouce (a subsidiary of the Swedish nappy manufacturer Mölndyce) is quoted to show that customer retention can start at birth. This French company has in its database details of the majority of young mothers in France including the ages of their babies. The data is gathered from maternity hospitals and is used to send out advice on bringing up babies and in particular the use of nappies. What was formerly a piece of towelling held together by a safety pin is

now a range of garments differentiated for gender, size, mobility and age of the baby. Customer retention in the disposable nappy business aims at the bottom line in more ways than one. Profits depend not on encouraging greater frequency of usage (difficult to influence) but in extending the nappy wearing period and varying the range. One approach is to convert the former sanitary garment into a fashion item by decoration and different pastel colours. In addition, the thickness of the nappy can vary for greater mobility at play and greater absorbency at night. Finally, by subtly changing the design of the nappy to absorbant panties they can be worn into young childhood without social stigma. Extending the use of a product beyond its traditional life-cycle is a powerful testimony to marketing; it is a practice which can be applied to many products.

Petrol companies, however, cannot readily avail themselves of this approach; they sell a relatively standard product with highly limited versatility. Their marketing has therefore to aim at gaining repeat business through brand loyalty, regular usage and added amenities. Branding petrol, which has to conform to strict quality standards, is largely the greatest expenditure on illusion since audiences paid to see Houdini. Yet the magic of differentiation has sunk deep into the psyche. Jet Petroleum in Ireland (a subsidiary of Conoco USA) suffered for years from an unfounded rumour that its petrol was from Russia, though in fact it drew its product from the same storage tanks as its rivals. Since, as mentioned earlier, cars are a major investment, motorists have been convinced by branding that they can best protect their investment by using a particular make of petrol regardless of its price competitiveness.

In recent years, with the rise in the cost of petrol, price sensitivity has increased and marketing has shifted its focus. Stimulated by the use of credit cards to pay for petrol purchases, points schemes of various types have come into play. One of the most effective in the UK has been the Argosy Premium Points used by Mobil (and other businesses). By enabling the points collector to use the accumulated points at any stage to purchase or pay towards one of thousands of products available from the Argos chain of catalogue shops, the scheme provides maximum choice and flexibility. More restrictive schemes with a limited range of 'gifts' are less

effective. After the twentieth offer of a free tumbler the law of diminishing appeal comes into play.

Branding and points schemes by themselves cannot ensure customer loyalty. Unable to differentiate themselves substantially on the basis of their core product or even customer care, service stations have turned to another tool of retention – amenity services. By transforming their petrol outlets into minimarkets, diners and providing toilet facilities, the petrol companies have increased their customer appeal and improved retention. In a sense, the magnet for retention has moved from the core product to the quality of marginal services. This highlights the point that even if opportunities for improving customer retention seem limited in terms of the core business, there are always other avenues to explore. Few know this better than the next sector.

Rental businesses vary in their nature and scope from the local shop lending out gardening tools to Blockbuster Entertainment Corporation renting videos to 36 million households at the rate of 2 million per day. Whatever they provide, these companies need repeat business to pay for their investment in the products they rent.

The two major consumer rental businesses (apart from telephones) are videos and car rental. Blockbuster uses its database to influence customer choice in future rentals. By analysing previous selections it sends customers a personalised card suggesting ten film titles they might enjoy and also making special offers. In addition, by identifying renters of different types of videos it targets specific customer segments such as parents of young children, with discounts for relevant products and services.

Car rental companies have even more data on their customers than do video renters; for a start every rentee has to produce a driving licence. However, the most lucrative market segment is the corporate renter who has an organisation-wide arrangement. Retention in car hire is usually related to some form of package deal with airlines and hotels. The advantage of this approach is that each of the parties to the deal can benefit from the retention appeal of the others. On the downside is the danger that a customer may change loyalties, not because of the action of the company concerned but due to some deficiency in or dislike of the others.

Because of the need for repeat business frequent renter schemes offering special privileges and substantial discounts are bound to play a significant role in the marketing of rental companies. Special privileges can take a variety of forms as is evidenced by the next business category.

Retail stores from cornershops to supermarkets, from discount warehouses to department stores, need to make customers feel special if they want to retain them. Harrods, the world renowned London department store, may have taken things to extremes when in 1994 it provided account card holders with a special privilege – free use of a luxury loo for which the ordinary customer has to pay a pound a visit. (Free toilets are also available for the hoi polloi). This cossetting of account-holders extends to discounts on sale goods, pre-sale buying privileges, entry to special events, free copies of a luxury catalogue.

At the other extreme Wal Mart in the United States uses data at check-outs to ensure that it keeps its stock at optimum level and can negotiate keen prices with suppliers who do not have comparable data on customer preferences. This broad based approach to retention can turn into trouble since there can be simply too much data to analyse. Later in Chapter 9, 'Not just Shopping but Shaping', we shall look at the prospects for interactive shopping. This suggests that the focus of marketing in retail is moving from the shop to the home. Only time will tell.

Tobacco manufacturing is an industry under siege; it needs to retain its guilt ridden customers. Smoking has moved from a pastime to a cause. Marketing is restricted by a combination of legal constraints and social strictures. This is not intended as a plea on behalf of an industry which is spreading geographically and diversifying into other businesses. But it presents an interesting phenomenon – the pariah business which in terms of customer retention has to boost the resolve of its pariah consumers. This it is doing by gathering data on its customers through offers of prizes, coupons and discounts, to qualify for which it is necessary to reveal some personal details. This information is used to rally support in lobbying legislators and counter-attacking anti-smoking campaigners. Unable to use the economic dimension of retention because of the high tax element in prices, forbidden to use the

psychological dimension such as that smoking will enhance your sex appeal, manufacturers are concentrating on the ethical dimension. Their appeal is for customers to show their allegiance to freedom by continuing to smoke if they wish. Inevitably, some might say cynically, the main thrust of the marketing strategies of the tobacco companies is that everyone should have the freedom to live – and to die.

Finally, we move from a generator of unhappiness for some to purveyors of joy. *Toy manufacturers* are an example of an industry where there is a need for dual customer retention – parents and children. Major retention factors are safety and value for money, but what makes toys unique is their longevity or lack of it. However, the longer a product lasts the less frequent are the opportunities for new business. Unless, that is, the product lends itself to regular updating and extending. There are few better examples of this than the Barbie doll launched over thirty years ago by Mattel in the United States and sold across the globe with an ever increasing range of clothes and other accessories. It is Mattel France that provides an excellent case study of customer retention in what most think of as a short-term business.

The Barbie Fan Club in France was started in 1982. By the mid-1990s its membership had grown to over 250 000 girls aged between 6 and 11. Accounting for a staggering 13 per cent of that age group these fan club members play an annual subscription of around £8. In return they receive at least a dozen mailings each year including their own birthday message, a magazine, gifts and details of new dolls and clothes. Each letter is a 'personal message' from Barbie. Market research shows that each child not only spends time reading the letter but talks about it to at least eight friends. Furthermore, 'Barbie' receives thousands of letters and up to 500 phone calls a week from her fans.

Barbie's market share in France has grown from 48 per cent in 1982 when the fan club began to 92 per cent in 1993. While the approach may not be appropriate to all markets (Barbie Fan Club has failed elsewhere in Europe), this approach to retention highlights several points which are applicable to all the twelve industries we have considered:

- The purpose of marketing is to increase sales through enhancing customer satisfaction.

- The techniques employed need to take account of both cultural and economic features.
- Success depends on sustained effort over time rather than jumping from one gimmick to the next.

DATA COLLECTION

It will be seen from the examples that customer data is gathered from a variety of sources such as check-out scanners, questionnaires and applications for special promotions. Other sources of data are:

- (a) Guarantee (warranty) applications
- (b) Magazine subscriptions
- (c) Membership of insurance schemes
- (d) Telephone accounts

As former public services such as driving licence issuers, hospitals, schools and colleges come under increasing commercial pressures, these too will become sources of customer data, raising issues of moral concern.

Databased marketing is based on a dual premise that the more information a provider has about the customer, the more likely the possibility of retention, and the more information the consumer has about the product, the more likely he or she will use it.

Mail-outs in the form of guides and magazines are used to enhance product/service awareness. These publications, like other facets of the marketing process, are carefully targeted and thus produce higher response rates than the ubiquitous 'junk mail'. Whereas the latter may have rates as low as 2 per cent to 5 per cent on average, promotional offers can yield responses of over 10 per cent.

One of the hazards of databased marketing can be data overload. For a start it is essential to collect the data required in a form that makes it readily accessible. Credit card companies, the cornucopias of customer data, can readily summarise data for different types of transactions and at levels of highest or lowest balances and amount of borrowing over specified periods.

However, transactions by themselves are likely to be numerous and of limited value. There is a need for lifestyle information if the transaction data is to be really useful. For example, if a car manufacturer can learn of the leisure pursuits of a customer, it can use this to offer attendance at some prestigious sporting event as a way of retaining the customer. Finding out these connections calls for sophisticated technology.

THE TECHNOLOGY OF MARKETING

Recent advances in information technology have made possible the storage and analysis of customer data which greatly enhances the chances of customer retention. Three developments are of particular importance:

1. Parallel computing
2. Database software
3. Neural networking

The American Express Company uses giant parallel computers to gang together numerous speedy microprocessors to scan massive volumes of data at a stroke. A provider specifies criteria which will identify not simply customer segments of old but the smallest segment of all – the individual. Income, social status, leisure pursuits, political affiliations, causes supported and even certain medical records may be scanned through parallel computing to reveal, say, affluent business travellers interested in a new holiday cum nursing centre. For the first time in the history of any business billions of pieces of customer data are available to enable a company to re-engineer itself for customer retention.

No matter how powerful the parallel computers may be they require software to produce the desired information. Database software needs to provide flexibility and a language which speaks to other internal information sources and to the data banks of 'partners' such as credit card companies and airlines. The architecture of such software must permit ready access to each field of data and relevant customer record without having to process the total database. Neural-network software, which is based on how the human brain works, is able to

establish patterns of data which reveal significant relationships in customer behaviour. A profile of the ideal customer can be constructed using neural-network software and the parallel computers can then be set to work to identify how many ideal or nearly ideal customers exist. The next step is to contact these and build on the relationship. Although the contact is likely to be direct the sale should be indirect. In relationship marketing we are dealing primarily not with individual transactions but with safeguarding future revenue streams from loyal customers.

TYPES OF CUSTOMER CONTACT

Customer retention is about establishing relationships which influence customer behaviour. Whereas direct marketing is focused on achieving sales in the short term, relationship marketing seeks to reinforce brand loyalty over the long term. Benefits and features loom large in the vocabulary of the direct marketer; care and values are more the stuff of relationship marketing.

Simply keeping in touch with customers will not ensure retention. In fact, indiscriminate use of junk mail, courtesy calls and questionnaires can have an alienating effect on customers. Understanding what motivates particular customers is essential for retention. By harnessing the loyalty of a core of customers the returns can be more substantial than more broad brush contacts. One increasingly used method is personalised telephone marketing.

When used for retention, telephone marketing avoids direct selling; it concentrates on establishing if the customer is satisfied with an existing product or service, building up a reservoir of goodwill. In addition to existing customers, telephone calling can be used to follow up potential customers who have, through inertia, failed to follow up on initial enquiries.

To be effective calls must comply with three conditions:

1. Ethical
2. Social
3. Technical

Ethically calls must be acceptable to the customer, their purpose clearly stated and the manner of the caller professional. Cold calling, pretending the purpose is other than marketing, and overfamiliar language are not only ethically unacceptable but will destroy any chance of retention.

The timing and duration of the call should be socially acceptable. This means more than complying with a 9 pm cut off. Care should be taken to avoid intruding into popular television programmes, meal times, babies' bath times. Checks need to be made that the timing of the call is convenient. The duration should not be unduly long, and ready acceptance should be made of any request to end the call without causing the customer to feel embarrassed or discourteous.

Technically, smart buttons and other devices should make it relatively easy for the caller to access and provide information without putting the customer on hold.

Properly used the telephone cannot only convey a sense of interest and care to customers, it can provide them with a sense of control. They can end the contact whenever they wish. Phoning is a two way process, as will be seen shortly when carelines are discussed. By providing freephone numbers for customers to resolve problems or increase their product knowledge, carelines are an increasingly important weapon in the marketer's armoury. Another such weapon is the company magazine.

Customer publications can provide a useful contact for the housebound and customers who enjoy a sense of club membership without the chore of socialising with fellow members. There are three methods of distributing company magazines:

1. Available free to all customers at the point of contact, for example on aircraft and at supermarket check-outs.
2. Sent free to homes of account-holders.
3. Sold to the general public but available free to certain categories of customers.

The last is generally the most effective method for customer retention as it has the aura of a 'free gift'. However, exclusiveness can also be a powerful marketing tool and an increasing number of companies produce on a restricted basis

either special briefings, such as economic forecasts by banks, or lifestyle guides as in the case of tobacco and alcohol manufacturers.

The advertisement to editorial ratio should at the most follow the Pareto distribution of 20/80 if the publication is to be perceived as customer focused. Editorial content needs to attract and inform; the former can be achieved by using celebrity writers, the latter by being sufficiently varied as to appeal to a wide cross-section of the customer segment.

Other forms of contact are birthday cards and Christmas cards. These can be counter-productive, being perceived as intrusion into a customer's personal life and reeking of insincerity. Even anniversary 'thank yous' lose their appeal; if confined to, say, three-year intervals and accompanied by a token gift, they can be effective – but expensive. Striking the right note is all important. An Irish bank which sent its overseas customers a St Patrick's Day card ruined the whole effect of the gesture by entreating recipients to recommend the bank services to others. In a stroke a gesture of friendship was perceived as an exploiter of friendship.

Therein lies the crunch in relationship marketing; personalising the impersonal; appealing to the psychological and moral to achieve economic objectives. There is nothing dishonourable in this; the corner grocer of yore was not always truly interested in the well being of every customer, but could manage to give that impression.

RETENTION MANAGEMENT

Customer loyalty and company success are dependent on more than marketing. While it is useful to learn from the experience of others, as revealed in the review of industries and later examples, no one wins by consistently being second. To succeed with customer loyalty each company must carve out its own distinctive approach; adopt new ideas; display its unique retention features. To adapt Tolstoy's dictum on families: all unsuccessful companies fail in much the same way but all successful companies succeed in their own way.

Retention management has arisen in response to the changes considered in Chapter 1.

Responding to these diverse forces of change, companies in the forefront of the 'quality movement' of the mid-1980s had by the mid-1990s initiated or adopted a variety of practices to improve customer retention. Old and new examples, in terms of their popularity with companies, are listed alphabetically in Digest 2.2; they fall into five categories:

1. Economic
2. Technical
3. Psychological
4. Moral
5. Pluralistic

The economic category usually takes one of three forms: compensation; reward; price-setting. Compensation schemes are the most common, being based on the principle that an aggrieved customer should not feel out of pocket as the result of a real or imagined mishap. The form which the compensation takes can range from a full or partial refund of the costs incurred by the customer to the replacement of a faulty product. In addition, there may be overcompensation in pecuniary or other form which is measurable in monetary terms. Where the compensation is pitched too high or too low it can have an adverse effect on customer retention. A voucher from an airline for a snack while waiting for a long-delayed flight may be greeted with derision by the sorely tried passenger. Equally, the provision of a deluxe meal at a restaurant to offset some relatively small lapse in service can be discomfoting, creating in the mind of the customer an obligation vacuum which needs to be filled at a future date. These examples highlight one of the major drawbacks of customer retention through economic compensation, the problem of compensating for hedonic damage. Whereas a faulty refrigerator can be replaced with an efficient clone, a social event such as a wedding reception marred by bungling waiters cannot be recreated. Compensation schemes are essentially the sticking plaster of a customer retention programme; reward schemes are the aphrodisiacs, their promise is rarely matched by their efficiency.

Reward schemes provide discounts, 'free gifts', saving stamps, loyalty bonuses, payment holidays and other devices

Digest 2.2 Old and new customer retention practices

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Carelines – the provision of a free listening and advice service by telephone	Swift response to customers' queries. An example of customer care operating in 'real time'. Providing database on concerns of customers. Identifies the geographic spread of consumption. Filter and signaller of potential problems. Tracks quality and service standards. Opportunity to out-source part of the caring process.	Difficult to quantify cost effectiveness. Queuing can further antagonise disgruntled customers. Vulnerable to abuse by cranks. Need for instant back-up to deal with complex queries. Can breach customer confidentiality. Can be abused by competitors. Need to provide flexible scripts which avoid robotic responses. Places heavy demands on speedy adaptability. Need to convince customer higher costs are justified.	Will increase as cost of advertising rises and that of telecommunications falls. Will be used to elicit more personal data as well as respond to complaints. 'Regular' customers will have free or reduced rate access to telephone advisory services and/or chat-lines – especially for the old. Videophone services will provide idiots' guides to assembly and repair. Will increase as a service to the busy affluent personal customer and isolated business customer.
Channel Partnerships ('Customer Intimacy' in USA) – using technology to establish and meet the distinctive needs of customers.	Provides a sense of 'Just for you' to both personal and business customers.		

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
	Enables customers to define precisely their needs and be informed of costs and options. Establishes a sense of preferential treatment without direct physical contact.	Staff need high level of teleinteractive skills.	Telebody language (from the neck up) will become of increasing importance.
Charters – definition of rights of specific groups of consumers <i>vis-à-vis</i> providers of services (usually in the public sector).	Define entitlements of customers. Specify performance standards. Set levels of compensation. Empower local initiatives. Treats all customers alike.	Create culture of 'rightism'. Lack of emphasis on the customer's duties. Can focus on the politically popular rather than essential needs. Disillusion and cynicism are ready to pounce. Compensation procedures can be bureaucratic and off-putting. Can be expensive to administer. Emphasis on physical rather than psychological aspects of care.	Likely to spread for reasons of 'politics' rather than 'care'. Will take greater account of psychological and ethical aspects of care.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Codes – set of standards of behaviour by which service providers promise to abide.	Define service standards. Set the tone for customer – provider relationships. Provide a basis for resolving conflicts of interests and complaints. Indicates customer awareness.	Standards perceived as 'maximum' by providers and 'minimal' by customers. Can be used by unscrupulous to avoid moral obligations. Perceived as provider-biased by customers.	Likely to be superseded by laws. Has confusing connotations ranging from 'moral codes' to 'highway codes' associated with ineffectual self-regulation.
Compensation – means of recovering customers' confidence after faults in service or other circumstances creating a sense of grievance.	Offsets or eliminates negative impact of faults or errors. Can retain customer loyalty which would otherwise have been lost. Can have positive influence beyond the particular customer and/or situation. Relatively low cost. Can enhance self-esteem of customer. Has positive impact on morale of providers.	Need to strike correct balance to avoid resentment or embarrassment. If delayed or appears grudging can make a bad situation worse. Can be abused by unscrupulous customers. Existence of monetary compensation can reduce pressure on staff to show care.	Likely to be industry-wide levels of monetary compensation leading to competitive psychic compensation. Replacement of general compensation schemes by individually tailored approaches.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Complaints handling – systems for dealing with grievances and disappointments of customers.	Reduces frustration by allowing grievance to be aired. Provides data on inadequacies in quality and services levels. Enhances awareness of the totality of customers' needs. Gives opportunity to recover a bad situation and retain customer.	Can result in laxity by staff who perceive a buffer for mistakes. Possibility of worsening situation if badly handled. Danger of mismatching of perception of grievance. Open to abuse by unscrupulous or vindictive customers. Fear of adverse consequences for staff may inhibit customer and hide potential problem. Assumption that absence of complaints implies customer satisfaction.	Will increase but be re-labelled 'Customer Comments' to avoid negative connotations of 'complaints'. Use of technology will speed up response and provide 'personal touch'. Follow-up on satisfaction with complaints will proceed. Use of weightings for different aspects of complaints will lead to more accurate complaints assessment and eradication programmes. Psychological and moral dimension of complaints will receive greater attention.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Consultation – seeking reactions and views of customers to products and services. Ranges from questionnaires to suggestion schemes and round tables.	Provides data on customers' needs and reactions. Gives customers a sense of involvement. Enables provider to focus on specific issues. Relatively cheap form of market research.	Attracts articulate, atypical customer leading to distorted findings. Can lead to unrealistic expectations and disappointments by customers whose contributions are ignored. Without feedback on outcomes, there can be a sense of the exercise being window-dressing. Perception of manipulation can lead to adverse customer reaction.	Likely to increase for political reasons. Growth of 'professional consumer representatives' will mean 'consumer interests' are politicised. Greater use of telephone and teleconferencing. Need to provide incentives which overcome resistance to questionnaires yet do not distort responses.
Continuous Improvement Programme – emphasises the need for incremental improvement leading to zero-defects in products and services.	Constant focus on opportunities for improvement. Regular updating of performance standards. Conveys positive image to customers. Perceives every problem as an opportunity.	Difficult to sustain commitment and momentum. Can confuse customers faced with frequent changes in systems and procedures. Can result in change fatigue with adverse effects on performance. Costs can be high.	Concept will inevitably continue, but as a management philosophy rather than a distinctive programme.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Counselling – providing free advice to customers in difficulty and/or facing a significant life change.	Shows care in action. Provides insights into psychology of customers. Reveals problem areas which would otherwise be hidden. Heightens empathy of providers. Presents good image <i>vis-à-vis</i> less caring competitors.	Can imply shared responsibility for customer's fault. Creates expectation that provider will solve problem. Embroids provider in politically sensitive issues. Requires special training of staff. Increases costs which may be borne by conforming customers. Danger of exploitative customers taking advantage of providers' goodwill.	Will increase as counselling services grow. Cost of counselling may need to be built into price of service. More careful screening of potential customers should confine counselling to deserving cases.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Delight Factor – creating a repeated sense of delight in customers by appealing to their emotions and senses.	Cheap to install and operate. Transforms the mundane into the exciting. Countless combinations of situations, senses and emotions provide a distinctive competitive edge. Reinforcing customer loyalty. Makes customers more receptive of occasional bad news/mistakes. Creates a positive morale among staff as it reinforces the 'feel good' factor.	Can become gimmicky. Requires staff training. Focus on small joys rather than big surprises can make it less appealing to some customers/staff Needs high level of empathy to avoid striking the wrong note.	Will increase with the growth of empowerment and increased awareness of customer psychology.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Empowerment – providing individuals with the competences, systems, support and authority to exercise initiative in matters of customer care.	Develops individuals. Provides flexibility in responding to customers' needs. Enables the company to adapt quickly to changed circumstances. Reinforces trust between management and staff. Facilitates the implementation of the 'delight factor' and other techniques which focus on the intangible.	Can result in inconsistencies in standards of care. Needs careful guidance and monitoring. May be used by the lazy as the 'easiest way out'. Can be costly. May raise customers' expectations to unrealistic levels.	Empowerment will spread but with greater emphasis on 'boundary management' and 're-engineering'. Information technology will improve monitoring. Improved measures to avoid exploitation by the unscrupulous customer will become an ongoing task.
Loyalty Schemes – devices for retaining customers in addition to the provision of core products and services.	Reduce cost of attracting new customers. Increase likelihood of retaining targeted customers. Extend customer database. Increase opportunities for providing added value	Cost of incentive can be high. Dissatisfaction with incentive can damage care relationship. Bureaucratic processing of entitlement can offset added-value. Incentive may be out of tune with customer's value system.	Will increase, but become more varied or concentrated on price. Incentives will be transferable and thus act as 'free gifts' in a real sense. A case of a scheme backfiring on the scale of Hoover UK in 1993 could have drastic effects.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
	Can enhance image of provider through association with prestige companies. Can make mundane purchases more exciting. High psychic and even moral impact.	Loyalty may last as long as receiving the incentive. Law of diminishing attraction can reduce appeal of incentive.	
Mystery Shoppers – use of trained observers to assess behaviour of providers secretly against specified service standards.	Provides detailed objective assessments over time. Enables comparisons to be made with competition. Catches providers behaving normally. Reveals opportunities for improvement which might be overlooked. Provides both hard and soft data on both providers and customers.	Implies a lack of trust in staff's ability to deliver service to standard. Observers may overlook nuances of 'real' situations and shifting priorities of customers under pressure. Time wasted by providers trying to spot mystery shopper. Cost can be high. Unscrupulous observers can distort findings. Can create sense of unfairness among staff; may even reinforce a state of denial, making improvement more difficult.	Social and legal pressures likely to restrict this practice, confining it to observing competitors. Greater emphasis on 'Catch me doing something right'.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Response Pricing – adapting a range of prices geared to type and level of service response required by customer.	Replaces forced choice with free choice in cost of service provision. Breaks down price of elements of service delivery. Establishes standard, superior and premium levels of care for every type of service. Provides a means for pricing the intangible which is economically efficient and socially effective.	Danger of complexity and confusion. Creates price consciousness which previously did not exist. Pressure from assertive customers to be 'upgraded'.	Will increase as customers become more price conscious regarding services as well as products. Price will be redefined to take account of social, moral and psychological costs of service provision.
Servuction – directly involving the customer in the service delivery process, thereby reducing or even deleting the role of the service provider.	Reduced running costs. Customer self-manages standards and expectations. Can enhance customer satisfaction. Staff can concentrate on security, focused care, technicare assistance. Redefines and refreshes customer relationships.	Start-up costs can be high. Need to train customers. Absence of 'human touch' can have negative impact. Safety factor needs constant monitoring. Can be difficult to provide psychic added-value.	Will increase for economic and social reasons. Can lead to divide between pampered high-spending customers and self-help low spenders.

Digest 2.2 Cont.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Shared Care – increasing the contribution of the customer to raising levels of care. Applying the principle of 'reciprocal obligation' by means which motivate customers positively and also reduce the cost of service delivery.	Can reduce running costs. Reinforces customer relationship. Improves management of expectations. Releases staff to deal with higher level tasks. Provides customers with sense of involvement leading to greater satisfaction. Reinforces customers' identification with company leading to more extended customer loyalty.	Initial costs of re-engineering service delivery systems Customer resistance if not well marketed Can be exploited by unscrupulous customers. Need to train customers.	Will expand due to economic and social pressures. Technology will take over the chore elements; customers will handle the mundane and simple elements; service providers will focus on complex/hazardous/security elements.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Technicare – using technology as a prime means of providing care ('Direct services').	Can provide constant availability. Consistency of care regardless of time and location. Conveys sense of innovation. Appeals to technophiles. Relatively easy to monitor performance and update.	High cost to install. Subject to breakdown and malfunctioning. Scares technophobes. Lacks human touch. Lacks flexibility in responding to diverse needs. Lacks adaptability to changed circumstances. Vulnerable to vandalism. May require keyboard skills which customers lack.	Will undoubtedly increase with spread of information highways. Improvements will be required in terms of: – security – reliability – error correction.
Time-shaping – using the psychological dimensions of time to create positive mindsets and eliminate negative ones in customers.	Cheap to install and operate. Provides a wide range of options for influencing customers' psychology. Difficult for competitors to replicate. When combined with 'delight factor' can be a powerful competitive weapon.	Perception of manipulation can create staff/customer resistance. Staff training requires the development of new competences.	Will expand in various guises as customers become more 'time conscious' in response to increasing business pressures and/or enforced leisure of unemployment.

<i>Practice</i>	<i>Advantages</i>	<i>Disadvantages</i>	<i>Future trends</i>
Outsourcing – using specialist agencies to provide various forms of customer care, e.g. hospitality at special events.	Enables sponsoring company to focus on other core issues. Shields introverted but essential staff from customer contact. Provides budgetary limits for customer care. Enables sponsor to benefit from 'halo effect' of association with prestigious company.	Diminishes importance of customer care as integral part of company strategy and operations. Adverse reaction to outsourcing agency can rebound on sponsor. Can be at mercy of outsourcing agency's profligacy. Unless arrangements are exclusive, danger of overlap with competitors. Danger of customer care being perceived as optional extra.	Specialist agencies will be used on a highly selective basis. Outsourcing used as a way around laws on bribery will be curtailed. Outsourcing for special needs groups, e.g. old, disabled, foreigners with restricted linguistic skills, will increase.

which have an indicative financial value. However, just as the jaded satisfaction of the aphrodisiac cannot be compared to the joys of genuine love, so too are sustained low prices more attractive than short-lived bursts of price cutting after the initial excitement. However, as long as humankind exists there will be a market for aphrodisiacs.

Price-setting, sometimes called 'response pricing' is a newer type of economic customer retention initiative, gaining use by service providers. It presents customers with a range of price levels which relate to different levels of service. By enabling such intangible factors as status and exclusivity to be priced together with the more measurable speed of response, this is more of a holistic approach than that of its economic confreres. While economically based approaches to customer retention remain important they are ceding ground to other types of initiatives particularly those which are technically driven.

Among such technical initiatives are carelines, channel partnerships and technicare. Carelines are usually freephone numbers which customers can call for advice on faulty equipment and, increasingly, on how to gain optimum benefit from a product or service. Virtually every household product in the USA carries a careline number. In 1994 almost a third of consumer goods in France were covered by such a system, whereas in the UK the figure was less than 10 per cent. Three factors are essential to the success of this customer loyalty practice: speed of response; reliability of advice; manner of interchange with the customer. Calls which are not responded to in less than three minutes are perceived as time wasting and can have a negative effect on customer loyalty. Filtering of queries in terms of their complexity is therefore desirable. Companies find that Pareto's Law tends to prevail; regardless of the nature of the product or service, around 80 per cent of the calls focus on a limited number of issues. The remaining 20 per cent which require more specialised handling can be redirected to relevant experts anywhere in the world. No matter how knowledgeable the expert may be, the effectiveness of any careline is highly dependent on the manner in which the call is handled. A sense of friendly efficiency needs to be conveyed to customers whose comfort with telephones is likely to be at a lower level than that of the

phone operator. The massive gap between the use of carelines in the USA and Europe is caused by cultural as well as technology and cost differences. Carelines are useful, not only for responding to queries, but for gaining insights into customer concerns which would otherwise pass unnoticed; they can also help to identify emerging issues and enable a company to respond to them before its rivals. Finally, in a mass market they can use technology to provide a sense of the personal touch.

This use of technology is even more marked in channel partnerships or customer intimacy. Here technology provides the means for establishing customer databases and audio-visual communication systems such as videophones. The aim of channel partnerships is to anticipate the requirements of key customers by analysing their databases and targeting their specific needs. Success in this customer loyalty practice depends on three conditions:

1. selecting the customers you want to keep;
2. satisfying their requirements fully and flexibly;
3. ensuring the partnership is profitable.

The costs of the technology requires that the investment is directed at strategically significant customers rather than available to all, as is the case with carelines. It is also necessary to demonstrate an awareness of customers' distinctive needs, a sensitivity to their particular circumstances and a willingness to adapt to changes in their situation. Customer intimacy is JUST FOR YOU writ large. But as with any intimate relationship the expenditure of emotional (and in this case economic) effort must yield a satisfactory return if it is to last.

Technicare is a more prosaic affair. It involves the use of technology to provide 'direct' services such as banking or shopping to customers in their offices, homes or in unusual locations at uncommon times. Vending machines were an early form of technicare, introduced in the 1930s and followed decades later by automatic teller machines (ATMS) of ever increasing sophistication. From the outset, vending machines have illustrated the pros and cons of technicare. The advantages of convenience can be offset by limited choice, vulnerability to malfunction and abuse. Nevertheless,

technicare, as will be shown in later chapters, will play an increasing role in customer loyalty and success as it benefits from improvements in security, reliability and user friendliness.

Psychologically based loyalty practices range from the relatively commonplace to the esoteric. At the mundane end are complaints handling, consultation and counselling, at the more exotic end are the delight factor and time-shaping. Complaints handling aims at dealing with the grievances and disappointments of customers in ways which eliminate or reduce the negative feelings of customers; it may be reinforced by some form of compensation. Negative feelings have their roots in unfulfilled promises, unrealised expectations and unrealistic demands. Products which do not perform to guaranteed standards, experiences which do not match advertised images can provide legitimate grounds for complaints. Unfortunately, customers may blame others for self-inflicted wounds, imagined slights, low self-esteem and other forms of psychological damage. Even worse, the very existence of a complaints handling scheme can stimulate those who in the desert of their humdrum existence prefer mirage to reality, constructing imaginary situations to gain undeserved attention and unmerited reward. This poses a major challenge to customer loyalty practices generally as will be outlined in Chapter 6.

Consultation which seeks the views of customers has the merit of enhancing self-esteem. But if opinions once sought are repeatedly discarded, or if the revealed purpose is simply a lure to buying, this approach will backfire. So too 'with counselling, whereby customers are given free advice in resolving a problem. If the problem is of a life-changing nature such as indebtedness or addiction to prescribed drugs, the customer may feel that the old adage, 'Prevention is better than cure' should have been invoked at an earlier stage in the relationship. Customer loyalty can be strengthened through 'tough care' just as familial loyalty can benefit from 'tough love'.

The psychology of customer care provides the cement for building both old and new style fortresses to protect customer loyalty against aggressive competitors. Two such new style edifices are the delight factor and time-shaping.

The delight factor draws on emotions and senses to create in customers a feeling of fulfillment which goes beyond satisfaction. By shaping and transforming customers' perceptions of quality and care it enhances their experiences as seekers of solutions to their own problems.

Loyalty is strengthened through a deepening sense of being served in ways which enable customers to make optimum use of their time. The recognition of time as a psychological phenomenon as well as a resource and measure lies at the core of time-shaping. This technique, by analysing customers' needs in terms of time in all its facets, leads to a 'magic eye' transformation of customers' perceptions. By applying a series of simple yet powerful diagnostic tools companies can reveal to their customers hitherto unseen ways of shaping their time for maximum benefit and the reinforcement of positive feelings. (Both techniques are described by the author in *Managing the Delight Factor*, IFS International Ltd, 1993 and *Time Shaping for Business Success*, London: Macmillan 1995.)

As with the psychologically based practices the moral category is also brain-centred; but it appeals to the cerebral rather than the emotional. Into this category fall charters and codes. Customer charters specify standards of performance and care to be provided by, in the main, government departments and public bodies. Long-established statutory duties and new found commercial practices do not always make for happy bed-fellows; but, by providing benchmarks against which the citizen/customer can judge relative performance, they have the merit of heightening an awareness of the desirability of high standards of customer care. Their impact on customer loyalty is less marked. Freedom of choice in paying taxes, complying with the demands of the police or using the monopoly services of an electricity supplier is unlikely to be enshrined in a citizen/customer charter.

Codes, on the other hand, are used more extensively in the commercial sector where there is freedom of choice. They specify standards and state what action the company will take to compensate for lapses. Sometimes used as a form of self-regulation they can be perceived by customers as sharing with patriotism a not always deserved reputation as the last refuge of the scoundrel. Later in this book it will be shown that the

moral dimension in business will become increasingly important for sustaining customer loyalty and success. Those who seek to respond to this trend simply by publishing charters and codes may not be knaves, but they are certainly fools.

The final category is entitled 'pluralistic' as each of the practices encompasses more than one of the approaches described previously.

Dealing with them in the same order as Digest 2.2 they are:

- Continuous improvement programmes
- Empowerment
- Loyalty schemes
- Mystery shoppers
- Servuction
- Shared care
- Outsourcing

A cynic might feel that continuous improvement programmes are the answer to a consultant's prayer for continuous lucrative fee earning. They provide a means of coordinating a range of activities which seek to raise standards of performance, quality, care and profitability. These are commendable aims which until continuous improvement programmes took hold in the early 1990s were referred to as 'management'. Continuous improvement is essential to customer loyalty and success; the need to package that reality is doubtful.

Empowerment is another repackaging of the long lasting: delegation, authority, trust, discretionary limits, responsiveness and flexibility, all pre-date modern business. This is not to decry the merits of enabling individuals to use their initiative. The danger is to assume that empowerment will by itself secure customer loyalty. Just as throughout history empowered rulers have developed and destroyed empires so can employees given the freedom to act responsibly, use it to act irresponsibly.

Loyalty schemes appear from their title to beam in on the subject of this book, but in fact they can too often be off beam. In essence, most such schemes are types of price and sale promotions which are long-term focused and involve the

use of cards for totting up points. Whereas vouchers, coupons, trial offers, prizes and competitions are short-lived, card-based schemes are directed at retaining the affluent. Air miles related to business flights and the use of credit cards, points towards the purchase of a car or other expensive item take time to accumulate. Despite this there is ample evidence of their popularity with customers, or, perhaps more accurately, 'consumers'. The distinction is worthwhile since the entitlement may often accrue to an employee incurring expenditure on business trips financed by his or her company. It is possible that journey schedules can be changed, hotel expenditure unnecessarily incurred in order to qualify for points. While not a major moral issue it is one which could cause the 'paying corporate customer' to react adversely to so-called loyalty schemes. Another drawback is that unless well targeted, such expensive schemes can reward customers who would remain loyal regardless. The consequence of this is that the price of products and services are higher to the truly loyal customer who is subsidising the ersatz loyal customer.

Ersatz, or imitation of an inferior kind, is the appropriate term for the next loyalty practice – mystery shoppers. Employed usually by specialised agencies, these substitute customers are used to assess conformance to standards by employees in the front line of customer service. Armed with a checklist of points to be assessed, the mystery shopper pretends to be a genuine customer and observes employee behaviour in diverse circumstances. While such observations can provide useful insights into ways of improving customer loyalty, it is a practice which has a number of drawbacks. By their nature mystery visits are usually brief one-off affairs; they can provide information to a bank on how its staff deals with swift transactions such as cashing a cheque, but not on how it nurtures long-term relationships. Even when dealing with the short term the mystery shopper is by definition in a different mindset from the genuine customer. Being paid to wait in a queue evokes a different attitude, however slight, from being in a queue and fighting time. Furthermore, the use of this device implies a lack of trust, perhaps justified, in the commitment of employees to customer care. Since mutual trust lies at the heart of customer loyalty this can be damaging. Like prostitutes, mystery shoppers may serve a need, but

clients seeking genuine responses to their desires might find it more fulfilling to replace mystery shopping with a cheaper more effective alternative – sound management.

Most mystery shoppers are recruited from agencies which specialise in the next practice – outsourcing. Carelines, telemarketing, loyalty schemes, market research and, above all, advertising, are long-established activities which companies generally prefer to contract out. This has the advantage of companies being able to draw on in-depth expertise as and when required. Against this can be the creation of a corporate perception that sustaining customer loyalty is an optional extra or on a par with a component which can be sourced more cheaply from without. Furthermore, where customers are under a misapprehension that they are dealing with a particular company rather than its agent they can, when the truth is revealed, act like a child who by chance discovers it is adopted. The shock may not be too severe but the parental relationship is forever different.

Servuction is an ugly word to describe an attractive process. It describes the direct involvement of the customer in the service delivery process. Together with shared care it forms a major part of this book beginning with Chapter 5. For this reason there is little to add here to the summary in Digest 2.2. These two practices together with some other new concepts will enable twentieth-century companies to make the transition to the twenty-first, while retaining today's customers tomorrow. Although the same, they will be different.

CONCLUSION

Marketing has played a pivotal role in the development of customer awareness in all types of industries. From mass media advertising to direct personal contact, companies compete for custom and sustained loyalty of purchasers.

The second half of the twentieth century has witnessed three marketing waves. The 1950s and 1960s heralded an advertising blitz as TV spread to virtually every home and stimulated pent up demand. Sated consumers in the 1970s and 1980s had to be stimulated by the second wave in which marketers trumpeted the merits of 'new and improved'

products. With improved technology in the 1990s has come the third wave – databased marketing, providing the means for more personal selling. But as we approach the shores of the twenty-first century a new type of wave is gathering – retention management, which goes beyond reliance solely on marketing skills. Those who ride its crest successfully will find that as they land on the coast of the third millennium they have moved beyond conventional marketing and in so doing have taken their customers with them.

3 Creating and Sustaining Loyalty Advantage

INTRODUCTION

Loyalty advantage consists of the benefits which accrue from a prolonged relationship with a desired customer. Such benefits can be classified into economic, physical, psychological and moral.

Whilst precise estimates vary it is calculated that the cost of attracting a new customer is around five times the cost of retaining an existing one. Obvious cost savings stem from reduced expenditure on advertising and cut-price introductory offers and 'free gifts'. Less obvious, but still substantial, are reductions in compensation demands from first time purchasers motivated by ignorance or malice, lower rates of defaults on loans and other financial obligations, less likelihood of a bad press from the unknown customer seeking retribution through the media rather than the supplier. Return on loyalty (ROL) can be measured in economic terms as will be shown later in this chapter. Indeed, it must be measured if the company is to succeed. A relationship built solely on one party luring the other with financial advantage is not loyalty but bribery.

More difficult to measure are the physical, psychological and moral dimensions of loyalty advantage. These comprise a variety of tangible and intangible factors which sometimes overlap two or more of the dimensions. Physical factors will include durability of a product, speed of response of a service. Psychological factors cover the less tangible, such as the human touch, aesthetic appeal, reduced anxiety. As far as the moral dimension, loyalty advantage may flow from environmental sensitivity, a reputation for integrity, enlightened employment practices. What may be termed the 'building blocks' of loyalty advantage are listed in Digest 3.1. These have been divided into 'traditional' and 'new'; such a division reflects changing concepts of the customer during the last quarter of the twentieth century.

Digest 3.1 Building blocks of loyalty advantage

Traditional

Aesthetics: the sensory and/or emotional appeal of a product or service.

Conformance to specification: applies to precise quantitative measures in terms of size, weight, location, etc.

Durability: life-span of a product or service.

Grade of service: 'first class' transport is first class; five star hotel is distinctly superior to a four star.

Human touch: genuineness of caring behaviour.

Perceived quality: impression of the enhancing or diminishing qualities of a product or service.

Peripherals: availability of free extras, gift packaging, etc.

Reliability: product functions without a hitch; service is provided at specified time.

Serviceability: ease of maintenance and repair.

Speed of change: time taken to change situation to meet customer's needs is minimal.

Speed of response: waiting or other wasted time is kept to a minimum.

Value in terms of price: extent to which customer feels that price paid was fair.

New

Added-value options: degree to which product adds value for the customer.

Hazard threshold: extent of potential danger to life or limb.

Link opportunities: ways in which customer can benefit from relationship with one provider giving preferred access to others.

Political correctness: extent to which product or service may offend susceptibilities of specific groups.

Pollution impact: type and nature of effects on local/national/global environment.

Psychological impact: soundness of effects which product/service has on the mind of the customer.

Rectitude of provider: evidence of high standards of moral behaviour.

Symbiosis potential: how far provider and customer can be interlinked for mutual benefit.

CHANGING CONCEPTS OF THE CUSTOMER

With mass markets and the rise of the consumerist society from the mid-1970s perceptions of the customer have changed, not only in the eyes of the suppliers, but in the view of politicians, the media and customers themselves. Some of the reasons for these shifts were outlined in Chapter 1. Other causes will be explored later. For the present it is necessary to summarise the changing concepts since any blueprint for enhancing loyalty advantage must be based on current and emerging realities, not outmoded perceptions.

Shifts in the concepts of the customer can be summed up as follows:

From passive recipient to participative creator. As was shown in Digest 1.1, throughout history the customer has been seen as someone to whom things happen rather than makes things happen. This is changing as customers seek to contribute to the satisfaction of their needs, be it in precisely specifying their requirements or taking an active part in the delivery process, whether it be assembling furniture or self-catered holidays.

From impulse buyer to life expenditure planner. The easy money of the mid-1970s to mid-1980s has been spent. Customers are forced to budget their income and expenditure more carefully in the 1990s. Impulse buying is perceived as profligate rather than fun; in a life of economic discontinuity the only constants are bills and taxes. Life goal planning has moved from the textbook to the bank book.

From acquiescent receiver to assertive chooser. The Henry Ford offer of 'any colour as long as it is black' has long gone. But in many services and still a few manufacturers, restricted choice still rules. However, customers today are better informed as to alternatives than were their predecessors. The 'best place for ...' is no longer determined by geography but telecommunications. The former High Street shopper is the Information Highway shopper; translated to 'Info-bahn' for the cosmopolitan consumer, or 'I-way' for the truly assertive.

From 'economic man' to 'holistic person'. Traditional economic theories of demand and supply based purely on monetary

rewards have ceded to the view that purchasing decisions are motivated by more than financial gain. A body without a soul is a cadaver; a customer devoid of aspirations other than the economically functional is a robot. Businesses need to appeal to the total being if they are to retain loyalty.

From discrete needs satisfaction to hyphenated needs satisfaction. Whereas in the past customers could be classified by income or relatively clearly identifiable lifestyles, society has become more heterogeneous. Customers no longer want hamburgers, but low-fat, environmentally friendly, nutritious hamburgers. Family purchases are no longer for just wedded parents and their offspring, but can be for unisex partners with fostered children and care-dependent adoptive grandparents. The age of the hyphenated, correction, multihyphenated need has arrived.

These changing concepts illustrate the need constantly to monitor the structure and nature of a company's market, lest the chameleon customer disappears from view only to re-emerge in the clutch of a more sharp-sighted competitor.

MANAGING CHANGING CUSTOMER RELATIONSHIPS

The relationship of any supplier *vis-à-vis* a customer is determined by six sets of variables:

1. Goals – what both parties are seeking to achieve.
2. Demands – the pressures working on both.
3. Limits – constraining factors defining the boundaries within which each of the parties has to operate.
4. Options – the range of choices available to each.
5. Values – what governs the moral choice of each.
6. Behaviour – how each of the parties interacts with the other.

Any movement beyond the current state of customer loyalty brings changes in the nature and relative importance of each variable. At such times of transition a systematic approach to managing loyalty advantage is highly desirable.

- *Goals* have to be set by the supplier for establishing, maintaining, enhancing or otherwise changing the relationship. Customers need to be encouraged to be open as to their goals so that an early judgement can be made as to their feasibility. This will avoid the danger of unrealistic expectations taking hold in the mind of the customer. Equally, it will present the supplier with the measure of competitive standards to be met or forfeited if the organisation is not up to it.
- *Demands* have to be assessed and planned for in terms of time, money and other resources to be invested in the relationship. The pressures on either party may increase in the short term as a result of new approaches to customer retention. Temporary upsets should be recognised as such and not be allowed to block longer term benefits.
- *Limits* have to be identified, and perhaps tested, to assess what is feasible in managing the relationship. For example, the empowerment of staff to be more spontaneous in providing care may cause greater financial and interdepartmental strains than can be justified by enhanced profitability. No matter how extensive is the practice of empowerment, limits have to be set. The key point is that they are perceived by staff and customers as justifiable and not as impositions.
- *Options* need to be explored, particularly their implications for the other party. The more options which can be identified the greater the likelihood of achieving a match between the interests of both supplier and customer. This is particularly important in any attempt to increase customer input to service delivery processes.
- *Values* have to be re-examined in the light of change to assess their appropriateness. Aligning values is an essential part of the management of customer relationships. Shifts in moral sentiment, the eruption of a scandal, significant changes in legislation, can all lead to an upset of values and, consequently, behaviour.
- *Behaviour* which is in line with the movement to new levels or types of customer retention has to be encouraged and

may need special support. This can take the form of financial or other incentives, training or some type of special treatment to enable the behavioural changes to take hold.

Figure 3.1 provides a framework for identifying the changes needed in terms of goals, demands, and so forth for reinforcing customer loyalty in terms of the different approaches to the provider–customer roles. Personal factors, such as ‘personality clashes’, abruptness or shyness can lead to breakdowns in customer relationships. Experience, however, suggests that a lack of mutual understanding on goals, demands and the other factors listed above are more often the cause of companies being unable to reap the full benefits of creating and sustaining loyalty advantage. Hence the need for a blueprint.

DESIGNING A STRATEGY BLUEPRINT

Loyalty advantage takes time to gain, effort to keep and is easy to lose. Sustaining the advantage involves a six-stage strategy which is deceptive in its simplicity since it must be backed by commitment and determination. Too often the best designed strategies fail because process becomes confused with purpose. In going through each of the stages it is essential to keep in mind that the purpose of the exercise is to secure and sustain business success through the building and retention of customer loyalty. Briefly, the six stages of such a process are:

1. Ensure effective quality and customer care systems are in place including customer-focused performance and delivery standards.
2. Establish the cost of current customer retention initiatives as described in Digest 2.2. Assess these against the returns for product/service delivery to current customers.
3. Identify the critical factors which determine customer retention or loss. Forecast the likely impact of market changes and competitive pressures.
4. Concentrate on initiatives which will secure customer retention by cost effective means.

Figure 3.1 The management of customer relationships

Role	Changes needed for sustaining customer loyalty					
	Goals	Demands	Limits	Options	Values	Behaviour
Provider						
Customer as carer						
Customer as a resource						
Customer as change-driver						
Customer as experience-shaper						

5. Implement the programmes which have proved most successful at the pilot stage.
6. Sustain loyalty advantage through continuous measurement of results internally and monitoring of competitor activity.

Ensuring Effective Systems

The first stage is to ensure that sound quality and customer care systems are already in place including customer-focused performance and delivery standards. Particularly important are systems for:

- identifying customer needs and expectations;
- meeting the needs in ways which match or, where possible, exceed these expectations;
- monitoring and anticipating the forces of change as described in Chapter 1;
- checking competitor activity.

No matter how efficient the systems may be it is unwise to move to the next stage unless all or most of the following preconditions can be met:

- (a) *Stakeholders* are open-minded, willing to consider options for change and able to forego their own ideas if convinced that there is a better alternative to achieving a desired goal.
- (b) *Organisation culture* is flexible; it does not place great emphasis on maintaining the status quo in the face of new circumstances. Equally, it resists the ruthless pursuit of a particular course of action which does not have the backing of a reasonable broad-based consensus.
- (c) *Business strategy* is sensitive to receiving signals from the environment at large. It interprets them in terms of the future focus of the organisation rather than its history.
- (d) *Structure* combines a high level of autonomy, with an emphasis on teamwork, interaction between functions and empowerment of the individual.
- (e) *Customers* are perceived as pace-setters who have the inclination and capacity to help serve their own and the company's interests.

- (f) *Suppliers* are seen as having a joint role in enabling customers to achieve their goals. As a consequence they are privy to sensitive company data which it is assumed they will respect.
- (g) *Regulators* are treated as allies in the quest for improved standards of customer retention.
- (h) *Innovation* to enhance loyalty advantage is acceptable only when it clearly adds value to existing products and services.

Once these preconditions exist the next stage in the strategy can come into play.

Current Costs of Retention

Establishing the costs of current customer retention initiatives and practices will require the assessment of these against the returns for product-service delivery to customers. Using the 'retention costs analysis' (Figure 3.2) it is possible to analyse each of the practices listed in Digest 2.2 in terms of:

- Customer segments at whom the practice is targeted.
- The reaction of customers to the practice as revealed in market research.
- The cost of the practice in overheads, operational expenditure.
- The competitiveness of the practice in relation to market share, price premiums, customer attraction, media reaction.
- New opportunities for applying the practice to current and new markets.

Any retention costs analysis needs to take account of the non-financial cost of each practice, particularly the loss of the goodwill of a customer if a practice is ended. Many retention practices are like magazines: the first issue is easy to produce and well received but by the fifty-first issues enthusiasm may have waned. It is therefore vital to decide and make clear to customers the likely duration of a loyalty initiative; otherwise the pain of withdrawal may far exceed the pleasure of receiving.

Figure 3.2 Retention costs analysis

<i>Practice</i>	<i>Customer segments</i>	<i>Customer reaction</i>	<i>Cost</i>	<i>Competitiveness</i>	<i>New opportunities</i>
Carelines					
Channel partnerships					
Charters					
Codes					
Complaints handling					
Compensation					
Counselling					
Consultation					

Figure 3.2 Cont.

<i>Practice</i>	<i>Customer segments</i>	<i>Customer reaction</i>	<i>Cost</i>	<i>Competitiveness</i>	<i>New opportunities</i>
Continuous improvement					
Delight factor					
Empowerment					
Loyalty schemes					
Mystery shoppers					
Outsourcing					
Response pricing					
Servuction					

Figure 3.2 Cont.

<i>Practice</i>	<i>Customer segments</i>	<i>Customer reaction</i>	<i>Cost</i>	<i>Competitiveness</i>	<i>New opportunities</i>
Shared care					
Technicare					
Time-shaping					
Other					

Digest 3.2 Technology and the new approaches

<i>Technology</i>	<i>Impact on customer as</i>
Spread in use of smart cards	<i>Carer:</i> Need for security consciousness. Rewards for avoiding loss or abuse. <i>Resource:</i> Facilitates access to range of services especially data on 'how to . . . '. <i>Experience-shaper:</i> Round the clock access to desired service.
Computer networking	<i>Resource:</i> Ready access to the expert if faced with problem. <i>Change-driver:</i> Easy to mobilise support of like-minded people. <i>Experience-shaper:</i> Increases options for meeting needs.
Increased use of robotics	<i>Carer:</i> Reduces hazards to service provider. <i>Resource:</i> Extends range of skills. <i>Experience-shaper:</i> Enhances individuality of product/service.
Miniaturisation	<i>Carer:</i> Reduces intrusiveness/annoyance factor of products. Decreases use of scarce resources. <i>Resource:</i> Increases mobility and easy use of 'tools'. <i>Experience-shaper:</i> Extends location options for desired events.
Information highways	<i>Carer:</i> Provides desired combination services with less physical demands on the provider. Orders can be processed more smoothly although customer perceives 'instant' attention to requests. <i>Resource:</i> Provides extensive data bank for rapid development of basic competences. <i>Change driver:</i> Constant updating on major issues. <i>Experience-shaper:</i> Instant access to wide range of aural and visual stimulation.

Digest 3.2 Cont.

<i>Technology</i>	<i>Impact on customer as</i>
Virtual reality	<i>Carer:</i> Enables assessment to be made on the impact of needs fulfilment on providers. <i>Resource:</i> Hazard-free testing of competences. <i>Experience-shaper:</i> Can provide foretaste of desired experience and/or a 'real' experience exactly matched to specified needs.

Equally the cost of a practice may be higher than is assumed because it repels potential, and possibly more profitable customers. Thus the use of mystery shoppers or support for a particular cause may put off some individuals. Finally, as previously mentioned, in respect of 'loyalty schemes', any retention practice may be incurring costs without changing the loyalty advantage which the company enjoys, regardless of specific initiatives.

Identifying Critical Factors

The analysis of costs will throw up essential data for the next stage in the strategy – the identification of critical factors which determine customer retention or loss. Some of these have been listed in Digest 3.1, in addition will be:

- (a) Company reputation, particularly if the business is long established and exclusive, for example, Harrods store in London.
- (b) Strong branding for a product such as Coca-Cola or a service like Visa credit cards.
- (c) New software regularly introduced to upgrade and extend services as happens at American Express.
- (d) Linking to an existing network of related activities as does the Disney Corporation.

In the case of business to business relationships, as distinct from personal customers, critical factors will be easier to

identify because of the closer nature of such contacts. Such critical factors for, say, a telecommunications manufacturer, would be:

- Hardware
- Software
- Delivery
- Pricing
- Installation
- Post installation
- Engineering
- Training of customers' staff

These we will return to shortly. Whatever the business there will be a few core factors which are critical to customer retention. Identifying these makes possible the transition to the next stage.

Concentration on Initiatives

Stage four concentrates attention on those initiatives which will secure loyalty advantage by cost effective means. Increasingly, this will call for close attention to the use of technology.

Figure 3.3 provides a framework which is useful at this stage. The horizontal axes refers to the significance of technological change to customer retention; the vertical axes to the expected rate of such change. In plotting the position of a company on the chart, a telecommunications business would be in the extreme top left-hand segment ('rapid rate/major significance'), whereas a jewellery designer would be positioned nearer the bottom right. Any business placing itself in the extreme left ('no significance') is almost certainly lost in more ways than one.

Having assessed the likely impact of technology it is then necessary to determine how it will help to redefine the role of the customer as carer, resource, change-driver and experience-shaper. Digest 3.3 gives examples.

Sustaining Loyalty Advantage

The final, but unending, stage of the strategy blueprint is the continuous measurement of results internally and the

Figure 3.3 Technology impact analysis
Significance of technological change to customer retention

Expected pace of technological change	Significance of technological change to customer retention				
	Major	Considerable	Average	Little	None
Rapid					
Gradual					
Slow					

Digest 3.3 Customer loyalty and the well-being factor

<i>Well-being factor</i>	<i>Impact on customer loyalty</i>
Reducing health hazards	Personal and social benefits reinforce sense of company being socially responsible.
Increasing health benefits	Evokes sense of enhanced personal responsibility in using the product or service.
Reducing stress	Raises comfort level of customer.
Improved safety	Enhances sense of security and reduces exposure to the unknown.
Compensating for disabilities	Conveys a sense of normality without being patronising.
Reducing threats	Lowers the anxiety level which otherwise could be debilitating.
Protecting the vulnerable	Creates image of the corporate good citizen in an increasingly lawless world.
Enabling the old	Extending the quality as well as the longevity of life.
Holistic care	Caring beyond the perceived traditional boundaries of business responsibilities.

monitoring of competitor activity. Whether the customer is an individual consumer or a business, there are a number of basic rules to be followed:

- (a) Beware of confusing aspirations with achievement.
- (b) Focus on measurable attributes.
- (c) Identify the most important attribute in the eyes of the customer.
- (d) Focus on strategically significant competitors.

- (e) Identify the most important competitor in the eyes of the customer.

BUSINESS-TO-BUSINESS CUSTOMER RETENTION

To illustrate these points let us consider the approach of a major North American telecommunications manufacturer. The case study has lessons for all companies supplying businesses in industries which are undergoing change. Operating internationally, in highly competitive markets, its customers range from international corporations to state-owned monopolies; some are distributors, others end users. The perceptions and priorities of each customer segment differ as is reflected in recorded levels of satisfaction.

In striving to make the paradigm shift to an information society, the company, in the 1980s, defined a number of core values:

- Commitment – we do what we promise
- Innovation – we reward initiative
- People – our main strength
- Customers – we provide superior value

To these aspirations were added 'Excellence – our only standard'. These somewhat anodyne aspirations may give comfort to their authors, but are of little real help in planning how best to measure achievements in sustaining loyalty advantage. For this the company has defined twelve attributes which their research shows as important to customer satisfaction and hence loyalty and success:

1. Hardware: the equipment supplied in any shape or form.
2. Software: the programmes and other inputs which enable the equipment to function efficiently.
3. Pricing: the costs charged to customers for equipment and all services.
4. Delivery: the speed and reliability of supplying customers' needs.
5. Engineering: the innovation and reliability of the design of systems and components.

6. Installation: the efficiency of assembling and installing equipment and systems at customers' premises and other designated sites.
7. Post installation service: the efficacy of maintaining and servicing equipment and systems after their installation.
8. Documentation: the availability, clarity and comprehensiveness of manuals, leaflets and other publications related to all aspects of equipment and systems.
9. Proposals: the timeliness, clarity and accuracy of bidding, tendering and suchlike documents
10. Training: the instruction and guidance given to customers' employees to enable them to make optimum use of the hardware and software provided.
11. Personnel: the technical calibre, integrity and behaviour of the supplier's employees and representatives *vis-à-vis* the customer.
12. Marketing and sales: the integrity and proficiency of all marketing and sales staff in their dealings with the customer.

These dozen attributes can be measured against performance standards and compared with customers' perceptions or experience of those of competitors. The relative importance of each attribute will differ between customers, although some general trends will be apparent from the preceding stages of compiling a blueprint.

Loyalty advantage in the telecommunications industry of the mid-1990s depends on responding to traditional customer needs in respect of the above attributes, plus:

- helping customers to cope with uncertainties arising from 'convergence' to multimedia;
- attracting new customers coming from different cultures and technologies such as the entertainment and publishing industries;
- avoiding being the technology scapegoat for non-technical problems associated with mergers between traditional customers and those of the merging partner who has used a different supplier.

Faced with discontinuity in the whole field of telecommunications, customers have become increasingly intolerant of avoidable uncertainties arising from the performance of suppliers. The management of uncertainty is crucial to sustaining loyalty advantage. As with every type of industry experiencing rapid technological change, new opportunities to delight customers and new threats to traditional satisfiers are continually emerging. It is therefore necessary to distinguish between attributes which pacify and those which fulfil customers' needs.

Identifying the most important satisfier in the eyes of the customer requires close and regular contact. Care has to be taken to avoid too many demands on the customer. Where there are prolonged high levels of dissatisfaction in respect of a particular attribute which the supplier is unable to improve upon significantly, the continued direct questioning of customers' satisfaction levels can prove counter-productive. Internally, the volume of information created by a satisfaction measurement process can become indigestible and demotivating. Attention therefore needs to be focused on important attributes which have low scores. In addition, there are three other factors which the telecommunications company measures:

1. Whether or not the customer would recommend the supplier.
2. The extent to which the past expectations of the customer have been met.
3. Does the customer have higher or lower expectations of the supplier's future performance.

Taken together the satisfaction ratings for the twelve attributes and three factors provide a benchmark for assessing competitive standing.

Focusing on strategically significant competitors calls for objectivity. Companies sometimes indulge in a form of self-deluding reflected glory by treating as competitors organisations which are actually out of their league in terms of reputation, innovation, profitability or other such characteristics. A company listed in the bottom ten of, say, the 'Fortune 500' which cites as a competitor a similar business in

the top ten is likely to be deluding itself. Strategically significant competitors are those who are directly competing for the business of the same customer. Rolls-Royce is not a strategically significant competitor of manufacturers of family cars although they are each in the automobile industry. The competitors to be monitored are those whom the customer considers to be alternative satisfiers of needs.

Moving from the business customer to the personal consumer, sustaining loyalty advantage calls for a similar approach to that adopted by the telecommunications giant. No matter how small the company, or how specialised the industry, it is necessary to define key attributes and measure them against the competition.

KEY ATTRIBUTES FOR CONSUMER SATISFACTION

In their day-to-day dealings with companies customers assess satisfaction against a frequently changing kaleidoscope of attributes. For products these can be defined as 'fitness for use'. Either the piece of equipment operates to standard or does not. In the case of a light bulb there can be no argument; it lights up or it does not. Cars and other machines may perform below standard, but nevertheless provide the required results.

When it comes to services, 'fitness for use' is more a matter of judgement; it is determined by those features of the service that the customer recognises as 'fulfillers' rather than 'pacifiers'. The *timeliness* of airlines departures and arrivals is more important to customer retention than the quality of the inflight movie. Standards of *courtesy and helpfulness* in shop assistants are more prized than window displays. The *noise-free transmission* of telephone calls is of greater value to customers than the colour of the telephone instrument. Similarly, *cleanliness and hygiene* in hotel bathrooms is more likely to satisfy customers than the provision of exotic shampoos. Although, here, as in the other examples, there will always be exceptions.

As well as the specific attributes for an industry there will be a variety of features which shape customers' perceptions of the competitiveness of a product or service. Companies whose

products are higher priced, less innovative or less durable can still sustain loyalty advantage by such features as:

- (a) Ambience
- (b) Information
- (c) Security
- (d) Well-being
- (e) Self-esteem

Ambience is created by a blending of the tangible and intangible; furnishings, refreshments, music, diversions and layout can all create negative or positive reactions from customers. The use of ambience is likely to be more effective when it meets five criteria:

1. Value is added to the core product or service
2. The customer is put at ease
3. Physical design, furnishing and the appearance of staff are in harmony
4. Lay-out and ancillary devices such as lifts, escalators and mobile walkways are designed primarily for the convenience of customers
5. Cleanliness, security and accessibility receive special, though discreet attention.

Information satisfies the 'need to know' which is based on an instinctive human desire for control of one's environment. Customers who know what to expect derive a feeling of well-being from this knowledge since they have the information needed for predictability, and the option to choose an alternative. Product branding, the most common and longest established device for sustaining customer loyalty, is based entirely on this premise. The familiar label provides at a glance all the data a customer requires to know whether or not the product is likely to meet their needs and expectations. Lacking knowledge of what to expect, customers are at the mercy of rumours and surprises, with the result that anxiety rises.

Security provides the customer with both physical and psychological comfort. It shows itself in such ways as a respect for customer privacy, rigorous enactment of security checks

and controls, fail safe devices and safeguarding of confidentiality. Because customers entrust their person, property and well-being to the custody of suppliers of services, as well as products, 'service safety' is as vital for customer retention as 'product safety'.

Well-being, both mental and physical, has been a pre-occupation of humankind since the Garden of Eden. Providers of products and services which are perceived as contributing to improved well-being attract and retain custom. Products and services perceived as threatening or damaging to well-being repel custom. The 'well-being factor' will increase in importance for reasons shown in Digest 3.3. Historically, many manufacturing companies and services have been aware of the importance of the well-being factor to their success; car manufacturers and medical services for instance. In future, the success of medicine in preserving and prolonging life will result in there being more 'unwell', disabled and old customers. They will have a powerful political voice and provide a focus for consumer action groups. Not for the first time, nor the last, will enlightenment and profit opportunity coincide.

Associated with all the above is *self-esteem*. Its importance in sustaining customer loyalty advantage cannot be over-emphasised; unfortunately it is often overlooked.

SELF-ESTEEM: THE FULCRUM OF SUCCESS

Self-esteem provides the fulcrum on which loyalty advantage rests. Any action which increases the self-esteem of a customer will strengthen the bonds of loyalty. For most people the positive impact of enhanced self-esteem is more difficult to bring about than the negative effects of damaged self-esteem. The reason for this is that 'personal insecurity' is a more prevalent psychological state than high personal worth. Customers generally are more willing to accept any confirmation of their own assessment of their worth than to believe contrary indications.

Conveying in a sincere manner the message: 'You are better than you think you are' is a powerful weapon in the battle for customer retention. But as with any weapon it must be used with skill lest it causes damage to all concerned. The use of

'welcome' symbols, customers' names, instant recognition, continuous attention, small gifts or 'thank you letters' all have a part to play. Bolstering self-image in ways which are sincere and so enhance self-esteem will become a core competence in all industries.

Self-esteem is important at all stages in life, from childhood to old age. It is necessary to remember this when considering the Customer Retention Cycle.

CUSTOMER RETENTION CYCLE

Traditionally, manufacturers and service providers have operated on a four-phased product/service cycle; this needs to be synchronised with a seven-stage customer retention cycle.

The phases of the product/service cycle are:

1. Proposal phase
2. Preproduction phase
3. Production/marketing phase
4. Planned obsolescence phase

The *proposal phase* is where a particular product/service is considered for development. This calls for consideration to be given to such matters as defining the proposal in terms of sales and market share objectives in specified locations; likely product performance, main applications and estimated life-span; competitive position and product/service comparisons; nature and extent of design and development requirements. All of these have resource implications; they also have implications for customer attraction and retention.

The *preproduction phase* covers a variety of activities, the precise nature of which will depend upon the new product's/service's likely impact on the future growth and earnings potential of the company. Technical, financial, manufacturing and marketing considerations will determine whether or not it makes sense to move to the next phase.

Production/marketing with all it implies in terms of commercial exploitation and commitment of resources should be the longest phase. It would cover not only launching a product/service, but planning to extend its lifetime and/or

maintain its sales under increasingly changing or difficult competitive pressures. Throughout this phase companies can become preoccupied with such issues as:

- (a) Can profit performance or lifetime be improved or extended by maximising the potential of the product/service in new markets?
- (b) Is there scope for upgrading the current performance standards?
- (c) Can the product/service be made more attractive to current and potential customers?

The answers to these questions may suggest that the only feasible course of action is to move to the next phase – *planned obsolescence*. When this phase is reached it is necessary to develop new products/services. However, it need never be reached, or at least it can be postponed by viewing concurrently the product and the customer retention cycle.

The customer retention cycle (see Figure 3.4) defines customer relationships as having seven stages related to the life of a person and their dominant consumer needs:

- Childhood – dependency market
- Youth – first-use market
- Young adulthood – experimentation market
- Mature adulthood – family market
- Middle age – replacement market
- Young old age – rejuvenation market
- Old-old age – dependency market

At each stage the determinants of customer retention vary as the individual passes through life.

Childhood

Childhood is by definition a period when customer loyalty is of short duration. It is the dual consumer choice phase. Parents, sometimes influenced by their children, make most of the purchasing decisions. Children, enlightened by television advertising and peer comparisons, can influence the buying decisions of parents. There are a number of industries, food

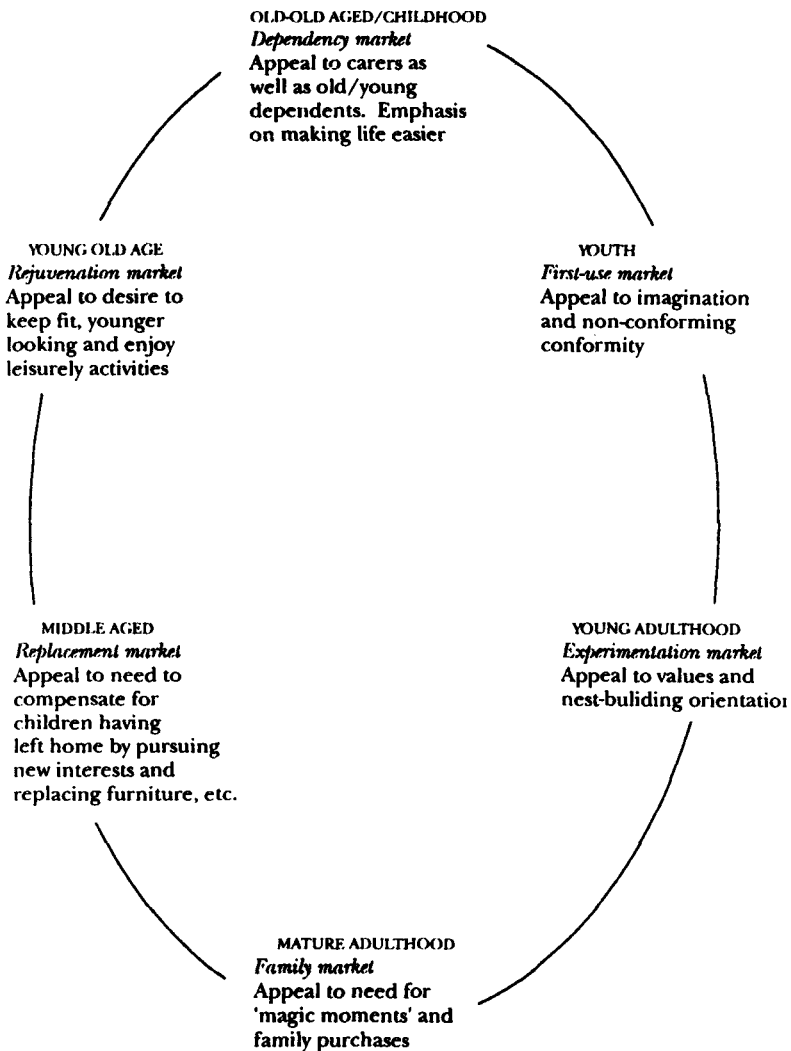


Figure 3.4 Customer retention cycle (idealised)

manufacturing and banking, for example, where attracting children can lay the foundation for sustaining loyalty at later life stages. On the other hand, children coerced by parents into eating particular brands of food or wearing 'sensible'

clothes can result in product resistance in later life. Just as the prism of childhood exaggerates the size of the physical – ‘We lived in an *enormous* house which had *gigantic* spiders...’ – so too is psychological impact distorted. Memories of thoughtfulness or thoughtlessness recorded by the child customer become deeply entrenched pleasures or pains. The earlier a retailer introduces the bonding process (see Chapter 4) the more likely the chances of sustaining loyalty advantage. In the earlier years of childhood it is the loyalty of the parent purchaser that has to be secured. In this stage it is not only product attributes which matter, but accessibility to toilet facilities, changing-rooms and feeding areas which attract the adult customer with children.

Youth

Teenagers are in the first-use market. They seek satisfaction of their need to be conformingly rebellious and individually uniform in their choice of clothes and leisure activities. Influenced, like their parents, by the forces of change, they are distinguished in the 1990s in the USA and Europe by five characteristics:

1. High sensitivity to environmental issues.
2. The ability to survive outside the traditional family structure.
3. A likelihood of being poorer than their parents.
4. Technocomfort; they are familiar with computers.
5. Global awareness; they feel part of a global community.

Children are the most potent force for influencing adults to buy environmentally responsible products. Sensitised at school, colleges and through television to ecological issues, rather than religious beliefs, environmentalism is a principal means by which children distinguish between what is right and wrong. These eco-values influence their consumer preferences and continue to do so to a greater extent as they enter their youth.

Forced by divorce, single motherhood and serial monogamy to survive in a less stable home environment than their parents and grandparents, young people are thrust into the

realities of the welfare state and other social and political issues at an early stage. Consumer rights, together with other citizenship privileges and obligations, form part of their formal and informal education. Streetwise awareness of 'how far can you go?' no longer applies to sexual relationships but to dealing with 'authority' – be it local shopkeeper or the police.

During the twentieth century each generation as a whole throughout the industrialised world was richer than its predecessor. But the recessions of the late 1980s and early 1990s brought about a reversal of fortune. As a consequence the youth market of the last decade of the century is as price conscious as that of the first. The big difference is that consumer choice is now infinitely greater, therefore attracting and retaining the youthful consumer is so much more difficult, though it can be done. The major point to be borne in mind in any marketing plan is that teens represent 'the most global market of all'.

An article under that title in *Fortune* (16 May 1994) highlighted the following features of this global teen market:

- Teens almost everywhere buy the same branded goods, from Reebok sports shoes to Nintendo video games.
- The potential youth market in Latin America and Asia is significantly greater than in the USA and Europe.
- Customer attraction requires an insight into the 'curious, impatient, thrill seeking minds of teenagers'.

Picking up on some of the trends mentioned earlier, the globalisation of the teen market is shaped by an increasing willingness to embrace other races, hence the popularity of ethnic music and the influence of the black urban market. Forced to work for leisure spending money the youthful consumer has a high level of independence in purchasing. The impact of MTV, the US music video network, extends across the globe creating a homogenisation of taste in foods, drinks, clothes and sports equipment. By use of the media customer loyalties are being fashioned which marketers plan to sustain into the next stage in the customer retention cycle – young adulthood and beyond.

Adulthood

As with the teen market, there is a growing globalisation of the purchasing preferences of adults. In 1994 the US Department of Commerce identified the ten biggest emerging markets: China, Indonesia, South Korea, Turkey, South Africa, Poland, Argentina, Brazil and Mexico. It estimated that these countries will double their share of global GDP to 20 per cent by 2010. As a consequence, millions of new consumers will be more affluent and looking for so-called 'magic moments' – cars instead of bicycles, washing machines, not just detergents, freezers in place of ice. Securing and sustaining loyalty advantage will require rethinking of traditional marketing techniques.

In the emerging markets of Asia and Latin America purchasing decisions are made by the extended family rather than the individual or two-parent family of the USA and Europe. Young working people in the developing economies tend to remain at home until they marry; even then the home may simply be enlarged to accommodate the new members. Customer loyalty, therefore, is dependent on collective rather than individual ties.

Another important trend across the globe is the increasing influence of the working woman, now earning sufficient to make independent consumer choices in hitherto male dominated markets such as cars, gardening equipment and computers.

Multicultural sensitivity will become a key factor in loyalty advantage. This will call for a rethinking of product size (smaller domestic appliances for smaller apartments) and design. For example, many Asian consumers keep their refrigerators in their living rooms for reasons of status and so require a greater range of colours than the traditional white. Furthermore, the means of financing the purchase of durable goods developed by Western banks and retailers may not be appropriate to other financial systems. Thus loyalty advantage may depend not on the quality of a product but on the means by which it can be acquired.

Moving round the cycle of customer retention we encounter the final stage – old age. It is the battlefield on which major competitive battles for loyalty advantage will be fought.

Old Age

People alive in 1900 in Europe and the USA could expect to survive to their mid-40s; by the end of the century the expectation will be survival to 80 and rising. This longevity revolution has marked consequences for customer loyalty and corporate success, not to mention a host of social and political implications.

In terms of changes in consumer demand at different stages in the retention cycle, the increase in the proportion of older customers will have a marked effect on:

- (a) Medical and caring services
- (b) Pharmaceuticals
- (c) Financial services

Organ transplants (increasingly artificial) is an obvious area of growth as is the treatment of heart disease. Nursing homes providing both therapeutic and custodial services will represent one of the fastest growing centres as medicine prolongs life. Making that life more active than has been considered feasible in the past will be a challenge for drugmakers and manufacturers of exercise equipment. But an enhanced and extended quality of life needs financing. As a consequence inheritances will get smaller as longer living parents use up their life savings. Provision for financing longevity will require new thinking by financial services on such matters as pensions, life assurance and loans backed by future inheritance.

Customers will seek from banks an assurance of an extended lifetime support when they make their investment and other financial plans at earlier stages in their lives. Witnessing the often poor quality of the extra years of the first generation of the old-old, customers will be more sensitive than previous generations to the importance of healthy living.

Whereas in earlier decades 'planning for old age' was a synonym for 'saving money' it has become a way of life. Companies providing 'genetic reinforcement' will retain customers; those perceived as marketing life threatening products such as tobacco will lose customers. Consumers will

want reassurance in labelling and guarantees that the quality of goods and services is life enhancing.

A major requirement will be for the redesign of products, accommodation and places of leisure to meet the physical needs of an ageing population. Access for wheelchairs, slowly closing doors, larger print, louder warning signals and longer periods to cross roads will no longer be the whispered request of a disabled minority, but the shout of well nigh a majority when 'carers' of the old are included.

Loyalty advantage will go to those whose products and services neither stigmatise nor patronise the older customer. This will call for not only a redesign of products, but of procedures which might otherwise confuse, threaten or demean. As with the first stage, childhood, so at this stage, it is not simply product attributes which sustain loyalty advantage. Accessibility to toilet facilities, opportunities to sit and rest or the ready availability of refreshments will become key attributes in keeping customers. Thus as an individual completes his or her cycle of life, those who have witnessed the manner of their treatment by providers of goods and services will be influenced in their future purchasing choices. For unlike life's cycle, the cycle of customer retention need not end.

CONCLUSION

Creating and sustaining loyalty advantage must be approached systematically if it is to be successful. Full account has to be taken of changing concepts of the customer; goals have to be clearly defined for managing changing customer relationships. Only then can a strategy blueprint be drawn up which takes full account of the cost of customer retention and avoids the trap of confusing process with purpose.

Technology will loom increasingly large in attracting and retaining customers. It has a key part to play in reinforcing the role of the customer as carer, resource, change-driver and experience-shaper. But technology is only one of the key attributes for ensuring enhanced customer satisfaction: ambience, information, security, well-being and self-esteem also loom large. Their relative importance varies between

individuals and within the same individual at different stages in life. This is where the Customer Retention Cycle comes into play. Its role in business planning will become at least as important as the long established Product Cycle. Whilst the latter still has a function, it is symptomatic of a time when the customer was perceived and treated as a person to whom things happened. In future the customer will be the person who makes things happen.

4 The Three Dimensions of Customer Retention

INTRODUCTION

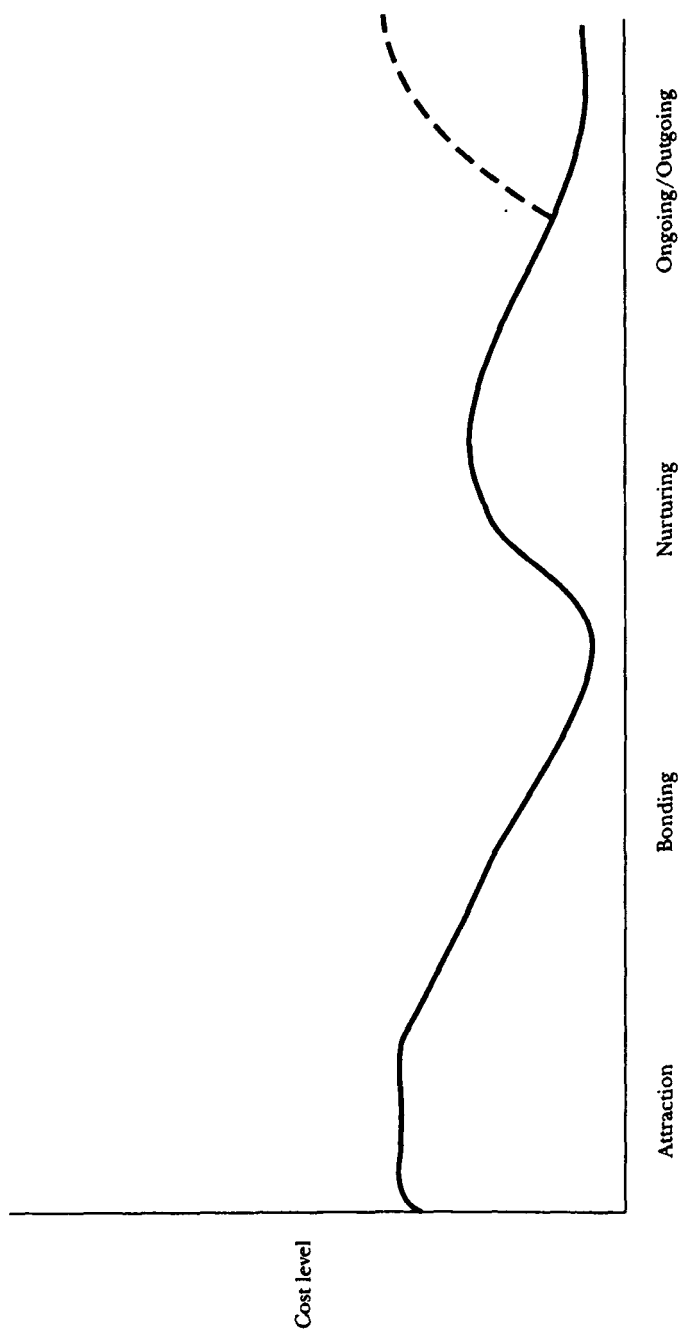
There are three dimensions to customer retention which demand continuous attention: economic, psychological and ethical. Each has a distinctive, yet complementary, role in the fight for customer loyalty and success.

Historically, businesses have focused almost exclusively on the economic dimension, but even here insufficient attention has been given to hidden, sometimes apparently intangible, costs. Whilst economic factors will continue to dominate retention strategies their success will increasingly depend on the effectiveness with which the psychological and the ethical dimensions are managed.

THE ECONOMIC DIMENSION

If customer retention does not lead to sustained, and preferably increased, competitiveness it is not working. It is therefore essential to monitor the costs of customer retention at all stages in the relationship. Figure 4.1 provides an example of a typical cost cycle covering four stages which, in a sense, can be compared to stages in a sexual relationship:

1. Attraction: costs relating to attracting customers to new products/services or from competitors – ‘dating’ costs.
2. Bonding: costs involved in building a relationship – ‘courtship’ costs.
3. Nurturing: costs involved in sustaining and improving the relationship through good and bad times – ‘nesting’ costs.
4. Ongoing/outgoing: costs associated with continuing the relationship – ‘partnership’ costs or breaking it, ‘divorce’ costs.



Stage in relationship
Figure 4.1 Retention costs cycle

Attraction costs include advertising, product design, pricing strategy and staff training. Bonding costs cover such items as special discounts, follow-up, personalised service and preferential treatment. Nurturing costs will depend on the state of the relationship; they arise from such factors as putting things right for the aggrieved customer, acting to prevent consumer wanderlust taking hold, remembering anniversaries and other bond-strengthening activities. Ongoing costs fall as the relationship continues on a smooth path. The investment at earlier stages pays off as the contented and loyal customer provides a continuing revenue stream from repeat business. Outgoing costs, on the other hand, raise cost levels as replacement customers have to be found; even worse can be the cost of a messy 'divorce' involving demands for compensation and attacks on reputation.

Digest 4.1 summarises the most common customer retention costs into two categories: 'visible' and 'hidden'. The visible costs are those incurred in any type of business, whether or not it has a loyalty advantage or practices customer input management. The 'hidden' costs are also to be found in most businesses, but can be difficult to quantify. However, these so-called hidden costs are more highly sensitive to customer retention initiatives.

Digest 4.1 Customer retention costs

<i>Visible</i>	<i>Hidden</i>
Working capital	Maintaining reputation
Advertising	Recovery
Product development	Legal
Delivery	Penalties
Debt charges	Default
Labour	Insurance
Materials	Counterfeit
Energy	Health
Supplies	
Subcontracting	
Training	

WORKING CAPITAL

Staying with the visible costs, customer retention can significantly effect one major cost burden, working capital. This comprises:

- Inventories: raw materials, work-in-progress, finished goods.
- Receivables: monies owed to the company.

From these two is deducted what the company owes its suppliers and others, payables.

As much as 20 per cent of every pound or dollar of revenue can be used for working capital. Reducing it can improve cash flow and the costs of servicing debt. In addition to this monetary benefit, other economic advantages can come from faster deliveries, lower stocks, less storage space.

Customer retention provides producers with a more reliable database for forecasting demand, this greatly facilitates the implementation of demand-based management. Focusing on the control of demand flows this technique carries forward the longer established concept of just-in-time inventories by greatly reducing the time between manufacture and deliveries. Such speeding up of the velocity of production reduces both the level of inventories and time between incurring costs and receiving payments. Ideally it leads to production-to-order resulting in both satisfied customers who do not have to wait as long as in the past, and the possibility of zero working capital. Thus it is feasible through customer retention significantly to reduce costs and increase profitability in such visible costs as working capital. Equally attractive can be the savings in hidden costs.

HIDDEN COSTS

Taking them as listed in Digest 4.1 each hidden cost is susceptible to customer retention. The costs of a sound corporate reputation may be hard to quantify, though accountants have traditionally put a value on it under the guise of 'goodwill'. However, as can be evidenced by Ratner's

jewellery chain in Britain, Savings and Loan associations in the USA and the Bank of Credit and Commerce International across the globe, it is an expensive item to lose.

Research by public relations consultancies and others shows that customers are increasingly aware of company reputations and are influenced by them in their purchasing preferences. A company that has a core of loyal customers is in a better position to defend itself against unjustified attacks in the media. On the other hand, where customer retention is low the company under attack has to rely entirely on its own resources to counter unjust claims. Even where attacks may have a real cause, the loyal customers are more inclined to give 'their' company the benefit of the doubt, as was shown in the early 1990s when British Airways was being sued for uncompetitive practices by some competitors.

Recovery costs, the price of correcting faults in products or lapses in service can be high. Where a company has a low customer retention rate these costs are likely to be higher than otherwise for two reasons: claims for compensation may be motivated by unfamiliarity or malice; without a knowledge of the complainant it is difficult to judge. Furthermore, a first-time customer is more likely to over-react to mistakes and seek more punitive retribution than the loyal customer who can set off one minus against a history of pluses. By and large the cost of pacifying a discontented stranger will be higher than for a discomfited familiar.

Associated with recovery are costs relating to legal proceedings and penalties arising from these. Once again, where retention rates are high, customers are less inclined to seek legal redress and more willing to be mollified. Care needs to be taken, however, to avoid the reality or perception of the company taking undue advantage of its relationship to avoid its legal or moral obligations. This will be considered more fully when we look at the ethical dimension.

Default, the failure to meet financial obligations, has long been an economic ailment. Its social acceptability has transformed it into a cancer which can destroy the very lifeblood of commerce. Bad debts tend to be associated in modern terms with promiscuous customers, hopping from place to place. The aristocracy of former times may have appeared loyal to their 'tradesmen', but they were in fact self-serving and

exploitative. Any company which tolerates repeated default deserves the bankruptcy which undoubtedly awaits it. Truly loyal customers do not default; in an age of default respectability this can be a substantial cost benefit.

The forces of change outlined at the start of this book have contributed to a paradox; companies and individuals seek increasingly to insure themselves against the increasingly uninsurable. Insurance is protection against the uncertain, but we live in an age of growing discontinuity in which prediction becomes more difficult. Though it would be foolhardy to predict the outcome of an individual marriage, it is possible to predict with reasonable accuracy trends in marriages generally and likely levels of divorce. Similarly, it is possible to predict how groups of consumers are likely to behave when faced with changes in products, prices and processes. Patterns of behaviour from shoplifting to false claims for recompense can therefore be factored into insurance premiums, thereby reducing premiums where the retention rate reduces the degree of uncertainty.

A new shadow stalking global markets is the counterfeiting of high value products. This not only drains away revenue from the legitimate producer, but also increases costs by:

- (a) reducing the chances of repeat business because of dissatisfaction with the original false purchase;
- (b) increasing costs due to the need to take action against counterfeiters;
- (c) raising concerns of purchasers of the genuine product who seek reassurance of authenticity;
- (d) creating doubts in the minds of potential customers of the genuine article as to the value of the premium paid for authenticity.

Customer retention reduces the chances of the counterfeit gaining a hold on the replacement market and this reduces the cost of keeping such commercial rogues at bay.

Health costs relating to customer retention rates are more significant for the service than the manufacturing sector. Providing consistently high standards of service is emotionally demanding. The higher the toll the higher is absenteeism and staff turnover. Familiarity breeds content; the more

acquainted are staff with the needs and expectations of customers, the more likely they are to meet them. Although this may not always be the case, the emotional demands on staff will reduce when every time is not the first time.

BRAND ACCOUNTING

In addition to reducing working capital and hidden costs, customer retention also affects a more controversial aspect of the economic dimension – brand accounting.

Since the late 1970s, companies with strongly branded consumer products, particularly food and drink, have sought to put a financial value on the worth of their brand. This arose in hostile takeover situations whereby the defending company sought to fight off a bid by increasing the 'book value' of its brands, while the predator played down the value (until after the takeover).

Product branding seeks to differentiate a specific product from the competitors' by creating in the customer a perception of it possessing distinctive and desirable characteristics, which make it most capable of satisfying that particular consumer's needs and expectations. Brand loyalty, which can be expressed as the percentage of purchasers of a product who have purchased it previously, lies at the heart of customer retention.

Brand accounting (in the UK) is governed by the rules for 'accounting for intangible fixed assets'. These state that it can only appear in the balance sheet if:

- (a) historical costs associated with the asset can be accounted for;
- (b) the asset is clearly distinguishable from goodwill and other intangibles;
- (c) its costs can be measured independent of other assets.

Without going into the accounting intricacies, it suffices for our purpose to note that the following criteria have to be taken into account in determining brand value:

- *Strategic leadership*: the extent to which the brand dominates its market and can fight off competitors.

- *Nature of market:* brands in mass consumer markets are reckoned to have higher value than in niche markets. The stability as well as the extent of the market also influences value.
- *Global reach:* the more international the spread of brand penetration, the less vulnerable it is to attack in national markets and the greater its value.
- *Emerging trends:* the greater the degree to which the forces of change favour the brand, the higher the worth.
- *Investment support:* the more advertising and other investments made in support of the brand, the better its prospects for growth and profit contribution.
- *Security:* the better protected a product is by patents and trademarks, the more valuable an asset it will be.

Accountants quibble as to the financial niceties surrounding brand values. However, few in business would doubt that they have an increasing part to play in determining shareholder value, facilitating premium pricing, providing evidence of a loyalty–profit link. Brand accounting is but the first step to placing customer retention as a key asset on the balance sheet. But balance sheets do not reveal the total worth of retention; for that the psychological and ethical dimensions must also be taken into account.

THE PSYCHOLOGICAL DIMENSION

People stay together because it satisfies mutual needs. In the ideal marriage fidelity is based on love; in the ideal business relationship it is based on the optimum matching of consumer demands with providers' supplies. Unfortunately, we do not live in an ideal world; relationships become strained, motives suspect, perceptions distorted.

The psychological dimension of customer retention focuses on mutual dependency. In the long march of consumerism, we have moved from the enslaving dependency of thralldom to the verge of the releasing dependency of symbiosis where each party benefits. Faced with a customer need the provider has a number of options:

- To meet the need while maintaining psychological distance from the customer.
- To meet the need while reducing the psychological distance from the customer.
- To fail to meet the need yet sustain the relationship.
- To fail to meet the need and also to break the relationship.

Maintaining psychological distance through adopting an unemotional, rational approach to customers' needs may be effective in certain circumstances, but it is unlikely to lead to customer retention except for minimalist consumers who want to complete a transaction or satisfy a need with the least possible fuss. Minimalists are attracted to impersonal systems and therefore tend to be technophiles. However, few people come to a company because they only have economic needs which can be satisfied impersonally. Most of us judge every customer encounter against a raft of quality and care factors, as was shown in Chapter 3. The latter play an important part in reducing the psychological distance to a length that is comfortable to both parties.

Effective management of the psychological dimension of customer retention calls for a six-step approach to needs satisfaction, drawing on the behaviours covered in the section on 'Customer Behaviour Analysis' (pages 143–9). The six-step approach is:

1. Listen
2. Accept the stated need
3. Identify the core need
4. Allow for feelings
5. Influence the purchasing decision
6. Build on the relationship

Listening should be active; it should involve the listener in paying full attention to the customer, interrupting only to establish and clarify needs. By conveying to the customer that they are receiving full attention the ground is being prepared for their retention. Active listening not only helps cement relationships through establishing needs, it bolsters the self-esteem of the customer.

Initially, customers can have difficulty in stating their needs. They may need to gain a sense of trust before venturing beyond a statement of a basic need. He or she, especially in such fields as finance, medicine and fashion is likely to be testing the 'safe' psychological distance at this stage in the relationship. The provider therefore has to recognise that the stated need – 'a loan'; 'a tonic'; 'a simple black dress' – may not be the core need. Failure to get beyond the stated need can reduce the likelihood of retention. At the same time, failure to recognise that the stated need is also the core need can damage retention prospects.

Where a core need does lie beyond the stated need it is likely that the customer is seeking a product or service package made up of a blend of physical, emotional and moral components at an affordable price. Using the aforementioned examples:

- (a) the stated need for a loan may really be a request for an insurance policy and guidance on financial planning;
- (b) the stated need for a tonic may be a cry for help in overcoming depression or an unhealthy lifestyle;
- (c) the stated need for a simple black dress may be a plea for help in self-presentation.

Finding the core need not only enhances the likelihood of retention, it also provides clues to other needs and hence selling opportunities. To unblock these needs it will be necessary to tap into the emotions. This, in turn, requires interacting with the prevailing mindset of the customer – the factors shaping needs, perceptions and expectations.

Mindsets fall into three broad categories:

1. Life changing
2. Life enhancing
3. Life maintaining

One of these three plays a dominant part in any customer service encounter (see page 149). It largely determines the nature of the customer's need and the perceived level of satisfaction. The higher the satisfaction, the greater the chances of retention.

Needs associated with life changes may be rare, but they carry many psychological connotations; birth, marriage, death are but a few examples. Whatever their nature, such needs have a significant impact on customers' lives. They are often associated with high levels of anxiety and are usually surrounded by clusters of associated needs. The need for reassurance of needs satisfaction can therefore be great. For this reason, retention can depend as much on how the feelings of the customer were handled as on the quality of the tangible product or service.

Life enhancing mindsets are related to the satisfaction of needs which will upgrade the quality of life, be it a vacation, new car or small luxury. Where expectations are met, customer retention is virtually assured; a guaranteed good experience is worth repeating. Once again the emotional part of the product/service package can be the determinant of customer satisfaction.

For most of us, life changes, good or bad, life enhancing experiences, fulfilled or otherwise, occur less frequently than life maintenance needs. For these the stated and the core needs are usually synonymous; feelings play a lesser role in satisfaction, though the reduction of psychological distance is important for retention. Friendly efficiency is the key to customer retention in meeting these quotidian needs. Anything that reduces the chore element is welcome; anything that leads to a chore becoming more of a chore loses custom.

The next step, influencing the purchasing decision, should be restated as influencing with *integrity*.

Influence is the ability to shape the perceptions, needs and expectations of others in ways that can be identified. The ways in which influence can be exercised include:

- Incentives: offering a reward for behaving in a specified manner.
- Manipulation: exercising power to achieve one's objectives without the other party fully realising they are being influenced.
- Sanction: withholding something desired by the other party until they conform to requirements.
- Indoctrination: implanting attitudes and behaviour by forcing uncritical acceptance of certain beliefs and behaviours.

- Education: encouraging a challenging of ideas and concepts which will enhance capabilities.
- Lobbying: urging legislators or other persons with power to adopt certain policies which will benefit a particular interest group.

Influencing is a perfectly acceptable practice providing that both parties benefit from the influencing process and no third party suffers. Unfortunately, there are in most businesses a few Svengalis seeking to exert a sinister influence over others. It is to protect customers from such negative influences that the ethical dimension has to be brought into play at both this stage and the next, building on the relationship.

THE ETHICAL DIMENSION

Customers, though satisfied on issues of price, quality and provider behaviour, may not remain loyal because of concerns about the ethics of a company's practices, particularly its methods for attracting and retaining custom. (See *Managing the Integrity Factor* by James J. Lynch, IFS International, Bedford, 1994.)

'Customer Bonding' is the term used to describe the process of sustaining the loyalty of consumers despite the lure of competitors. Ways in which bonds can be established fall into the physical, psychological and spiritual, in the sense of values and beliefs. The success of any particular bond depends on influencing the customer in ways which are perceived as providing an ethical balance of benefit to both provider and customer. When customers feel that they are at a disadvantage *vis-à-vis* the provider, they exercise one of three options:

1. seeking to restore the *actual* equity;
2. seeking to restore *perceived* equity by convincing themselves that it is a fair relationship;
3. ending the relationship.

Once a relationship is ended it is difficult to re-establish. Divorcees marrying former spouses are rare events.

There are many types of customer bonds which are effective in the market place and are ethical. There are, however, a

Digest 4.2 Unethical approaches to customer retention

Addiction:	Creating or sustaining a compulsive dependency which is damaging to the well-being of customers.
Anxiety:	Exploiting the real or created fears of customers to reinforce their dependency.
Bribery:	Using financial and psychic inducements which divert customers from benefiting from lower price/higher quality goods available elsewhere.
Bullying:	Using aggressive measures to retain customers against their better judgement, but lacking protection.
Corruption:	Drawing the customer into a web of illegality from which they cannot easily escape.
Counterfeiting:	Passing off imitations of brands as genuine.
Deception:	Retaining the customer by making promises which are not fulfilled.
Flattery:	Diverting customer from poor quality goods/services by gratifying their vanity.
Guilt:	Creating a sense of obligation which is not justified, but makes unwarranted demands on the customer.
Pity:	Appealing to the better instincts of customers as a means of exploiting them.
Prejudice:	Retaining a category of customers solely on the basis of excluding others because of their race, gender or creed.
Usury:	Increasing the indebtedness of customers by lending money at rates of interest which can be met only by further indebtedness.

variety of ways in which customer retention is based on unethical behaviour. The examples listed in Digest 4.2 sustain

customer retention either by pandering to the baser needs of the human condition or taking unfair advantage of the power of the provider over the customer.

Addiction is a psychological state in which a customer is encouraged or allowed to develop a compulsive need for repeated satisfaction which is at best harmful and at worse destructive. A distinction has to be made between marketing designed to stimulate recurring indulgence in a product which is harmless unless taken to excess and repeated over-indulgence which the customer is unable to control. The test must be: Are we providing a product (alcohol) or service (gambling) which is likely to harm the consumer and/or third parties? If the answer is 'yes', action must be taken to:

- Inform customers of the consequences of addiction;
- Take action to prevent addiction;
- Assist in dealing with the consequences of addiction.

The proper implementation of these three actions just might justify the continued marketing of addictive products such as ethical drugs, but 'retention through addiction' is a dangerous course.

Anxiety will be covered in Chapter 5. Using it to reinforce retention by exploiting real or stimulating imaginary fears is unethical. Whilst it is legitimate for providers of insurance, security systems and some forms of medicine to make customers aware of the desirability of preventive measures for dealing with life's vicissitudes and uncertainties, it is unethical wantonly to play on insecurities and forebodings just to retain custom. The objective of any company associated with the dismal side of life should be to retain customers by reducing their anxieties, not increasing them.

Bribery is always unethical though it may be socially acceptable. In terms of customer retention it involves the use of economic or psychological inducements which divert customers from benefiting from lower price/higher quality goods available elsewhere. The test here is 'Are we providing an inducement which is not serving the best interest of our customers?' If the answer is 'yes', it is not only the customer who will suffer, but the provider will be at a disadvantage as competitive pressures take their toll. Cheap flights on unsafe

planes are no bargain; gaining an extra point of interest on deposits with a bank that fails is assuredly a bad investment.

Bullying is one of the first examples of aggressive use of power which we come across in life. When it comes to business life, bullying can take many forms:

- (a) browbeating a customer into remaining with a company ('Leave us and you'll lose...');
- (b) gaining a sale by frightening a customer into submission ('Without this encyclopaedia your child has little hope of...');
- (c) victimising a customer ignorant of their rights ('If you discontinue this agreement you will be liable for ...').

In childhood bullies are easier to spot than in adulthood. This, in part, is due to the individual not always being aware that they are bullying. However, the power of the bully, though painful, is usually short-lived. Retention based on bullying is like loyalty based on dictatorship – at the first sign of weakness the coerced rebel.

Corruption as a means of sustaining retention is both illegal and unethical – but it is a cancer which is spreading. By drawing the customer into a web of wrongdoing the provider can exercise various forms of blackmail to retain loyalty. However, in any corrupt relationship there is no trust; the provider can be blackmailed by the customer.

Counterfeiting is a form of corruption. Although commonly associated with passing off forged money or fake products as genuine, it can take various forms in relation to customer retention:

- Contrived, insincere emotions which mislead the customer into providing information which can be exploited. ('Tell us how you stand financially now you are on your own.')
- Spurious claims about the quality of a product or service. ('Will last a lifetime.')
- Falsely claiming or distorting associations which influence customers' choice. ('By appointment to ...')
- Imposture through claiming false qualifications. ('All our staff are experts in ...')

Faking can cause considerable economic damage to customers, but the psychological harm can have even more dire consequences when disillusionment results in a whole category of businesses being castigated. Those former pillars of rectitude, banks, found themselves losing custom in the 1990s, not because of dealing in counterfeit money, but counterfeit feelings.

Deception is a subset of corruption. Retaining customers by making promises which are not fulfilled is unethical when there was no intention of fulfilment at the time the promise was made. Depending on its gravity, deception can easily wander from the twilight zone of unethical behaviour into the crime zone.

The next three types of unethical bonding are rarely criminal, but they can create cynicism in customers who have experienced them when being loyal to a company. *Flattery* diverts customers from the poor quality of goods and services by appealing to their vanity. Though in many cases the customer is asking for disenchantment, flattery in its most subtle forms can entrap even the sceptical. *Guilt* is part of the human condition; its burden is carried by all, though some feel the load more lightly than others. When it is used to create a sense of obligation which is not justified, but makes unwarranted demands on the customer, it is unethical. So too with *pity*; appealing to the better instincts of customers as a means of exploiting them is an undesirable approach to retention.

Prejudice distorts reality. Preconceived ideas about the relative worth of fellow beings, institutions and value system warp behaviour. Bias against groups of customers can take several forms:

- misandry: prejudice against men can be one of the negative outcomes of the feminist movement and is increasing;
- misogyny: prejudice against women has been more prevalent historically, excluding them from a range of men only services;
- xenophobia: prejudice against foreigners can limit the potential growth of tourism and other businesses.

A distinction has to be drawn between 'exclusiveness' and 'prejudice'. The former is a wholly ethical way of limiting custom to a particular group who meet criteria to which any person can aspire. Membership of a private bank may be limited to those with assets of a certain amount; hotels may stipulate that they will not accept potential guests who are drunk/unhygienic/loutish in behaviour. People can be sober, clean and well behaved, but a person cannot change their race, sex (normally) or age. Companies which pander to avoidable discrimination will lose custom in a more enlightened world.

Providers of goods and services are as prone as anyone to the Doctor Snell syndrome:

I do not like you Doctor Snell,
The reason why I cannot tell.
But this I know, and know full well
I do not like you Doctor Snell.

However, faced with a law-abiding customer who can afford their products and services, providers must eschew blind prejudice.

Finally, the oldest form of customer retention in the book – *usury*. Increasing the indebtedness of customers by lending money at rates of interest which can be met only by further indebtedness was once confined to the back streets of slums. It now parades the high streets, holding customers, but not necessarily keeping them loyal. As with the other nefarious practices described in this section, usury places a blight on relationships forged between ethical providers and customers. Behaviour breeds behaviour; customers who feel they are being treated unethically are more likely to behave unethically. Where the ethical dimension of customer retention is kept in balance with the other two dimensions, customer loyalty is on a sound base and profitable relationships can be built.

BALANCING THE DIMENSIONS

There are a variety of retention reinforcers; some reinforce one of the dimensions, others more. Digest 4.3 lists examples,

Digest 4.3 An A to Z of retention reinforcers

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Accessibility: ease of contact with person who can resolve customer's problem		✓	
Added-value: enhancing the perceived value of products and services	✓	✓	✓
Advice: quality of guidance given to customer		✓	
Advocates: customers willing to testify to high quality of goods and services	✓	✓	
Ambience: creating an environment which puts the customer at ease		✓	
Anniversaries: using annual and biennial events to sustain customer contact over long periods	✓	✓	
Appearance: ensuring that the physical aspects of goods, surroundings and staff combine to reinforce customer loyalty		✓	
Assurance: creating a sense of comfort and security in the minds of customers		✓	✓
Benefits: presenting the benefits of a product or service in ways which will best appeal to the needs, expectations and values of the customer		✓	✓

Digest 4.3 Cont.

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Bonuses: providing financial and psychological rewards to convert occasional customers into loyal ones, and to retain loyal customers	✓	✓	
Branding: reinforcing the attraction of goods and services by emphasising their distinctiveness and superiority	✓	✓	
Care: expressing care in ways which the customer perceives as personal and genuine		✓	✓
Choice: providing alternatives and guiding customers in making the choice which best fits their needs	✓	✓	✓
Chore reduction: abolishing or reducing the tedium of recurring activities which the customer would prefer to avoid	✓		
Codes: devising codes of conduct which are meaningful to customers and provide a sense of care		✓	✓
Communications: strengthening retention by conveying and interpreting information in the manner required by the customer		✓	
Complaints handling: dealing with complaints in a fair and understanding manner	✓	✓	
Confidentiality: ensuring that customer confidentiality is safe-guarded and privacy is provided		✓	✓

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Coupons: using coupon schemes in ways that are perceived as having added-value, not nuisance value	✓	✓	
Crèches: providing child-care facilities to reduce pressure on customers	✓	✓	
Delight factor: providing service and/or presenting products in ways which delight the customer	✓	✓	
Discounts: reducing prices without reducing quality	✓		
Diversions: providing customers with activities which will distract attention from negative factors at the point of delivery, e.g. queues		✓	
Education: educating customers in product and procedural knowledge which will enable them to contribute to service delivery and will reduce the prospect of unrealistic expectations being unfulfilled		✓	
Empathy: getting on the same wavelength of the customer so as to meet expectations in ways which the customer will find satisfying	✓	✓	✓
Endurance: being willing to overcome frustration and other barriers in striving to satisfy 'awkward' customers you want to help	✓	✓	

Digest 4.3 Cont.

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Enterprise: showing greater initiative than competitors, thereby capturing their customers	✓	✓	
Ethics: conducting business in a manner which is clearly perceived by customers as being in accord with high moral standards			✓
Exclusiveness: providing goods and services limited to a select clientele by reason of price or other prejudice-free criteria	✓	✓	✓
Fairness: demonstrating to the customer that the basis of a deal or relationship is of mutual benefit		✓	✓
Feedback: using customers' reactions and comments as a means to enhance competitiveness and reinforce retention	✓	✓	
Flexibility: displaying a willingness to adapt to the specific needs of individual customers	✓	✓	
Follow-through: ensuring that commitments to customers are implemented		✓	✓
Games: using competitions and similar devices to stimulate customer involvement in the design, labelling, production, marketing and delivery of goods/services	✓	✓	

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Goodwill: accumulating feelings of customer satisfaction and retention is perceived as a tangible asset	✓	✓	
Hardware: using special equipment designed to reinforce the commitment of customers	✓	✓	
Help-desk: providing specialist advice to respond to customers' queries	✓	✓	
Hosting: using corporate hospitality to reward customers for their loyalty	✓	✓	✓
Housekeeping: ensuring that standards of cleanliness and hygiene are consistently of the highest order	✓	✓	
Ideas: generating new concepts and approaches to customer retention by stimulating suggestions from both internal and external customers	✓	✓	✓
Incentives: encouraging retention through the provision of a range of special privileges, financial and other inducements	✓	✓	
Influence: shaping with integrity the perceptions and expectations of customers		✓	✓
Information: providing data which will enable the customer to reap the fullest benefits from their purchases	✓	✓	✓

Digest 4.3 Cont.

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Innovation: introducing new and distinctive ways to enhance customer satisfaction	✓	✓	
Insight: displaying the competences required to penetrate and interpret the perceptions, needs and expectations underlying customers' statements.		✓	✓
Judgement: reaching a sound conclusion on the best alternative for optimising customer satisfaction and reinforcing retention	✓	✓	
Juggling: displaying the ability to cope with more than one activity or customer at a time	✓	✓	
Justification: explaining in a manner acceptable to those customers concerned, the reasons for undertaking a particular course of action		✓	✓
Keeness: displaying a spontaneous willingness to help a customer		✓	
Know-how: providing evidence of the complete mastery of a subject or situation	✓	✓	
Knowledge: possessing the appropriate information needed to help a customer resolve a problem	✓	✓	
Law-abiding: conforming willingly to legal and quasi-legal conditions governing customer relationships			✓

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Location: providing product/service delivery at places convenient to the customer	✓		
Logging: maintaining accurate records of customer transactions	✓		
Manners: displaying patterns of courteous behaviour which conform to codes appropriate to the customers' values and beliefs		✓	✓
Massaging: making subtle adjustments to products and services which will increase their customer appeal	✓	✓	
Measuring: assessing regularly the efficacy of results achieved against targets	✓	✓	
Memory: helping customers to recall experiences which will reinforce their commitment to a particular product/service		✓	
Merchandising: presenting goods and services in an attractive manner	✓	✓	
Morality: abiding by a code of values and beliefs which is accepted by society in general			✓
Needs: identifying what the customer is seeking to satisfy in terms of time, feelings, solutions	✓	✓	✓
Niches: segmenting a market into smaller groups of customers with distinctive but shared needs and expectations	✓	✓	✓

Digest 4.3 Cont.

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Obligation: creating in customers a positive sense of indebtedness which they will seek to discharge	✓	✓	✓
Observation: identifying significant factors which can enhance customer loyalty and success	✓	✓	✓
Panache: displaying a fresh and attractive approach to customer satisfaction	✓	✓	✓
Panels: providing opportunities for customers to express their views on the quality of products and services	✓	✓	
Personal touch: conveying a sense of individual treatment in ways which appeal to the customer		✓	
Piggy-backing: putting some extra feature on a product/service at minimal cost	✓		
Quality: ensuring the maintenance of high standards in both the tangible and intangible attributes of a product/service	✓	✓	✓
Realism: helping customers to view situations objectively in terms of the 'here and now' rather than 'what might have been'		✓	✓
Reliability: providing regular evidence of dependability and promise-keeping	✓	✓	

<i>Reinforcer</i>	<i>Economic</i>	<i>Psychological dimension</i>	<i>Ethical</i>
Reputation: displaying distinctive characteristics which are known to, and/or conveyed by customers, resulting in an enhanced appeal		✓	✓
Respect: conveying acknowledgement of the self-worth of a customer as an intelligent human being		✓	
Standards: making explicit the levels of performance/quality which customers can expect and delivering accordingly	✓	✓	✓
Thoughtfulness: displaying a degree of concern greater than the customer expects		✓	
Tracking: using data to follow patterns of customer behaviour which helps the provider to anticipate customers' needs and expectations	✓	✓	
Urgency: displaying a willingness to respond as speedily as possible to the needs and expectations of customers	✓	✓	
Visibility: being readily seen by customers who want reassurance of the presence of a qualified person	✓	✓	
Warmth: conveying to customers a sense of spontaneous effort		✓	
Zeal: displaying a genuine eagerness to be of service		✓	

showing which of the three are most likely to reinforce a particular dimension.

The more reinforcers which can be brought into play the better. When the economic needs of a consumer are satisfied there is a limit to the extent to which further economic bonding will work, without bankrupting the provider. Psychological reinforcers need to be brought into play to augment economic ties. However, while customers seek psychological comfort, there is a limit to the extent to which emotions and senses can be influenced. The mechanical entreaties of, 'Have a nice day', 'Melanie speaking, how can I help you?', 'You look fabulous in that', can have a negative impact. To reinforce retention, it is then necessary to appeal to the ethical or spiritual values of customers. This can be done without preaching or moralising, but by behaving in ways which the customer acknowledges to be ethical.

Not all the reinforcers listed in Digest 4.3 will apply with equal force to every industry, but each has some role to play in sustaining retention. In order to get a closer focus on which of the dimensions needs the greatest attention, it is useful to use a proforma of the type shown in Table 4.1 for each customer segment. This is not intended to be a form filling exercise but an aid to planning priorities.

The 'Customer Retention Profile' (Figure 4.2), when completed, provides a guide on how best to secure or enhance the loyalty of a particular customer segment. Using the 'reinforcers' as pointers to needs and expectations in Part 1 of the profile, these can then be extracted for detailed action as shown in Part 2. When such an analysis is complete it is then possible to target resources to keep the customers you want.

CONCLUSION

The three dimensions of customer retention, economic, psychological and ethical, mirror the three dimensions of customer satisfaction. The battleground of competition has been extended beyond the economic boundaries which circumscribed traditional business thinking. The concept of 'economic man' which dominated theories of supply and demand since the days of Adam Smith is no longer sufficient

Figure 4.2 Customer retention profile

Part 1 – Analysis of customers' needs and expectations

SEGMENT:

NUMBERS:

MAIN LOCATIONS:

ANNUAL REVENUE:

COSTS OF RETENTION INITIATIVES:

<i>Needs and expectations</i>	<i>How well met (5 'fully met' to 1 'not met')</i>	<i>Action to reinforce retention</i>
Product/Service needs		
Psychological needs		
Ethical needs		
Other needs (specify)		

*Figure 4.2 Cont.***Part 2 – Opportunities to reinforce retention****CUSTOMER SEGMENT:**

ACCESSIBILITY: Ensuring that the Customer can gain easy access to the right person.

OPPORTUNITIES:**ACTION:**

ADDED-VALUE: Enhancing the perceived value of products and services tangibly and/or psychologically.

OPPORTUNITIES:**ACTION:**

ANNIVERSARIES: Using annual and biennial events to maintain Customer contact over a long period.

OPPORTUNITIES:**ACTION:**

Figure 4.2 Cont.

ASSURANCE: Creating a sense of comfort and security in the mind of the Customer.

OPPORTUNITIES:

ACTION:

BENEFITS: Presenting the benefits of a product or service in ways that will best appeal to the Customer's needs and expectations.

OPPORTUNITIES:

ACTION:

CHOICES: Providing alternatives and guiding Customers in making the choice that best fits their needs and expectations.

OPPORTUNITIES:

ACTION:

Figure 4.2 Cont.

CHORE REDUCTION: Abolishing or reducing the tedium of recurring activities which Customers would prefer to avoid.

OPPORTUNITIES:

ACTION:

FLEXIBILITY: Displaying adaptability to the specific needs and expectations of Customers.

OPPORTUNITIES:

ACTION:

INFORMATION: Providing data which will enable the Customer to reap the fullest benefits from goods and services.

OPPORTUNITIES:

ACTION:

Figure 4.2 Cont.

JUGGLING: Displaying the ability to cope with more than one activity/Customer at a time.

OPPORTUNITIES:

ACTION:

MASSAGING: Making subtle adjustments to products/services/situations which will increase their appeal to Customers.

OPPORTUNITIES:

ACTION:

PIGGY-BACKING: Building on to a common product/service some additional existing feature at low cost which will enhance a Customer's perception of care.

OPPORTUNITIES:

ACTION:

to describe consumer behaviour. Similarly, the consumer behaviourist theories of the 1950s onwards with their focus on the customer as a clutch of hedonistic desires is also outmoded. Certainly customers are motivated by the desire for a 'good deal' and the fulfilment of both their physical and psychological needs. But increasingly, almost imperceptibly, a new cluster of needs is emerging over the parapet – an ethical or spiritual dimension.

Combined with the diverse forces of change influencing human behaviour, this need to respond to three rather than one or two dimensions is changing the rules for securing customer loyalty and success. The advances made in customer care, delivery systems, vision statements, re-engineering and total quality management all hold good, but keeping ahead on customer retention calls for more. For a start, it needs a new approach to managing customers' inputs.

5 Customer Input Management

INTRODUCTION

Customer input management (CIM) recognises that consumers are part of the human resources of a company as well as a source of profit. The more consumers can contribute input to the production and delivery processes the greater will be their impact on cost effectiveness. By bringing the customer from outside to inside the organisation, conceptually if not actually, CIM transforms functions within a company, particularly marketing and human resources.

The marketing function traditionally has responsibility for determining:

- the type and range of products/services to be sold;
- the price at which these should be sold, including promotions and discounts;
- the markets to be targeted;
- the supports needed to influence sales;
- the policies and practices which sustain customer loyalty.

Likewise, the human resources function has over the years assumed responsibility for ensuring:

- the recruitment and development of individuals with the knowledge and skills required to achieve the company's objectives;
- the achievement of productivity objectives through access to an adequate supply of competent and well motivated people;
- timely provision of appropriate personnel to meet changed circumstances.

However, the days have long since past when the only contact with a customer was via a sales person, teller, counter clerk, waitress or cabin crew. Customer loyalty can be affected

by the tone of a letter from the accounts department, the department of a receptionist, the user friendliness or otherwise of equipment. Thus the human resource function needs to be as customer focused as the marketing function; similarly, the marketing function has to be capable of dealing with customers in human resource terms.

PRECONDITIONS FOR CIM

The extent to which CIM can be applied will be determined by a variety of factors including:

- (a) the length of the cycle of customer relationship: the longer the time-span the more important is CIM;
- (b) the customer mix: the more homogeneous the easier it is to apply CIM;
- (c) the geographic spread of the market: the more concentrated the location of customers the simpler should be the application of CIM;
- (d) opportunities for customer inputs to production and delivery processes: the more opportunities the higher the return from CIM.

Airline passengers have short, but intense, cycles of relationships; their lives are literally in the hands of air crew for matters of hours. Bank customers, on the other hand, have lifetime relationships though direct contact may be infrequent. Customers of a supermarket can make instant changes in their buying decisions, abandoning goods before the check-out should their fancy so take them. The instant change of plan is more difficult for the airline passenger at 30 000 feet; equally, the indebted bank customer can be tied to a banker for years by legal and financial constraints.

The normal cycle of relationship will be determined, not so much by the nature of the product or service being provided, but by the type of need which the customer seeks to satisfy. Such needs will relate to four types of need:

1. Quotidian – every day occurrences.
2. Frequent – regular activities at short intervals.

3. Occasional – significant events occurring from time to time.
4. Singular – unique or rare events.

Examples of these types of activities are given in Digest 5.1. The input from customers seeking to satisfy quotidian needs is easier to manage than when the customer-provider relationship occurs once in a lifetime.

Where the age, cultural and gender mix of customers is highly variegated, the capturing and use of data for CIM can pose difficulties. However, by using a 'customer family' approach which groups together customers who, although divergent in background, have similar needs, it is possible to manage a diverse market. Such family groupings can be by:

- needs
- circumstances
- competences
- values
- age
- income/expenditure patterns
- location.

Digest 5.1 Time frame of activities

<i>Time frame</i>	<i>Examples of activities</i>
Quotidian – recurring every day	Feeding Bodily functions Commuting TV viewing
Frequent – recurring at defined intervals	Household cleaning Shopping Paying bills Car maintenance
Occasional – happening from time to time on a regular or irregular basis	Vacations Social outings Anniversaries
Singular – occurring once in a lifetime	Birth Graduation Death

The CIM system to be described shortly facilitates such family planning.

Obviously a company operating in a global market will need to adopt a more sophisticated approach to CIM than one operating locally. In terms of customer loyalty the international differences which matter are not simply price structures, technical specifications and customer sophistication, but less tangible matters such as aesthetics, moral values and religious/political constraints. No matter how competitive a product may be in its home market, it may be taboo elsewhere for cultural reasons. Furthermore, CIM may be counter-productive in markets where there is an abundance of cheap labour.

Opportunities for customer inputs will obviously vary between industries. Health and safety factors may inhibit inputs which are technically feasible. Security considerations may prevent a bank, say, from providing customers with data about its internal systems for preventing fraud. Self-assessed credit rating is technically feasible but handing over risk assessment to borrowers would be considered by some bankers as akin to letting the inmates run an asylum for the insane. However, even in an asylum, it is feasible to involve the 'customer' to some degree in contributing to its running. What it needs is an effective customer input management system.

A CUSTOMER INPUT MANAGEMENT SYSTEM

Companies striving to enhance levels of customer recruitment and retention need to build into their strategic and annual business plan an extra dimension – the customer input management plan. The object of such a plan is to achieve business goals through utilising customers as a means of complementing and/or augmenting the workforce, thus enabling customers to benefit from reduced costs and enhanced satisfaction.

The CIM planning system has five components;

1. The marketing plan
2. The manpower plan
3. Customer retention analysis
4. Customer data bank
5. Customer input plan

The marketing plan provides for both short- and long-term planning of products/services, markets, sales targets, margins, profit targets. Its time-frame and complexity will be determined by the industry and by company characteristics such as size, geographic spread and exposure to the forces of change covered in Chapter 1.

The manpower plan will be derived from the marketing plan and related factors such as the availability of facilities, raw materials, staffing yardsticks, productivity levels and available competences. Forecast surpluses or shortages of internal human resources to meet the marketing plan need to be considered, not only in terms of Personnel action plans for recruitment, training and so forth, but in relation to the customer retention analysis and customer data bank.

The customer recruitment and retention relevance tree (Figure 5.1) shows the various facets of CIM. Any customer retention analysis involves a five step process:

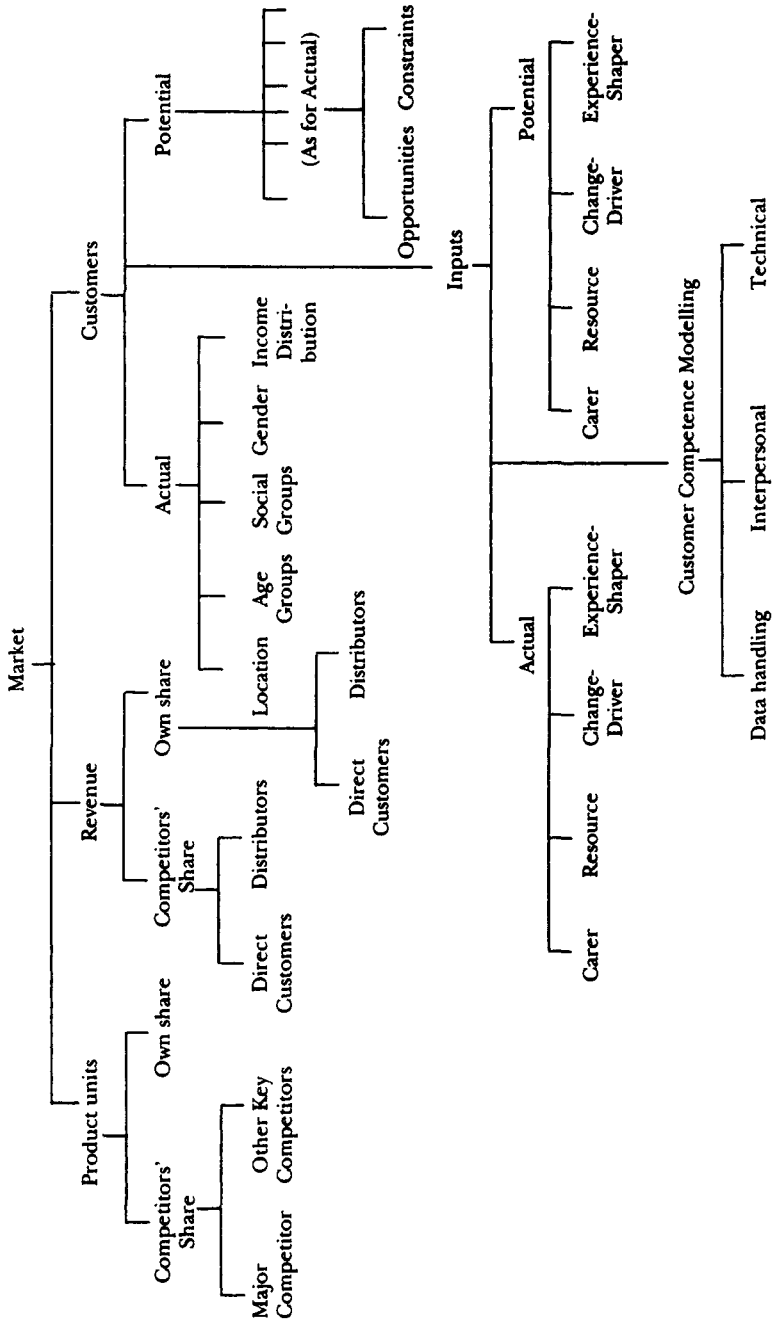
1. Defining the total customer target.
2. Identifying resource constraints.
3. Forecasting demand trends.
4. Determining opportunities for competitive advantage.
5. Specifying opportunities for customer inputs.

The total customer base to be targeted should be broken down by such characteristics as location, age groups, income, lifestyle, gender and such other features as are relevant. In terms of customer loyalty, customer values are of increasing importance as they determine lifestyles and purchasing preferences. The Values and Lifestyles (VALS) typology developed by Stanford Research Institute in the mid-1960s classified customers as:

- Need driven
- Outer directed
- Inner directed

The need driven were identified as 'money restricted' customers struggling to buy basic essentials. Some were 'sustainers', relatively young, assertive, struggling on the edge of poverty, hard working and striving to get ahead. Others

Figure 5.1 Customer recruitment and retention relevance tree



were survivors, the old, depressed, alienated poor for whom the label 'underclass' has been coined.

The outer directed category were divided into three groups: belongers, emulators, achievers. Belongers were the type of customer whom companies sought to retain. Traditional, conservative, conventional, unexperimental, they could be difficult to attract, but once satisfied they remained loyal. Emulators, on the other hand, tended to be more promiscuous, seeking to climb the ladder of social mobility and sometimes losing their grip as economic recession took its toll. Achievers were at the top of the ladder; affluence for them was normal, loyalty to those who could sustain it, powerful.

The final VALS category – the inner directed – comprised three types of customer; I-am-me, experiential, socially conscious. I-am-me's were archetypal 1960s people – young, impulsive, exhibitionist, fiercely individualistic and highly inventive. In time they were likely to join the experientials or socially conscious. The former sought new experiences and were introspective, the latter sought a better, healthier world.

In the three decades since its birth VALS has been superseded by other forms of customer classification which reflect a changing world. Many of these are closely akin to the original, a typical psychological profile used in the mid-1990s, defines customers as:

Believers 17%	— poorly educated, low-income retirees with strong moral convictions.
Strugglers 16%	— tabloid reading, couch potatoes often existing on welfare.
Strivers 14%	— poor, but hard-working like the 'sustainers' of the 1960s and 1970s.
Fulfilleds 12%	— middle-income, satisfied, middle-aged people seeking a quiet life.
Makers 12%	— ambitious, upwardly mobile younger people determined to 'make it'.
Experiencers 11%	— intellectual, often contemplative individuals who enjoy living on the edge.

Achievers 10%	— relatively affluent executives who enjoy the high standard of living they work for.
Actualisers 8%	— wealthy, high earners who can afford life's luxuries and usually do not mind the rest of the world knowing it.

The percentages reflect the relative distribution of each category in the United States in 1994. Whatever the labels in vogue the important point is to use a classification which helps to target desired categories of customers.

The next step in customer retention analysis is to identify resource constraints in recruiting and retaining the targeted customers. Such constraints may be:

- Legal
- Social
- Educational
- Economic

Legal constraints tend to be associated with issues of health and safety. An industry such as air transport is more severely restricted by law on what 'unqualified' individuals may do as compared with catering. Much depends on the nature of the hazard to which a customer may be exposed and the extent to which others could be placed in jeopardy. The threat of claims for compensation can be a deterrent to customer inputs but usually there will be a range of opportunities, many of which are free of legal limitations and are hazardless. Generally, legal and quasi-legal constraints are written and identifiable. Care needs to be exercised to distinguish between valid laws and regulations as against custom and practice which has developed over the years and is now an outdated or unwarranted protector of vested interests. This can be a delicate area when it comes to trade union agreements but it is one which needs to be confronted if the full benefits of CIM are to be realised.

Social constraints are rarely written down and can be difficult to identify particularly away from the home market. Tradition, religious beliefs, manners and etiquette may place barriers to potential inputs by customers. Taboos concerning the preparation and serving of food, disclosure of personal

details and contacts with certain racial groups can all present problems. In each case a judgement must be made on whether the benefits from increased customer input justifies the social cost of offending deeply entrenched values and social behaviour.

Educational barriers can arise from both competence requirements and proficiency levels. There are three categories of competence usually associated with CIM; data handling, interpersonal skills and technical. To provide an input customers must be capable of a level of proficiency in one or more of the categories. Data handling involves the provision and/or interpretation of information and its translation into usable knowledge. Interpersonal skills are required for posing questions and interpreting answers as well as making a positive contribution to cementing any provider– customer relationship. Technical competence is needed to operate even the simplest equipment and to be aware of any malfunctions.

Whatever the area of competence CIM will require some level of proficiency ranging from the extremely limited to the advanced. Definitions of proficiency levels are given in Digest 5.2 with examples.

Digest 5.2a Customer input proficiency levels

<i>Level</i>	<i>Proficiency</i>
1. Extremely limited	Customer needs to do only simple tasks. Can be guided on required actions at the time of input.
2. Limited	Customer has to do most of the job, but will receive help with tasks that are less simple. Complete accuracy and fast speed not critical to input.
3. Demanding	Customer has to do whole job with limited guidance. Must meet specified input requirements in regard to speed and accuracy.
4. Advanced	Customer has to do whole job quickly and with complete accuracy. Must be able to monitor and evaluate inputs.

Digest 5.2b Examples of customer inputs: industry

<i>Proficiency level</i>	<i>Medicine</i>	<i>Banking</i>	<i>Car repairs</i>	<i>Furniture</i>
1. Extremely limited	Take temperature	Cash cheque	Check tyre pressure	Screw legs to chair
2. Limited	Give injection	Withdraw cash from ATM	Change wheel	Assemble simple cupboard
3. Demanding	Affix artificial limb daily	Use computer for home banking	Replace fuel pump	Assemble wardrobe
4. Advanced	Administer chemotherapy and monitor results	Submit proposal for business finance	Overhaul engine	Install built-in kitchen

Further details will be given when we consider the customer as a resource (Chapter 7).

Finally, economic constraints will have been indicated to some degree when conducting the Customer Retention Cost Analysis (Chapter 4). To these findings will be added the costs of:

- redesigning products, systems and delivery processes;
- training employees;
- training customers and suppliers

Whether or not such expenditure can be justified will depend to a large extent on the growth of future demand and the potential contribution which CIM will make to profits.

Demand trends in any industry will be influenced by the forces of change referred to in Chapter 1. More precise influencers will be:

- (a) Population growth.
- (b) Changes in the size of the economically active population.
- (c) Patterns of private consumption expenditure.
- (d) Markets served in relation to the customer retention cycle both locally and globally.
- (e) Changes in required product performance levels.
- (f) Changes in required service levels.
- (g) Price changes.
- (h) Competitive pressures.

Many of these factors provide clues to opportunities for loyalty advantage. Through customer input management it is possible to adjust product performance requirements and service levels to the price level the customer can afford. Overnight hotel accommodation, for example, can be made more affordable if the customer is willing, with the help of technology, to take charge of check-in and departure procedures, food preparation and serving, bed making and unmaking.

By the end of the Customer Retention Analysis it will be possible to identify opportunities for increasing customer inputs by type and frequency. At the same time, the analysis

will have revealed likely advantages and disadvantages. Benefiting from the former and overcoming the latter will call for the development of a range of management competences some of which already exist, others which are new. First and foremost is the need to develop in managers and staff the ability to control anxiety in themselves and in customers.

ANXIETY CONTROL

Anxieties and concerns are part of the human condition; they tend to increase in times of change and uncertainty. Encouraging greater levels of customer input can, therefore, initially increase the anxiety levels of both providers and customers. One of the key competencies required by CIM is the ability to control anxieties arising from:

- Objectively real threats
- Subjectively perceived threats
- Threats to expectations and self-image.

CIM can give rise to real threats to providers in terms of job security, status, the value of experience and knowledge. Both technology and new customer roles can be objectively real threats; they must be uncovered and tackled before any real progress can be made. Such action in the case of providers may involve redeployment, retraining or otherwise changing the situation so that the threat is either removed or becomes a reality which can be managed. Similarly, customers may have anxieties concerning safety, security, lack of skill or confidence in undertaking a new role. Objectively real threats may result in unpleasant consequences such as redundancy, but they are easier to control than the other types of anxiety.

Subjectively perceived threats are usually the outcome of speculation and rumour; combined with unspoken fears they can lead to high levels of anxiety. Because they have their roots in the 'unknown', this category of anxieties can be particularly difficult to control. One of the best weapons for conquering such perceptions is trust built on effective communications between providers and customers. However, even the most open systems of communication cannot be guaranteed to overcome prejudice, gossip and other negative forces. Scepticism

and even cynicism as to the motives of providers can distort the perceptions of customers who may interpret customer bonding as bondage. CIM can therefore be perceived as a threat rather than a promise. To counteract this it is necessary to anticipate as many subjective anxieties as possible, no matter how outlandish, and be prepared to deal with them. Empathy will become an essential attribute of any CIM process. The ability to get into the minds and hearts of customers and see situations through their eyes will call for levels of social sensitivity, open-mindedness and customer bonding of a very high order. These attributes are particularly important in dealing with the third type of anxiety – threats to expectations and self-image.

This category of customer anxiety can arise as a result of a situation which places a high level of customer expectation in jeopardy. For example, a house buyer fearing that a change in interest rates will adversely affect a loan application. The more important the expectation and the more serious the threat, the greater the likely anxiety. Equally disturbing can be a situation which casts doubt on a customer's self-image. The greater the importance which is attached to a particular aspect of self-image, the greater the potential anxiety. Where a customer has been used to preferential treatment which is, without explanation, suddenly withdrawn because of, say, cost-cutting, self-image can be damaged, leading to anxiety, 'What have I done wrong?'. .

In an era of social instability and economic uncertainty, many customers live their lives in a culture of anxiety. Fearful for their property and lives they surround themselves with security devices, fear venturing outside their homes, seek solace for their anxieties wherever it can be found. An increasingly important means for securing and retaining customer loyalty will be reducing and eliminating anxiety. Digest 5.3 gives examples of ways in which anxiety management can improve customer retention.

Anxiety management can greatly be helped by competence in customer behaviour analysis.

CUSTOMER BEHAVIOUR ANALYSIS

Despite its clinical title, customer behaviour analysis identifies categories of behaviour that contribute to effective per-

Digest 5.3 Customer anxiety management

<i>Anxiety</i>	<i>Action to allay anxiety</i>
Fear of death	Display safety instructions. Encourage customer involvement in safety drills. Display clearly emergency exits and ensure they are not blocked. Seek out physical signs of anxiety and reassure individuals displaying them.
Fear of physical injury and/or illness	Be seen to inspect and take actions on possible hazards, e.g. broken glass. Maintain high levels of cleanliness and personal hygiene. Confront customers whose dress or behaviour is causing a nuisance to others. In hotels provide name of local doctor. Ensure appropriate clothing is worn by staff. Adopt actions recommended for 'Fear of Death'.
Fear of rejection	Practice drills for conveying 'bad news'. Wherever possible offer alternatives. Ensure customer is treated with dignity. Provide privacy and time to reflect if decision likely to be a surprise. Avoid building false hopes. Underpromise and overdeliver.
Fear of going blank	Listen. Summarise situation to date. Allow sufficient time for recall. Do not pressurise.

<i>Anxiety</i>	<i>Action to allay anxiety</i>
Fear of saying the wrong thing	Avoid jargon. Regularly check understanding. Provide reassurance. Summarise discreetly using the 'right words'.
Fear of criticism	Depersonalise criticism. Give reasons for decision. Be willing to accept/share at least some of the blame. Try to end on a positive note.
Fear of exposing weaknesses	Elicit only details you need to provide the service. Use ego-boosting language. Do not pressurise.
Fear of failure	Elicit goals and expectations at an early stage. Provide reassurance. Offer alternatives. Focus on positives.
Fear of loss of control	Give regular information. Provide reassurance. Offer to inform others affected by any delay by customer. Kill rumours fast.

Source: Based on *The Psychology of Customer Care*, James L. Lynch, London: Macmillan, 1992.

formance in situations where two or more people interact with one another. This technique, defined as 'Interactive Skills', was developed by a team of psychologists under the guidance of the author in the air transport industry in the 1960s. It has been extended over the years to other industries. Its basis is the division of small pieces of behaviour into discrete categories. For the service provider typical categories are:

- giving core information
- giving additional information
- establishing and clarifying needs
- building on needs
- indicating problems
- offering alternatives
- checking understanding
- supporting
- expressing disagreement
- proposing a sale

Mirroring these are customer behaviours such as:

- seeking core information
- seeking additional information
- responding with information
- establishing needs/intentions
- establishing confirmation
- expressing satisfaction
- expressing dissatisfaction

When it comes to customer retention the two most important categories of behaviour are establishing and clarifying needs, and building on needs.

The importance of the behavioural category *establishing and clarifying needs* is that it enables the provider of products or services to diagnose the needs of a potential customer and take the initiative in proposing a sale. For a potential buyer the most convincing statement of needs will be those he or she make themselves. Therefore, the seller must begin by obtaining need statements from the customer. To reinforce customer retention the first step in any new contact is to check that previous need statements are still relevant, and to elicit statements which indicate more recent needs.

The importance of identifying needs is often underestimated and underused in customer retention activities. Customers tend to make vague statements of needs, particularly when they are anxious. It is therefore necessary to help purchasers develop implicit needs into explicit needs through such behaviours as seeking information, testing understanding and summarising at various stages in the interaction.

Customer loyalty depends not only on satisfying immediate needs but on creating a sense of continuous satisfaction. Traditionally, sales persons have sought to attract custom by emphasising the features or advantages of a product or service. Feature statements describe the product/service in terms of its characteristics; advantage statements describe in general terms what the product/service does, how it can be used, the ways in which it can help people in general. More effective as a hook is the 'benefit' statement. This describes how a product/service meets the explicit needs of the customer in terms of 'just for you'. It can therefore implicitly raise self-esteem and reduce anxiety.

Building on needs is a behaviour category which extends or develops the explicit need of a customer in ways which enable the provider to fill the need in a manner which reinforces customer retention. This is particularly important when the existing product or service does not totally match the customer's expressed need.

The following fragment of conversation between an airline reservation clerk and a passenger illustrates how building on needs can be effective:

Passenger: '... but I'll be coming back
with XYZ airline because I
don't want a night flight.'

Clerk: 'Why is that Mr Smith?' (Establishing and
clarifying needs)

Passenger: 'Because I can never sleep
in economy, so even
though a night flight would
fit my schedule better I
prefer to travel in the day.'

- Clerk: 'Have you ever flown our new Executive class, Mr Smith?' (Establishing and clarifying needs)
- Passenger: 'No, I haven't.'
- Clerk: 'At this time of year there is plenty of space and the new style seats make sleeping easy as you can stretch out in quiet.' (Building on needs)
- Passenger: 'Sounds expensive; I'm not sure I want to risk it.'
- Clerk: 'Of course it is up to you, Mr Smith, but the additional cost is X which when you consider you're saving hotel accommodation and gaining an extra working day makes it not much different in real costs. After all it may be useful to know if our Executive service suits you. If it does and you sleep well, it will help in future scheduling.' (Seeking retention)
- Passenger: 'Perhaps you're right.'
- Clerk: 'Then can I provisionally book you on our Executive service?' (Proposing a sale)
- Passenger: 'Why not? I'll give it a try.'

Building on needs is a *proposing* type of behaviour that takes service a bit nearer the desired goal of customer satisfaction and retention.

CIM calls for an enhanced awareness by both providers and customers of what types of behaviour by both parties are most likely to result in mutual satisfaction. Definitions of the key behaviours are given in Digest 5.4.

These types of behaviours come into play to varying degrees in every encounter between providers and customers. They lie at the heart of the third competence for CIM – encounter management.

CUSTOMER ENCOUNTER MANAGEMENT

Strictly speaking the word 'encounter' describes a meeting of adversaries, or individuals meeting by chance. This chance element is relevant to meetings between providers and customers in most day-to-day business transactions, but it need not be adversarial. Indeed it must not be if the initial meeting is to lead to an ongoing relationship. Using banking as an example of an industry where effective encounter management is essential for customer retention, we can identify key characteristics which can be transferred to other types of business.

In terms of customer retention, banking differs from other service industries in several respects:

- The *time-span of relationship* between customer and institution ranges from minutes to decades.
- The *role of the customer* varies through time from depositor, borrower to advice seeker, occasional user.
- *Relationship between the customer and the service provider* are circumscribed by legal obligations.
- *Service encounters* range from one minute contact at an Automated Teller Machine (ATM) to prolonged negotiations spanning months.

Against this background it is helpful to establish a conceptual framework of customer encounters which enables bank staff to manage each customer's service experience in ways which will sustain loyalty advantage.

There are four categories of customer service encounter experienced by bank customers:

Digest 5.4 Behaviours to facilitate customer input management

Provider behaviours

Giving core information	Providing precise and accurate data on the basic features, advantages and benefits of a product/service.
Giving additional information	Augmenting the core information with factors which are likely to increase the appeal of the product/service to a particular customer.
Building on needs	Using the stated needs of the customer as a basis for proposals which will increase satisfaction and improve the likelihood of a sale.
Indicating problems	Highlighting potential difficulties in meeting fully customer needs.
Offering alternatives	Proposing options for meeting customer needs in ways different from the original request.
Checking understanding	Periodically ensuring that both parties have a shared understanding of the customer's needs.
Supporting	Giving encouragement and assisting with integrity in making choices.
Expressing disagreement	Conveying to the customer an inability or unwillingness to respond fully to requests in ways that are justifiable and unemotional.
Proposing a sale	Suggesting ways of satisfying needs which the customer is willing to buy.

*Digest 5.4 Cont.**Customer behaviours*

Seeking core information	Finding out the features, advantages and benefits of a product/service in relation to an explicit need.
Seeking additional information	Gaining additional data necessary for making a purchasing decision.
Responding with information	Giving the provider precise and accurate details of needs and expectations.
Establishing needs/intentions	Clarifying any points of confusion, misunderstanding or ambiguity on the part of the provider as to needs and intended courses of action.
Establishing confirmation	Ensuring that provider will undertake agreed action to satisfy needs.
Expressing satisfaction	Informing the provider of the extent to which needs and expectations have been satisfied.
Expressing dissatisfaction	Informing the provider of any lapses in the satisfaction of needs and expectations with the reasons for comment or complaint.

1. Transforming
2. Facilitating
3. Chores
4. Swifts

Transforming Encounters are those which are likely to lead to a significant change in the life of a customer, whether the outcome is positive or negative. Examples would include:

- (a) Finance for house purchase
- (b) Start-up finance for a company
- (c) Educational loan
- (d) Assistance with a merger
- (e) Liquidation of a company

Each type of Transforming Encounter calls for careful preparation by the staff involved, a high order of professional skills and particular attention to a blend of customer retention factors (see below). The aim should be to provide an experience tailored to the needs of each customer and designed to ensure continued customer loyalty.

Facilitating Encounters are more frequent than Transforming ones. Such encounters will result in some aspect of living being made easier for the customer if the outcome is positive, less easy if it is negative. Examples would include:

- (a) Car loan
- (b) Bridging finance
- (c) Most personal loans
- (d) Forward contracts
- (e) Letters of sanction

As with Transforming Encounters, there is a need for careful planning of each Facilitating Encounter. Where possible the basic product should be personalised. Whereas the product is individually tailored in a Transforming Encounter, it is more of a 'bespoke suit' in the Facilitating Encounter. Nevertheless, there is a need to identify the relative importance of the various customer retention factors which come into play.

Chores form a large percentage of the day-to-day encounters which customers have with their bank. They will normally be of shorter duration than the Transforming and Facilitating Encounters and are usually repetitive on a daily, weekly or monthly frequency. Examples are:

- (a) Depositing funds
- (b) Ordering/collecting cheque books, statements
- (c) Collecting or paying in large amounts of cash
- (d) Making and amending Standing Orders
- (e) Discussing fees and other charges

These encounters provide little joy or satisfaction for the customer. It is, therefore, important that staff compensate by pleasantries and efficiency. Any service support systems need to be seen by the customer as reducing the 'chore content' rather than adding to it. In addition to customer retention factors there is a need to consider 'diversions' such as music and video which will make the Chore Encounter a less unpleasant experience.

Swifts is used to describe the most common type of service encounter for the majority of bank customers – those everyday transactions which in the mind of the customer should only take a 'couple of minutes'.

Examples are:

- (a) Encashing cheques
- (b) Using ATMs
- (c) Seeking a balance
- (d) Paying bills across the counter

The mindset of speed which customers bring to such encounters means that any additional time involved beyond that expected by the customer is multiplied far beyond real time. ('I've been waiting here for hours'). The need here is for quick service, automated where possible. In addition to customer retention there is a need for encouraging the customer to make inputs to the service delivery processes.

There are two categories of customer retention factors to be considered in every type of encounter be it banking or elsewhere:

1. Quality factors
2. Customer care factors

Quality factors can be defined, measured and put into action prior to the actual service encounter. Examples are:

- Accessibility
- Competence
- Reliability
- Responsiveness

- Security
- Tangibles

For each quality factor it is possible to divide a number of indicators in terms of systems, equipment, premises and behaviour.

Customer care factors can also be defined and to some degree measured. However, they are mainly manifested in behaviour of the service provider and the customer at the time of an encounter. Examples are:

- Communications
- Courtesy
- Credibility
- Empathy
- Pacing
- Support

For each customer care factor it is possible to establish a repertoire of effective behaviours which staff can practise. Both types of customer retention factors are defined in Digest 5.5.

In addition to the points covered it is important to consider prior to the service encounter such matters as:

- Cross-selling opportunities
- Dealing with any negative outcomes
- Contingencies for dealing with breaks in service

Figure 5.2 shows a pro forma to enable staff to prepare themselves to manage every encounter in a manner which will ensure that the customer has an experience which they will be happy to repeat, thus ensuring sustained loyalty and success.

CUSTOMER PATTERN ANALYSIS

The final key competence required for CIM is customer pattern analysis – the identification of patterns of customer behaviour, particularly in those areas where there are opportunities to increase customer inputs, whether it be as a

Digest 5.5 Customer retention factors

Quality factors

Accessibility	Ease with which a customer can establish contact with the person best qualified to meet their needs. It aids retention by signifying respect and reinforcing positive self-esteem.
Competence	Reveals the professionalism and efficiency of the provider, thus providing a sense of reassurance which leads to customer retention.
Reliability	This shows itself in the meeting of deadlines, keeping promises, reducing uncertainty. Customer retention is assisted by the absence of anxiety.
Responsiveness	Means flexibility in meeting customers' needs promptly. It influences customer retention by reflecting both the willingness and readiness of the provider to comply with customers' wishes. Willingness is an attitude, whereas readiness depends on knowledge, confidence and empowerment.
Security	Provides an assurance of safety, confidentiality and professionalism at all times. By creating a sense of physical impact on customer retention.
Tangibles	These comprise the physical evidence of quality and performance standards. They can attract or repel customers for both objective and subjective reasons. Thus careful attention to them is essential for customer retention.

Customer care factors

Communications	Displays the ability to keep customers informed of changes likely to affect them; explaining these and other matters in language appropriate to the customer's needs and circumstances. By heightening the awareness in customers of the capabilities of a company in respect of their needs, communications plays an important role in expectations management and hence customer retention.
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Digest 5.5 Cont.

Courtesy	Helps strengthen interpersonal relationships by conveying a sense of friendliness whilst showing respect for customers as intelligent human beings. By easing relationships courtesy can cement the bonds necessary for customer retention.
Credibility	Provides customers with a sense of having made the right choice in selecting one company in preference to another. It establishes and sustains a relationship of mutual trust by displaying sound judgement in the advice and assistance given to customers; thus encouraging customer retention.
Empathy	Conveys to the customer a genuine concern about satisfying emotional and moral as well as economic needs. Such displays of sincere care provide a strong psychological attraction which is essential for customer retention.
Pacing	Controlling the rate at which an encounter takes place and new matters are introduced. Provides a sense of timeliness and continuity which can be conducive to customer retention.
Rapport	Creating a sense of synchronicity of need which strengthens relationships and greatly improves the likelihood of customer retention.

carer, resource, change-driver or experience-shaper. Such an analysis should cover the following:

- Planned order/sales over the next five years by location: how these could change by increasing customer inputs.
- Major customer segments – demographic, economic and geographic characteristics: the opportunities to change the level of customer inputs and so extend and/or increase segments.
- Prime customer targets now and in five years: how CIM would help achieve the targets.

Figure 5.2 Customer encounter guide

Category of encounter:

Type:

Pre-encounter requirements:

Preferred location:

Best alternative location:

Relative importance of quality factors:

<i>Factor</i>	<i>Weighting (5(high) – 1)</i>
— Accessibility	
— Competence	
— Reliability	
— Responsiveness	
— Security	
— Tangibles	

Relative importance of customer care factors:

<i>Factor</i>	<i>Weighting (5(high) – 1)</i>
— Communications	
— Courtesy	
— Credibility	
— Empathy	
— Pacing	
— Rapport	

Possible extras for strengthening customer retention:

'Give aways'

Special Rates:

Contacts:

Other:

Figure 5.2 Cont.

Cross-selling opportunities:

Approach to negative outcomes on our part:

Referrals:
 Postponement:
 Restructuring:
 Refusal:
 Other options:

Contingency arrangements:

Staff authorised to take action:
 Type of action:
 Limits of authority:

Follow-up contact:

Date:

Method:

- Product/service availability now and in five years; by type, location and profitability: the extent to which could change through greater use of customer inputs.
- Documentation used by customers; type, amount, clarity, defects: changes required to facilitate customer inputs.
- Pricing; nature, schedules, discounting, flexibility: the impact CIM could have on these.
- Customer research; nature, extent, use of findings: insights provided on opportunities and problems relating to CIM.
- Delivery systems; by market and territory: their suitability for low cost transformation to specified levels of CIM.
- Special competences required in service delivery by staff and customers if CIM is extended.
- New product development – where and when: to what extent would CIM affect work to date.
- Opportunities for subcontracting and outsourcing: likely effects on CIM.

- Extent to which customers' buying patterns and habits need to be changed to facilitate CIM.
- Competitive activity on CIM.

An important part of customer pattern analysis is to identify through market research, staff reports and other means the reasons for customer loss. As far as is feasible this should cover losses arising from:

- Death
- Relocation
- Change of need
- Transfer to a competitor
- Rejection by provider.

Keeping the customers you want calls for information about those you have lost. While the reasons for the loss may be difficult to prise out of customers it can be more cost-effective than the advertising needed to attract replacement. By pinpointing weaknesses in systems, inadequate behaviour, uncompetitive pricing and the many other factors which lead consumers to take their custom elsewhere, customer loss analysis can provide essential data for planning how best to build on customer loyalty.

CONCLUSION

Customer input management is not a new phenomenon, there are many instances of customers making a contribution to the delivery of product/service satisfaction. What is new is the increasing extent to which customer roles are changing. Some already exist but need to be modified to adapt to new technologies and market forces, other are emerging.

With these new and evolving roles the competitive struggle for customer retention will grow. New approaches to nurturing customer loyalty will increase. In particular the customer will be encouraged to shift conceptually, and also to some extent in reality, from 'outsider' to 'insider'.

To achieve such a transition it will be necessary to develop Customer input management systems which blend traditional

marketing and manpower plans with new approaches to customer retention analysis. This will in turn require a new look at customer data, particularly on such 'soft' issues as values; it will also call for the development of new competences particularly anxiety control, customer behavioural analysis, customer encounter management and customer pattern analysis.

Armed with these techniques and competences the navigators of change can then venture into the relatively uncharted seas of new types of customer loyalty, of which the first is to attract and retain the caring customer.

6 Not just Caring but Sharing

INTRODUCTION

Unreciprocated care, like unrequited love, is difficult to sustain. The customer care revolution of the 1980s had, by the mid-1990s, brought many benefits, but it also claimed victims. Few would deny the need for consumer protection, high quality standards, sensitive and efficient complaints handling. But not all customers are the same; some respond positively to enhanced customer care, others see it as an opportunity for cheating, coercion and worse.

In terms of ethical behaviour customers range from the criminal to the totally moral, most falling between these extremes. However, the rewards of criminality and lesser malfeasance are perceived as outmatching those of conformance and probity. Unless action is taken to make care a reciprocated process, companies will find themselves lumbered with customers they do not want and unable to retain those they do.

CUSTOMER TYPES

In their moral behaviour as consumers, as distinct from other social roles, customers fall into seven categories:

1. Criminals
2. Rule-benders
3. Ignoramuses
4. Innocents
5. Conformers
6. Reliables
7. Reciprocators

Criminals are an increasing category as rates of shoplifting, credit card fraud and default rise. Certain types of business

attract criminal activity because the rewards can be substantial. Financial services, jewellery, antiques, high fashion, prescribed drugs and gambling all attract not only hardened criminals, but the dishonest and those who rationalise their unethical behaviour on the basis that '*they* can afford it'. The spread of technology in service delivery systems such as cash dispensers has added a new dimension – technocrime. This type of crime can range from massive fraud through using computers to divert funds to kicking a vending machine in the hope of dislodging the contents.

As organisations such as banks move towards technology based systems, customers dealing with genuine automatons (as distinct from the human variety) experience an alienation effect which can lead to an inclination to rationalise unethical behaviour. Machines do not feel, therefore there is no hurt involved in cheating them. Unfortunately, despite the claims of their inventors, machines do share one human attribute, fallibility. They may be less prone to error than people, but mistakes can happen. (The author has had the experience of a bank refusing to believe that a cash machine had paid him too much!) Despite elaborate and expensive precautions with personal identity numbers and other safeguards, customers can suffer from mistakes. Companies relying on technology for customer retention need to establish procedures for differentiating between machine faults, carelessness and criminal behaviour. By having a more in-depth customer data base, companies with high levels of retention are in a better position to counteract fraud than their competitors.

There are however a variety of factors influencing unethical, if not always criminal, behaviour. Examples are given in Digest 6.1.

Monolithic organisations increased in the second half of the twentieth century and are continuing to grow through mergers and acquisitions as companies move from national to multinational to global. Despite name badges, smiles, friendly telephone contacts, the public perceive these giants as impersonal, powerful and uncaring. Executive ego-boosting has been the lifeblood of the corporate reputation consultants. Fortunes have been squandered on new logos, new letter-heads, new shopfronts, not because customers wanted them, but as a testimony to the ego-mania of a

Digest 6.1 Factors influencing unethical behaviour in customers

<i>Factor</i>	<i>Influence</i>
Spread of technology	Cheating a machine is perceived as more morally acceptable than cheating a person.
Monolithic organisations	Impersonality of relationship reduces sense of personal guilt.
Image fixation	Companies fearful of damage to their caring image tolerate unethical behaviour by customers.
Corporate greed	Excessive rewards to senior executives used as justification for greedy/dishonest behaviour by customers.
Default respectability	Banks apparent tolerance of massive default by corporations is used to justify default by individuals.
High rates of interest on shop charge cards	Creates perceptions of usury which justifies revenge.
Fraud and default right-offs built into profit projections	Confirms an expectation of criminal behaviour and stimulates cynicism in honest customers.
Overreliance on security devices and alarms	Pervasiveness of so-called fail safe devices leads to complacency in sales staff and opportunities for dishonest customers to beat the system.
Growth of private security services	Private security perceived differently from police; easier for the unethical customer to rationalise evading private services.

Digest 6.1 Cont.

<i>Factor</i>	<i>Influence</i>
Customer charters	Overemphasis on customer rights is exploited by the corrupt customer.
Multibranch refund schemes	Relatively easy for goods stolen in one branch to be submitted for refund in another.
Merchandising temptation	Layout of goods sometimes makes shoplifting easy.
Resentment of honesty	Staff resent customers pointing out any mistakes, be it overcharging, undercharging or giving excessive change.
Fear of violence	Honest customers fear violence if they draw attention to criminal behaviour.
Legislative bias	Legal system biased towards petty criminal and against the corporate victim.
Spread of multiculturalism	As nationalities of serving staff vary, indigenous customers can take advantage of language and cultural differences.

powerful chairman or president. These changes are usually associated with uniforms or rather 'corporate dressing', the very symbol of impersonality since the vestal virgins, religious orders and national armies. While there can be sound arguments for uniforms in such industries as airlines where, in an emergency, staff need to be easily identifiable to customers, there are few customer based reasons for bank staff in uniforms, lest it be to ease the task of bank robbers. The reinforcement of corporate identity hammers a further wedge in the provider/customer relationship, providing, however

unwittingly, a rationale for unethical behaviour by the uncaring customer.

Image fixation is the outcome of an obsession with corporate identity. Ironically, it is often those companies who have established a high profile in customer care who are most prone to capitulating to customer blackmail. British Airways, for example, confronted with 'Chinese blackmail' in 1993-4 gave somewhat equivocal guidance to its captains.

This form of blackmail arose from predominantly Asian passengers refusing to disembark from flights in South-East Asia and the Indian subcontinent without substantial financial recompence for what they claimed to be inconvenience. Main grievances related to delayed departures and arrivals caused in many instances by air traffic control delays, inadequate airport facilities and passenger behaviour. As all of these were outside the control of the airline, captains were instructed to refuse to make compensation payments unless certain criteria were met. The first was that if the grounds for complaint were serious and wholly attributable to the airline, compensation should be negotiated. This was to be expected from the self-proclaimed world's favourite airline. Safeguarding that image might also excuse the next condition, that payments be made if failure to do so might further inconvenience other passengers. Where the airline could be perceived as a party to undesirable behaviour was in its final condition that payment be made if the consequences of failure to do so would damage the reputation of the airline. Surely a recipe for rewarding the uncaring at the expense of the caring customer.

Such twisted logic is not confined to airlines. In the early 1990s Barclays, the British based banking group, instructed its branch managers to change a long-established arrangement with business customers which would result in a loss of a discount in interest. The change was to be made without informing the customers, but if any found out and *strongly* objected, managers had discretion to restore the status quo. Here was an example of granting superior treatment to customers, not on the basis of loyalty or merit, but aggression. Fortunately, for the first time in banking history the traditionally conforming branch managers rebelled against the unfairness of the policy and the order was rescinded.

Chain stores often give implied rather than explicit guidance to staff that where a customer is likely to create a scene, a refund should be made, despite suspicions of fraud. Companies themselves are not entirely to blame; juries can be biased in what they perceive as David versus Goliath situations. The McDonald's coffee case of 1994, in which an American court awarded \$2.9 million (£1.9 million) in damages to an elderly woman who was burnt by a cup of hot coffee, was an extreme case, but highly significant. The 81-year-old victim attempted to drink the coffee while travelling in a car. She held the cup between her legs and the contents spilled causing burns for which she was awarded \$200 000 to cover her £10 000 medical expenses. The remainder of the award was for 'punitive damages'. This example highlights two key issues: customer carelessness can be lucrative, and where a company is perceived as monolithic and with a reputation for claiming high standards of customer care it is vulnerable to customer backlash.

Regardless of their reputation for customer care, companies which exhibit executive greed provide an excuse for criminality in their customers. Where there is a perception that, through golden hellos, golden handshakes, stock options and bonuses, executives are 'ripping off' the stakeholders of the companies they manage, one category of stakeholder, the unethical customer, feels little remorse at indulging in such 'ripping off' tactics as shoplifting, false claims for compensation and other fraudulent practices. Behaviour breeds behaviour; an unethical company attracts unethical customers.

This is particularly true when it comes to the next factor, default respectability. In contrast to earlier decades when 'respectable people' felt honour bound to meet their debts, the 1980s witnessed a marked change in attitudes to indebtedness. As the man and woman in the street witnessed nations, corporations and tycoons reneging on their financial obligations, default began to assume a cloak of social acceptability and even respectability. Matters became worse with the collapse of such financial institutions as the Bank of Credit and Commerce International, savings and loan associations in the USA and a host of secondary banks. When banks default on customers, customers default on banks. This

default respectability spread to transactions with non-banks such as leasing companies and high-purchase finance.

Default without guilt was given impetus as increasing numbers of retailers and manufacturers issued their own charge cards and credit-financing. Even in an era of high interest their rates, often in excess of 30 per cent, were perceived as verging on usury. The twin burdens of indebtedness and unemployment put pressure on the ethical customer from which the unethical simply escaped. A sense of guilt and injustice stretched to the limit the ties of customer loyalty. Some organisations such as BT, the British telecommunications giant, responded to these misfortunes with sympathy and assistance in finding equitable solutions to customers' problems. Others, particularly financial companies, adopted a ruthless pursuit of the unfortunate and guilty alike. Experience shows it is a paradox that it is the unfortunate who are burdened with guilt and therefore easier to catch than the guilty who are fleet of foot.

In an age of default, sufferers have to make provisions for bad and doubtful debts. This sound practice can become distorted in the minds of honest but financially unsophisticated customers who perceive a provision as a firm prognostication. This can lead less honest consumers to feel justified in cheating; even worse it can create in the honest majority a perception that companies do not care about fraud as long as it remains within budgetary limits. Such negative feelings are compounded when the reported loss of credit cards is dealt with in an apparently leisurely manner.

Another paradox in the fight against the criminal consumer is that a number of the measures intended to counteract the problem appear to make it worse. Overreliance on security screens, tags and other devices can make sales staff complacent and honest customers uneasy and embarrassed when false alarms occur. Private security companies create a threatening presence which can inhibit the honest customer, while creating in the criminal a sense of dealing with amateurs who are not part of the forces of law and order.

Customer charters, intended to improve standards of care, can have the opposite effect. Defining the rights of the consumer they can plant a wedge between provider-customer relationships built on trust and respect. Furthermore, when,

as with British Rail in the UK, the organisation defines the cut-off points for compensation claims and always seems to exceed them by a whisker, distrust, rather than trust, is the dominant response of the honest customer.

Refund and replacement schemes are now the norm in most retail stores. Marks and Spencer in the UK has established an enviable reputation for customer service based on its refund policy. However, at the heart of that policy are two solid principles; goods are exchanged and refunds made only if the said products are in a resaleable state, or there is a manufacturing fault; either way Marks and Spencer does not lose out. Its policy is backed by explicit guidance to staff on how to deal with all types of complaints from faulty zip fasteners to goods bought in Canada and returned in the UK. Other chains are less diligent and their systems are open to abuse. It is even feasible for goods stolen from one branch to be returned to another for refunding. Some will argue that the economics of policing such malpractices is not justifiable. However, as was shown in Chapter 4, economics is but one dimension of customer retention, the psychological and ethical dimensions need also to be taken into account. Companies which have a high tolerance for unethical customers are likely to have a low retention of the ethical. Customer contamination is always a serious threat to keeping the customers you want.

Some companies appear almost to encourage criminal customers. Merchandising based on open, easily accessible, displays near entrances are intended to stimulate sales; they also stimulate temptation. Staff at check-outs can give the impression of resenting customers' attempts to point out errors in the customers' favour. Fearful, or at least irritated, by the prospect of a supervisor having to countersign a wrong entry, the honest customer is treated no differently from the cheat.

Finally, throughout Europe and North America and spreading elsewhere are social trends which tend to favour the criminal customer. Violence is more prevalent and the fear of bodily harm or worse inhibits even the most honest citizen from 'having a go' when faced with crime. Where the victim is business rather than an individual, there is even less inclination to be a dead or damaged hero. Valour is little recognised by legal systems which appear to be biased towards

the criminal-consumer and against the corporate victim. The reasons for this bias have their roots in many of the factors previously covered. Another social cause, likely to increase in the European Union and with increasing refugees from less developed economies, is multiculturalism. Immigrants are the mainstay of many low-paying service industries. They are the most vulnerable of employees because of language difficulties, non-compliance with entry requirements and unfamiliarity with local custom and practice. Bonds of nationality and race can blind normally honest customers to transgression by fellow citizens to strange and sometimes job threatening aliens.

The forces influencing unethical behaviour make their mark, not only on criminals, but on all other categories of customer from rule-benders to reciprocators.

Rule-benders are not criminals. They are customers who, having a sound knowledge of the commercial practices of a company, seek to take full advantage of their knowledge to the extent of attempting to persuade staff to bend or even break the rules in their favour. The issue here in terms of customer retention is where flexibility can slide into law-breaking. Rule-bending, which simply circumvents an internal regulation established for administrative convenience, may be justifiable. Care has to be taken to avoid more conforming customers resenting others being given preferential treatment. Much depends on the rationale of preference: regular customers may be entitled to higher standards of service than occasional ones; aggressive customers should not benefit at the expense of the less assertive.

Ignoramuses are customers who falsely claim ignorance of rules and regulations to excuse their recalcitrant behaviour. Such customers are likely to take advantage of any situation which is to their benefit (such as undercharging); they are quick to complain if they perceive any aspect of service about which they can possibly quibble. This customer category comprises individuals who are purposely and selectively ignorant. They need to be confronted with their unethical behaviour if they are not to contaminate other customers or drive them into the arms of more discerning and determined competitors.

When it comes to desirable categories of customers there will always be a few who can be classified as *innocents*. Ignorant

through no fault of their own, their innocence is due to age (young or old), nationality, intelligence level, lack of education, fear of commercial transactions or whatever. One key to customer retention is to help individuals lose their commercial innocence by becoming informed, discriminating and loyal customers. This implies a tolerance on the part of the provider for initial misunderstandings and mistakes. Nurturing customers does not mean nannying them, but it does require caring skills. As technology transforms the way business is conducted, products produced, services delivered, more and more customers will be 'innocents' for a time. The education of such innocents will become fundamental to customer loyalty and success.

Compliers and *reliables* form the vast proportion of customers in any industry. The former are customers who keep to the rules, no more and no less. This may arise from personal preference or a reluctance to seek special treatment. As a consequence compliers can easily be taken for granted and even more easily lost to competitors without the loser knowing why.

Reliables form the backbone of a company's market. They display customer loyalty and enjoy a long-term relationship with the provider. Depending on the industry, they seek personal service and are willing to pay for it. However, in many cases, they perceive their role as somewhat passive recipients of customer care; they are loyal as long as they are being cared for.

A small but emerging group of customers fall into the final category – *reciprocates*. These are reliable who are willing to return some of the care they receive. They are willing to test new products, serve on customer panels, and act as advocates of the providers' products and services. Reciprocates are not only aware of their rights as a customer, but of their obligations as citizen-customers. Their concept of 'care' is not one of 'cossetting', but of 'sharing'.

Keeping at bay the criminals, rule-benders and ignoramus is one task facing a company striving to improve customer retention. Just as essential and more demanding is the task of converting innocents, compliers and reliable into reciprocates. As with any conversion process it must begin with capturing hearts and minds.

FROM CARING TO SHARING

Involving customers in the caring process has tended to be one-sided. Digest 6.2 lists exemplars of customer care in the 1990s. All the examples quoted have rightly earned the plaudits of gurus and researchers but all have one thing in common – the caring is one way. Airlines are condemned for overbooking, therefore Midwest Express shows care by not doing so; but that does not stop it being the victim of ‘no-shows’ – passengers who fail to turn up for their flight. Singapore Airlines reduces the chances of passengers disturbing others by frequent calls to attendants; but there will still be those who wait until the last minute to demand a drink or visit the toilet. Lexus car drivers, though affluent, are not exempt from calling out an engineer for some trivial fault, just to test its customer care claims. And so it could go on.

A distinction has to be drawn between the malicious, the crank, the nuisance and the uncaring. The first three are types of people whom it is preferable not to retain as customers. But when it comes to the uncaring, the aim must be to convince them that caring is not just a bestowing process but a sharing one. Digest 6.3, by contrasting traditional, caring and sharing approaches to customers, shows how this transformation can be achieved.

It is futile to defend the so-called ‘traditional’ approaches to customers. They are outmoded though, alas, they still exist. Equally, the ‘caring’ approaches with their roots in the customer revolution of the 1980s read like a litany of nostrums of admirable but diminishing value. It is the ‘sharing’ approaches which, when understood and accepted by both providers and customers, will secure customer loyalty.

For a start, true care of any rational human being shows itself through enabling them to fulfil their promise; not in cossetting them or insulating them from reality. In order to achieve this it is necessary for a provider to understand a customer’s aspirations and values. Only then can a Care Package be designed which yields customer satisfaction and provider profit. When customers are enabled to realise their goals and shape their experience the way they wish, the resulting satisfaction will bond them to the caring provider.

Digest 6.2 Exemplars of care

<i>Industry</i>	<i>Company</i>	<i>Care in action</i>	<i>Retention impact</i>
Airlines	Midwest Express (USA)	Spacious seating No overbooking	Comfort helps but lack of bad surprises due to overbooking is major hook.
	Singapore Airlines	Reliable on time record Flight attendants roam aisles throughout flight	Reliability plus minimal disturbance from passenger ringing call buttons important on long-haul overnight flights.
Automobile manufacturing	Lexus (Japan/USA)	Quality assurance tested by distributor Four years free service any time, anywhere in US	Chief source of sales is Lexus owners buying another.
Computer manufacturing	Dell Computers (USA)	Warranty upgrades Lifetime technical support Preloading of software	Removes anxiety of product obsolescence and reduces technofear.

Digest 6.2 Cont.

<i>Industry</i>	<i>Company</i>	<i>Care in action</i>	<i>Retention impact</i>
Financial services	Banc One (USA)	Week-end opening of branches. 24 hour customer hotline.	Reduces anxiety of customers wanting to contact bank out of hours.
	A T & T Universal Credit Card (USA)	Low cost Visa and Mastercard Carelines.	Ability to talk to phone representatives without feeling rushed keeps customers loyal.
	USAA Insurance (USA)	Direct line insurance. 85 per cent of car claims settled same day.	Lack of hassle and speed of response retains customers
Hotels	Four Seasons chain (Canada)	Focus on business traveller. Low fee upgrading.	Business customers welcome services specially designed for them.
Rental	Hertz (USA)	No. 1 Club Gold Programme gives swift access to car on arrival at airport. Name in lights above car. Engine running and internal temperature adjusted to weather.	Speed and efficiency makes customers willing to pay \$50 annual fee.

Digest 6.2 Cont.

<i>Industry</i>	<i>Company</i>	<i>Care in action</i>	<i>Retention impact</i>
Telephone companies	MCI (USA)	Provides customised list of most often dialled numbers, which qualify for discounts. Pay credit card bills. Provide frequent flier miles and discounts on GM Cars for heavy users of long distance.	Discounts and perks retain custom in an otherwise undifferentiated industry.

Digest 6.3 From caring to sharing

<i>Traditional approaches to customers</i>	<i>Caring approaches to customers</i>	<i>Sharing approaches to customers</i>
Optimise financial profit through maximising margins.	Optimise financial profit through maximising customer satisfaction.	Optimise total profit through creating customer fulfilment.
Design and provide product to match internal capabilities.	Design and provide a Service Package to meet targeted customers' needs.	Design and provide a Care Package to meet targeted customers' aspirations and values.
Strive to keep ahead of competition.	Strive to keep ahead of customers' needs and expectations.	Strive to enable customers to realise their life goals.
Serve customers efficiently.	Manage the customers' service experience.	Enable customers to shape their desired experience.
'Customer Care' is about 'complaints handling' and 'maintenance'.	'Customer Care' is about the manner in which we relate to colleagues and customers.	'Customer Care' is about running any business.
Complaints procedure defends company rights.	Complaints procedure puts things right.	Complaints procedure is an input to business planning.

Digest 6.3 Cont.

<i>Traditional approaches to customers</i>	<i>Caring approaches to customers</i>	<i>Sharing approaches to customers</i>
Performance Appraisal focuses on reward/punishment and promotion prospects.	Performance Appraisal reinforces positives in performance and career development.	Performance Appraisal focuses on exceeding customer expectations.
Executive power is determined by the ability to control and direct the energy of subordinates to get things done.	Executive power is determined by the ability to release and guide the energy of subordinates to achieve goals.	Executive power is determined by the ability to meld the competences and values of all stakeholders in the achievement of shared goals.
'Leadership' is about mastering others.	'Leadership' is about serving others.	'Leadership' is about empowering others to achieve their life goals.
Managers marshal resources, run things, control other people's behaviour, supervise activities.	Managers satisfy needs, help others grow, control own behaviour, contract for achievement.	Managers enable others to manage themselves.
Discipline aims to punish poor performers.	Discipline aims to help all achieve goals.	Discipline is conformity to shared values and beliefs.
Motivation is based on fear of failing.	Motivation is based on encouraging success.	Motivation is based on genuine care for self and others.
Service quality lessens the chance of things going wrong.	Service quality increases the chance of things staying right.	Service quality is about delivering promises.

This can only be achieved if the customer is willing to be open with the provider, accepting shared responsibility for achieving results. Complaining can be part of the sharing process, giving the provider insights into ways in which customer satisfaction can be increased. It can also highlight misunderstandings arising from miscommunication, unrealistic expectations and other human foibles.

Such changes in customer perceptions and behaviour will only come about if the other stakeholders involved, particularly employees providing care, are effectively trained and led. This may require a rethinking of performance appraisal, management skills and the reality of business leadership. Shared care requires leadership that empowers all stakeholders to achieve their goals; managing through helping others to help themselves. New thinking needs to be applied to such concepts as discipline, motivation and, above all, service.

Sharing has to be based on a sense of discipline whereby conformance to standards comes from common values rather than unilateral power. Motivation which is fuelled by genuine care for oneself and others will leave little scope for the types of unethical behaviour discussed earlier. Above all, a concept of service based on mutual respect and a shared sense of self-worth will nullify the negative feelings generated by equating service with servility or servitude.

Without such a shift in attitudes and behaviour a form of Gresham's Law will take effect; only this time, bad money will not drive out good, it will be the uncaring customer who drives out the caring. If the reciprocating customer segment in a company is to increase there must be some incentives to make sharing care an attractive option to indifference and uncaring behaviour. As ever, there are three types of incentive – economic, psychological and moral.

WAYS OF SHARING CARE

Economic incentives can range from discounts for conforming customers, that is those who pay their bills on, or before, the due date, keep within credit limits, acknowledge when a mistake has been their fault. High rewards are unnecessary – tokens of loyal custom can be highly effective.

Some such tokens will have economic value, others psychological. These can range from discrete sincere letters of thanks to membership of good citizen type clubs. Provided it is genuine, people can be flattered to be asked to vouch for the service and integrity of a company. In the arena of psychological incentives it is important that customers are guided on the types of behaviour which signify shared care. Examples of the respective contributions of customer and provider are given in Digest 6.4.

These should not be presented as a list of dos and don'ts, but as guidance to staff in attracting and retaining the customers you want. Creating the desired attitudes will call for sensitive handling, effective staff training and skilful communication. The effort involved need be no more than that wasted over the years in so-called 'customer care' training, with its focus on studied smiling behaviour, spurious indicators such as the speed of answering the telephone and other devices which have led to a sense of 'customer con' rather than customer care. Fortunately, in the USA and Europe there are a number of 'care values' influencing social behaviour which companies can call on to facilitate a shared care culture. These moral levers can be used to encourage shared care.

Across all industry boundaries customer behaviour is being influenced by a clutch of values. This will be covered in depth in Chapter 8 entitled, 'Not just Value Seeking but Values Searching'. However, it is appropriate here to consider those values which reflect a growing public awareness of the need for shared care:

- Community care
- Social care
- Global care

Responsible citizens make responsible customers. Appealing to a sense of community spirit can stimulate shared care. Something as simple as adequate waste disposal facilities outside fast food shops, at cash vending machines and other sources of litter need to be more than a symbol of shared care. They are only effective if the disposal units are frequently emptied and kept clean. More significant measures of community care, such as sponsoring local events, providing

Digest 6.4 The customer as sharer

<i>Aspect of sharing</i>	<i>Customer contribution</i>	<i>Provider contribution</i>
Compliance with law.	Do not involve self or provider in law-breaking.	Ensure customer is aware of relevant rights and duties.
Compliance with company rules.	Do not involve provider in breaches of company rules.	Ensure customer is aware of company rules and the reasons for them.
Be fair and honest in presenting information to provider.	Do not mislead provider on needs and circumstances.	Ensure customer is aware of reason why accuracy is essential.
Avoid situation where interests or well-being of a third party are damaged wantonly.	Make provider aware of potential damage and take avoiding action.	Make customer aware of potential damage and take avoiding action.
Avoid request which could pose a hazard to the provider.	Refrain from exercising unfair leverage on provider to commit an unsafe act or take undue risk.	Decline to succumb to unfair demands or undue pressures from the customer.
Respect for confidentiality.	Refrain from passing on information or special privileges from provider which are legitimately confidential.	Explain to customer the legitimate reasons for respecting confidentiality.

Digest 6.4 Cont.

<i>Aspect of sharing</i>	<i>Customer contribution</i>	<i>Provider contribution</i>
Payment by due date.	Pay by due date.	Encourage customer to pay by due date.
Forewarning of problems/ changed circumstances.	Give adequate warning and explain consequences for provider.	Encourage early warning and provide guidance in dealing with the consequences.
Complaints handling.	Specify complaint as soon as possible after cause has arisen. Give reasonable time for resolution.	Adopt positive attitude unless there is due cause to doubt customer's motives. Resolve issue as soon as possible.
Complimenting.	Give when due and be specific.	Pass on to individual concerned and, if appropriate, record.
Correcting errors.	Swiftly notify even if error was of advantage to customer.	Accept correction positively. If appropriate reward honesty of customer.
Recommending.	Avoid creating false expectations.	Encourage customers to recommend service to others and ensure they are not subsequently embarrassed.

space for exhibiting local artists and the work of school children, all help to kindle the community spirit.

Social consciousness can be extended on a broader front through companies providing help through charities to the less fortunate, the vulnerable and the afflicted. One outstanding example in Britain is the support which a variety of companies gives to the homeless, through sponsoring a weekly magazine, *The Big Issue*. This is sold by homeless and vulnerably accommodated people in London and other major cities. The vendors buy the magazine for 25p per issue (1994) and sell it at 60p. By this means *The Big Issue* claims not to encourage dependency but to provide training and other support systems which enable the vendors to move back into the mainstream of society. All who sell the magazine receive training, sign a code of conduct and can be identified by a badge.

The Big Issue is funded through business sponsorship, advertising and sales. Although not directly sold through or associated with its sponsors, these are listed prominently in each issue. One company which enjoys customer retention through its identification with the magazine is the cosmetics group Body Shop. Ironically, it ceased to be a sponsor in the early 1990s having helped to launch the initiative with which it remains associated in the mind of its customers. Good works do have their rewards.

Global care is for many people the really big issue, therefore companies locking onto this value can tap the growing awareness of the merits of shared care. Recycling, reduced pollution and culling back on overconsumption are all factors influencing customer behaviour, and are dealt with in Chapter 8. Here our focus is on ways in which customers can be retained through appealing to this relatively new found planetary awareness. One approach used by financial services is to allocate a tiny proportion of credit card accounts to charities dealing with wildlife preservation, refugees and hunger relief. Regretably, the corrupt and failed Bank of Credit and Commerce International was the pioneer of 'ethical' credit cards. Therefore, even when handled honestly and sensitively this approach to shared care can give rise to cynicism.

Almost as dangerous to encouraging the concept of the customer as carer is the charge of 'idealism'. The end purpose

of customer retention is not philanthropy but profitability. For this reason, perhaps, the most effective way of achieving that end is to appeal to that basic motivator, self-interest.

SELF-INTEREST AND CARE

One category of customer whose survival often depends on subscribing to the concept of shared care is perhaps the oldest category of all, the patient. If the relationship between doctor and patient (which is a commercial as well as a medical one) is to produce what the customer wants, each has to recognise the complementary nature of their roles.

The doctor, as provider of a service, has to listen carefully to the concerns and symptoms of his or her client. The patient, as customer, has to provide, to the best of his or her ability, a true and detailed account of symptoms. It is also necessary for the patient to divulge information which is necessary for the doctor to provide the appropriate standards of care. Where necessary the doctor has a duty to respect any such information given in confidence. The process of shared care continues as doctor prescribes and patient complies with the prescription, until it is hoped both doctor and patient are satisfied with the outcome.

This concept of mutual obligation or shared care applies to varying degrees in other service industries where it is in the customer's best interest to reciprocate.

A less obvious example of shared care comes from air transport. One problem for any airline is to attract and retain customers who fear flying to such a degree that when they do they are a danger to themselves and other passengers. To deal with this problem, airlines, ranging from scheduled carriers like British Airways and holiday charter companies, such as Britannia Airways, have established 'Flying with Confidence' courses.

In Britain (and the same is likely to hold good elsewhere) 80 per cent of the population is nervous about flying. Of this majority around a quarter are scared and 10 per cent just cannot bring themselves to fly. These sufferers of pterophobia, as it is correctly labelled by the medical profession, form a significant share of the air travel market. Furthermore, fear is

contagious and pterophobics can find themselves, sometimes unwittingly, diverting potential air passengers (perhaps their relatives) to other modes of transport.

Initially, as the mass market for air transport developed in the mid-1960s, airlines ignored the problem or used reassuring slogans 'BOAC Takes Good Care of You'. But by the mid-1980s competition and recession made BOAC, by then British Airways, and other airlines aware that 'taking care' of pterophobics was as effective as reassuring agrophobics that people in the great outdoors are friendly; it doesn't work. Hence the flying with confidence training.

Through a mixture of lectures on flying, medical advice, simulation and a short hand-holding flight, fears are allayed. As a result, those customers who have flown before became more frequent fliers, those who have never flown become new customers, and hopefully more congenial flying companions.

The lessons of the airlines need close attention paid to them by the builders of information highways. For self-interest motivates not only customers but service providers. The promise of telecommunications, computer based services, interactive shopping and other forms of technocare revealed in Chapter 9, will not be realised unless consumers are willing to accept that care is a two way process and that it is in their interest to share the caring. This calls for a joint effort by providers and customers to overcome technophobia in much the same way as airlines have tackled pterophobia – offering customer education.

MAKING TECHNOCARE WORK

Digest 6.5 lists the most common barriers which companies, moving to a greater dependence on technocare, must overcome if they are to retain their customers. Whereas it is possible for human care to be a unilateral process of the carer doing everything for the cared, with technocare the care receiver has to make some contribution even if it is simply pressing a button.

As technically based service delivery becomes more sophisticated and widespread the customer input will increase, as was shown in Chapter 5. The old computer concept of

Digest 6.5 Barriers to technocare

Lack of confidence	feelings of incompetence because of inability to operate domestic equipment such as videos.
Safety fears	concern about danger to self or damage to equipment.
Social superiority	keyboards are for secretaries.
Scepticism	previous experience has led to disappointed expectations.
Inadequate instructions	technical jargon difficult to follow.
Alienating design	equipment designed for offices rather than homes.
Heavy input demands	period spent setting up equipment and feeding in data can be time consuming.
Fears for confidentiality	concerns about hackers and access to data by others.
Fear of loss	viruses and meltdowns call for back-up.
Fear of lack of control	machine perceived as being in control.

GIBO (garbage in garbage out) will be replaced by NINO (nothing in nothing out). The quality of technocare is largely determined by the quality of the customer's input. The careless fingering of a keyboard at a cash dispenser can lead not just to a failed transmission, but a stop to future service as the machine gobbles up the incompetent customer's card.

Providers of technocare, therefore, need to gain the commitment of their customers to overcoming the barriers itemised in Digest 6.5.

Lack of confidence is a barrier to any form of sharing. At the centre of any customer input management system, as described in Chapter 5, are actions to reduce anxiety and bolster self-esteem. When it comes to technofear, feelings of

inadequacy have their roots in two sources; the tyranny of trivia and the rise of the technically precocious.

Few customers have not experienced family squabbles arising from a member (usually father) failing to operate a video machine properly and thereby losing an always vital episode of a TV soap opera. What is in reality a piece of trivia is blown up to a life-changing event, albeit for a short period. The self-confidence of the perpetrator suffers damage. An even greater dent to self-esteem can arise from adults realising that pre-school children have a superior facility with technology than themselves. Most adults born in the first two-thirds of the twentieth century came across computer based equipment for the first time in the workplace. By contrast, their children and even their grandchildren have grown up with televisions, videos, microwave ovens and a panoply of electronic toys. This technical superiority can become equated with intellectual superiority further reducing self-confidence.

The fear of danger from electrically powered equipment is another barrier to technocare. Customers may not fear so much for their personal safety as for damaging the equipment and its software. One false move can clear a tape or render a machine out of service. Unfortunately, even the most mild and tender-hearted person, who would not dream of harming another human being, has much less compunction about venting frustration on an inanimate object. Even unintentional misuse can have the same effect as vandalism. Thus customers must be guided on ways of caring for the inanimate.

Snobbism can be the enemy of care, techno or otherwise. Customers who view keyboards as the tools of typists and calculators' layouts as the props for innumerate check-out assistants are likely to be prejudiced against technocare equipment. Even 'mice' and voice activated machines can be off-putting. In a sense, computer manufacturers need to help their customers make the same transition as did automobile manufacturers in the 1920s when driving cars became an acceptable practice for all car users, not just chauffeurs.

Technocare, as with any innovation, has been the victim of its own hype. The claims made for the efficacy and ease of use of computers and electronic gadgets has not always been translated into reality. As in any other sphere of customer

retention, caution has to be exercised in making claims for technocare equipment and systems. Loyalty is built on exceeded expectations, not unfulfilled promises.

A combination of poor translation, assumed knowledge and lack of empathy accounts for the next barrier to technocare – inadequate instructions. No matter how willing a customer may be to contribute to technocare delivery, an inability to understand instructions can be a strong inhibitor. Such misunderstandings can arise from mistakes in translation, particularly from Japanese and Chinese, an assumption of a higher level of technical sophistication than the customer possesses, or a lack of understanding of the average customer's needs. When page upon page of instruction on how to programme a video recorder for up to 365 days ahead precedes instruction on how to record for twelve hours ahead, there is a likelihood that the technical writer (off, no doubt, on a year long voyage) is out of touch with the average TV viewer. The more sophisticated the equipment the more important it is that the instructions are written for the common user.

Equipment design can have an alienating effect which adversely affects technocare. Just as the ambience of a shop can impact on levels of customer satisfaction, so can its cybernetic stand-in encourage or reduce sales. The much abused term 'user friendly' must not be ignored. Just as products need to be customer centred if they are to reinforce retention, so too must be technocare delivery systems. A balance has to be struck between systems designed to express care and those designed to impress the user.

As any customer who has attempted to transfer the contents of their address book to their lap-top data book knows, inputting information for later retrieval takes time and mistakes can be difficult to correct. Once in the machine, accessibility of the data can raise concerns for customers. Hackers may be able to steal secrets, other users, particularly the service providers, may have access to data which they can use for marketing and more nefarious purposes. Added to these can be other fears about the loss of vital information, its distortion by a virus, or a sense of loss of control of one's destiny. Unless these fears are anticipated and acted upon by service providers, technocare in any industry will be stunted.

Failure to allay the fears will lead to a loss of hitherto loyal customers.

CONCLUSION

The notion of not just caring but sharing may at first glance appear at best idealistic, at worse a new customer care gimmick. It is neither.

There are two major cost elements which companies need to control if they are to survive into the next century and beyond. The first of these is the cost of combating criminal and unethical consumer behaviour, the second is staff overheads. Every honest customer pays extra for fraudsters, shoplifters and those who abuse refund and exchange schemes. These charges amount to more than the penalties imposed on those who abuse the benefits of customer care. Having paid a hidden penalty in higher prices, hassle and inconvenience, the caring customer reaps no reward. By acknowledging the role of the customer in shared care, companies will be able to call on the help of honest customers to counteract the problems wrought by the dishonest, if not the criminal.

However, this is not only a moral issue; creating a sense of reciprocal obligation between provider and customer is essential and will facilitate the spread of technology into care delivery systems, thereby reducing staff costs. Financial services, retailers and others seeking to retain customers in increasingly competitive markets are looking to technology as their saviour in the global markets.

Whether or not this will happen will depend on the willingness of customers not simply to demand higher standards of care, but to be willing to contribute to the raising of those standards by sharing in the caring.

This, in turn, will highlight the next prerequisite for customer loyalty and success; treating the customer not simply as a passive recipient of goods and services, but as a resource in their production.

7 Not just Receiving but Resourcing

INTRODUCTION

In the beginning humankind survived by being both producer and consumer. Be it slaying animals for their meat and skins, felling trees for shelter, spinning wool for clothes, those who made, used. But over the centuries there evolved a separation of roles: a few, powerful and rich consumed, many produced. By the mid-eighteenth century political, social and technological advances had brought about in Britain the first customer revolution. The Scottish philosopher, Adam Smith, chronicled the three prongs of this revolution in his book *The Wealth of Nations*. First, he defined 'wealth' as comprising the goods which everyone consumes, and not simply as gold and other treasures. Second, he identified market forces which balance supply and demand not only in economic terms but with reference to psychological and moral influences. Finally, he described the advantages of the division of labour; more and higher quality goods would be available for consumption if each person, individually and collectively, concentrated their energy on producing what they do best.

Subsequent economists focused on issues of production and the distribution of ownership of wealth; on the role of production rather than consumption. One notable exception was the nineteenth-century Norwegian-American economist, Thorstein Veblen. Born in America in what, for a few ruthless entrepreneurs, was a golden age, he set about studying the consumption patterns of the so-called 'leisure classes' who established their social standing through a process of conspicuous consumption – providing the spur to the consumerist society of the twentieth century. But in the last decade of that century we find ourselves in an economic system where the distinction between producer and consumer, product and service has become blurred. No longer are customers treated as the passive recipients of goods provided by the 'invisible hand' which Smith claimed as governing the

economic system. Leisure is no more the life state assumed by those predatory wealth creators castigated by Veblen. Rather it is an enforced condition resulting from society's inability to employ all the resources available to produce the true wealth of nations.

Traditional economic theories with their emphasis on the value of the tangible and durable have to be adapted to a world where everything is in a sense a service, in which value attaches to the intangible and ephemeral. The economics of labour and production, once limited to the confines of the factory, have broken out not only into the market-place but to the point of ultimate consumption.

THE HUMAN RESOURCES OF CONSUMPTION

As was shown in Chapter 5, 'Customer Input Management', the new economics requires a rethinking of traditional approaches to marketing and human resource management. As with databased marketing, advances in computer technology provides companies with the ability to structure and design human resources management systems. Since the dawn of the Industrial Revolution the demands on human resource management has remained unchanged: how best to attract, select, retain, develop and utilise people to *produce* goods and services to achieve both individual and organisational objectives. Similarly with marketing, the aim is to attract, select, retain, develop and utilise people to *consume* goods and services to achieve both their own and the provider's objectives.

Just as Personnel decisions are influenced by such factors as competition, availability of resources, increasing concerns on matters of ecology, the impact of technology and collective action by special interest groups, so too are marketing decisions. Success in human resource management depends on such factors as the competence level of the workforce, cost containment, maintaining loyalty; similar factors apply to success in marketing.

The value of any human resources information system is determined by its ability to identify and evaluate what the

system does to enable a company to achieve its objectives. Any such system requires four components:

1. *inputs*, the elements to be processed;
2. *outputs*, the outcome of the processing;
3. a *processor* which creates the transformation of *inputs* and *outputs*;
4. *feedback* to provide accurate and frequent evaluation of the process.

So too it is necessary for a customer retention system which seeks to use the customer as both purchaser and resource.

Inputs to the Customer As Resource Information System will include data on:

- Type of product/service
- Point of delivery
- Equipment involved at point of delivery
- Mode of delivery
- Opportunities for technology substitution
- Hazards
- Competence mix required.

Products tend to be consumables, such as food, consumer durables like cars, refrigerators, furniture or capital goods of which the most common is a house. Services can similarly be classified in terms of their cost and exclusiveness. Mass produced services such as catalogue retailing, television entertainment and house cleaning are relatively cheap and uniform. Personal services such as hairdressing, baby-sitting and gardening are a growing sector of many economies. Professional services, legal, medical, counselling and financial planning tend to be individually tailored in contrast to the mass service industries of catering, transport and banking. Whatever the type, there is likely to be scope for involvement of customers in the process of delivery. To the long-established resourcing practices associated with *self-service* in supermarkets, laundromats, cash machines and automatic lifts, there is an emerging concept of *complementary* service whereby the role of the customer fits into the role of the provider in achieving the desired outcomes. Much depends on the point

of delivery. Some products and services are normally delivered at the home for consumption. Common examples are food which needs to be cooked before being consumed, clothes to be laundered, gardens to be weeded. However, alternative locations for complementary service can be made attractive. A restaurant meal which requires the diners to cook at least part of their meal, say on a hot stone, can enhance the service; encouraging the use of disposable clothes such as nappies can make clean garments available in any location; instant gardens requiring no weeding can be transferred from one place to another. There are, of course, many services which, for safety or other reasons, are available only at specific locations; petrol filling stations are an example. Unique locations are usually associated with the leisure industry; there is only one place where you can enjoy a holiday in Hawaii – though virtual reality may change that as is suggested in Chapter 9.

The nature and amount of equipment involved in service delivery can be an inhibitor to the contribution by the consumer. While a self-administered pedicure may be feasible, self-managed organ transplants are most unlikely. Nevertheless, the field of medicine has long pioneered self-resourcing even in such relatively sophisticated areas as genetic screening tests. In 1994, the first of a series of test kits was launched to enable couples planning children to identify the likelihood of them having the gene for cystic fibrosis, the inherited killer disease. Further kits for self-diagnosis of cancer, heart disease, asthma and senility genes will be available to customers by the end of the decade.

While self-administered services offer the greatest scope for customer inputs, analysis of traditional modes of delivery using the techniques of customer input management are likely to reveal opportunities for complementing the contributions of providers and customers. Credit scoring based on, hopefully, honest data inputs from potential borrowers has made the role of the customer much more active in lending decisions. Some customer competence building may be necessary to enhance inputs, but this can be a relatively small cost provided the trained customers are retained.

Technology can also change the human equation in the provider–customer resource balance. Many banking transactions take place without human intervention by bank

staff; black boxes installed by customers into faulty domestic appliances obviate the need for visits by plumbers and electricians. Technocare, as was first mentioned in Chapter 6, will be a major spur to the customer as resource as well as receiver. Two barriers to be overcome in achieving this transformation are avoiding hazards and extending competences.

Hazards to be overcome or avoided fall into four categories:

1. Safety
2. Systems Security
3. Personal Inhibitions
4. Social Resistance.

In an age of tort when, as was seen in Chapter 6, customers are increasingly litigious, physical safety must loom large in any system where the customer is involved in production or delivery. This may require the redesigning of products, equipment and procedures; the wearing of safety apparel; the provision of clear instructions on what to do should an accident occur. One area requiring special attention is advertising. The desire of the copy writer or commercial maker to convey how simple a process is may imply that certain precautions are unnecessary, or results can be achieved far more speedily than is the case. A television advertisement showing a gloveless housewife cleaning an oven in a trice can be very different from the reality of a scalding caustic chemical which has to be left in situ for an hour and then removed with great care.

Systems security can prove a major stumbling block where there is a likelihood of fraud or unethical behaviour by customers. Financial services, for example, need to carry out procedures which could easily be performed by customers, but only at the cost of revealing security systems. Minibars in hotels are an example of self-resourcing being open to abuse (by staff as well as customers). Currently, this danger is dealt with partly by secure delivery systems, but mainly by limiting availability to credit card holders and also by excessive charges to cover losses.

Even if a provider takes all the steps necessary to safeguard the life and limb of customers and make secure their systems,

resource contribution can be inhibited by a lack of self-confidence in their ability to perform. This may be due in part to a belief that they do not possess the appropriate competences or that they are not at the necessary level of proficiency. Clear instructions, initial on-site support, and the provision of carelines can all help to overcome such inhibitions. Developing competences for complementary servicing will become a major training task for companies as we shall see shortly in the section 'The Customer as Trainee'.

Constraints and hazards need not only be personal, social resistance may also have to be overcome. Perceived damage to social status has been a limiting factor in getting householders to move their rubbish bins to communal collection points. A sense of depriving someone of a job in times of unemployment may be a conscience pricker for some customers; a fear of jeopardising one's legal rights or having to share liability with the provider for damage caused by, say, the faulty assembly of a chair, can be another limiting factor. As before, education and training can ease the situation but they will only work if the balance of advantage from customer resourcing is markedly in favour of the consumer.

MANAGING THE BALANCE OF ADVANTAGE

The consumer will be more willing to move from a purely receiving mode to one of resourcing and remain loyal if the following conditions obtain:

- The cost advantage of making an input to the delivery process substantially reduces the price. Savings of less than one third over the fully delivered product or service are unlikely to attract any but the poorest customers who in turn will resent their 'forced' contribution.
- The consumer experiences a sense of physical and/or psychological comfort from contributing to the process. Should the 'feel good' factor be absent, the contribution may still be made but it is unlikely to be repeated.
- The quality of the outcomes, be it in terms of the appearance and function of a product or the efficacy of a

service, should be on a par with the fully produced or fully serviced alternative.

- The time taken for complementary service is no greater than that for conventional delivery. Preferably it is less and/or more enjoyable.

Managing this balance of advantage is one of the essentials of customer retention. It needs to be carried out in a manner which makes the customer feel fulfilled rather than exploited. The experience of complementary service should at best add a distinctive dimension which transcends specific economic, emotional or psychological advantages. At worst this inputting experience should more than compensate for any perceived inequities, inconveniences or discomforts. To manage the balance successfully calls for the ability to help customers help themselves.

In 1971, I wrote at the start of *A Manpower Development System*: 'Man is the most versatile resource available to industry, yet many of the existing practices in relation to personnel administration tend to limit rather than release human ability.' A quarter of a century later the same could be said of marketing and customer care. Customers are far more capable than they are allowed to be.

THE CUSTOMER AS TRAINEE

In today's consumerist society we tend to take for granted certain types and levels of knowledge which customers use day in and day out in their occupations and leisure pursuits, as well as the life skills essential for survival and personal growth. Many of these competences flow over unwittingly to people's traditional roles as customers.

To perform a role, be it as provider or customer, it may be necessary to possess one or more of the following types of competence:

- (a) Basic knowledge of facts.
- (b) Knowledge of principles which link the facts in patterns appropriate to particular circumstances.

- (c) Analytical ability to scrutinise the facts and principles and to draw conclusions about the situation.
- (d) Ability to evaluate the situation and determine the necessary action.

A motorist may experience a breakdown for no apparent reason. Armed only with this fact he or she can do nothing but seek rescue. However, a simple check of the fuel gauge, radiator, battery and fan belt, involving a linking of their actual state and their relationship to the principles of locomotion may yield an insight into the cause of the problem. The more knowledgeable the motorist, the more likely will be his or her ability to identify the nature and extent of the problem. A decision has then to be made as to the necessary action – repair the fault oneself or seek more competent assistance.

As consumers we go through this process frequently – often subconsciously. Shall we self-resource or seek help? Decisions will be made not only on the criteria of the balance of advantage of self-resourcing already mentioned, but on the level of competence required to satisfy our need. This can range from basic to advanced:

- Knowledge of nomenclature – task requires the ability to identify documents, forms, parts and tools used in the delivery process.
- Knowledge of procedures – task requires the identification of the number and sequencing of steps involved on delivery.
- Knowledge of operating principles – making the necessary customer input calls for the ability to understand why, when and what must be done at each step in the delivery process.
- Knowledge of complete theory and practice – complementary service demands the competences to predict, identify and resolve any problems arising in the course of service delivery.

As was seen in Chapter 5, most customer inputs are likely to require competency levels one and two. These need not require elaborate training programmes for customers.

Although we associate teaching and job training with classroom type instruction, most of our learning is the outcome of experience. Competence building for customers requires, in many instances, little more than the honing and refocusing of basic abilities and relatively simple life skills.

To the behaviours listed in Digest 5.4 the competences required of the resourcing customer are likely to fall into three clusters:

1. Technical
2. Procedural
3. Relational

The technical cluster embraces manual dexterity, the use of tools and equipment. Accuracy in the measurement of time, amounts of ingredients, size of dosage, length of material and load-bearing of supports all fall into this category; increasingly there are devices to augment or supplant these competences. Computer-based technology will greatly extend the type and level of technical competence which customers can apply in resourcing.

Procedural competences encompass such attributes as literacy, numeracy, the ability to complete accurately documents and to input data required by the provider. Time management, be it arriving at airports at designated check-in deadlines, avoiding holding up queues or providing data when promised in an important part of this cluster. Where complementary servicing results in delays for other customers it endangers retention. Just as customers can be lost due to their unwillingness to endure untrained cashiers, waitresses and others learning on their time, they are even more antagonistic to other customers 'learning' at their expense, when time is money.

The relational competences cluster covers communications skills, the ability to establish rapport, trust-building and the various behaviours covered in Chapter 5. Success in each of these areas is a two way process; the failure of many customer care programmes is due to them implying that they are unilateral, thereby creating a sense of frustration and even guilt in staff who have been led to believe that their behaviour alone will secure customer satisfaction.

THE CUSTOMER AS A RESOURCE

Digest 7.1 gives examples of types of resourcing specifying the obligations of both customer and provider in the delivery process. Each example provides an insight into the pros and cons of this approach to building customer loyalty through self-fulfilment by the customer.

IKEA, the Swedish based furniture warehouse group has built up an international chain on quality products, competitive pricing and encouraging customers to transport and assemble their products. Similarly, in the United States, Home Depot encourages complementary service and is an exemplar of customer care. Appealing to the do-it-yourself consumer, staff at Home Depot are trained in household repairs and maintenance techniques and are encouraged to educate customers rather than simply sell products. The company was the first in America to run free clinics for customers on plumbing, construction, decorating and tiling. By increasing consumers' self-confidence and extending their technical competences this company not only retails its customer base, but extends its market as shoppers become more resourceful. This concept of the virtue of resourcefulness is further encouraged by Home Depot's policy of discouraging its customers from overspending.

Balancing – helping the provider to maintain service by matching demand and supply – can take a number of forms. Some busy French Post Offices, for example, use the colour code of traffic signals to enable customers to schedule their visits at quiet times, indicated by green on easy to view wall charts. Restaurants by providing attractive surroundings for pre-dinner drinks and post-dinner coffee can increase the number of sittings without jeopardising customer satisfaction. Airlines and hotels find it easy to upgrade customers; downgrading is more difficult. The most effective way of soliciting cooperation in these circumstances is to provide post-event compensation such as additional air miles or free accommodation with a companion. Instant compensation (as distinct from price adjustment) such as being served a first-class meal in the economy cabin can be counter-productive, leading to embarrassment for the affected customer and possible resentment by onlookers.

Digest 7.1 The customer as a resource

<i>Type of resourcing (Examples)</i>	<i>Customer contribution</i>	<i>Provider contribution</i>
<i>Assembling</i> – fit together components to create a whole/working machine or structure. (Assembling furniture)	Fixing components in correct order.	All components specified are provided. Instructions are clear and easy to follow. Ancillary materials are provided as specified.
<i>Balancing</i> – matching demand and supply of products and services. (Accepting regrading of class on airline.)	Willingness to modify demands, yet meet care needs by complying with request of provider.	Offering option in manner which motivates desired change in customer behaviour.
<i>Cash-inflowing</i> – contributing to financial stability of provider by guaranteeing regular cash inflows. (Magazine subscriptions)	Paying in advance or at regular intervals as requested by provider.	Justifying or demonstrating the advantages of conforming to provider's preferred system of payment.
<i>Document completing</i> – ensuring that all questions posed by provider are answered truthfully and completely. (Loan request)	Giving full, honest and timely answers to all questions raised by the provider.	Posing questions which are relevant, unambiguous and capable of being responded to by the customer without unnecessary discomfort.

<i>Type of resourcing (Examples)</i>	<i>Customer contribution</i>	<i>Provider contribution</i>
<i>Marketing</i> – spreading positive support for purchasing a product/service already used by the customer. (Endorsement in the media of a local restaurant)	Give support freely without creating false expectations.	Ensure that those acting on advice of a customer receive service which accords with the recommendation.
<i>Quality monitoring</i> – alerting provider to any inadequacies/discrepancies in standards. (Complaining)	Specifying the criteria which leads to quality assessment. Conveying findings in ways that will result in opportunities for improvement.	Responding to customers' findings in ways that result in heightened satisfaction and/or compliance with promised standards.
<i>Self-service</i> – meeting simple needs in a situation/manner structured and supported by the provider. (Cafeteria type meal)	Conforms to directions and other requirements of the provider.	Lays out goods/services in a manner which enables customer to meet specific needs with minimal inconvenience and support.
<i>Service</i> – meeting a range of relatively complex needs in a situation in which the customer is in total or major control of the production/service delivery process. (Automatic banking)	Complies with requirements of the production/service delivery process and displays a range of specific competencies such as keyboard skills.	Makes the customer controlled production/service delivery process more attractive than traditional methods. Safeguards the customer at all stages in the process.

Digest 7.1 Cont.

<i>Type of resourcing</i>	<i>Customer contribution</i>	<i>Provider contribution</i>
<i>Skill-complementing</i> – adding to the skills base of the provider by making available appropriate skills. (Speaking foreign language)	Displays skills which may be in short supply but are desirable for effective customer care.	Encourage the use of scarce skills possessed by customers and relevant to service delivery.
<i>Smoothering</i> – improving efficiency by the phasing of demands over an agreed time-span. (Accepting a set of products by installment)	Willingness to 'queue' over different time-frames to enable provider to control the supply of goods and services more efficiently.	Ensure that agreed phasing of supplies is adhered to.
<i>Training</i> – using customers to assist providers in acquiring necessary competences. (Being a 'model' for a trainee hairdresser)	Act in a manner which assists learning.	Provide incentive; do not mislead customer about skills level of trainee.
<i>Transporting</i> – using own vehicle for conveying goods. (Transporting furniture from shop)	Ensure transport is capable of task.	Forewarn customer of potential problems. Discourage the taking on of too burdensome a task.

Cash-inflowing – persuading customers to pay in advance – is a long established method of interest-free borrowing. An attractive proposition in times of inflation, it has less customer appeal in recession. While discounts can act as an inducement to what in effect is the customer financing operations prior to delivery, it is possible to create in the consuming mind a sense of occasion, exclusivity or privilege which leads to customers willingly opening their pocket books. The musicals of Andrew Lloyd Weber, the Wimbledon Tennis tournament and the Superbowl are examples of this approach to using customers as a cash resource. The technique can apply not only to services such as deposits on holidays but to selected products. Morgan cars in Britain, and other makers of truly custom made automobiles, have customers willing to pay substantial deposits years in advance of receiving their desired car. This is an unusual example of the resourcing experience adding a dimension which strengthens customer loyalty and is based on scarcity rather than instant gratification.

More mundane and much more common is the next type of resourcing – document completion. This may be done to reduce the number of clerical staff required to complete and process forms; it can also be the source of that vital raw material of marketing, customer data. With the spread of user friendly computers this type of customer resourcing will play an increasing role in service delivery. As a consequence providers will have to encourage accuracy of input, partly by speedy cross-checking through advanced techniques of parallel computing (see Chapter 2) and partly by one of the oldest techniques – financial incentives. Banks, for example, may offer reduced arrangement fees to customers whose loan applications are complete, accurate and can be processed without time-consuming and expensive referrals.

Word-of-mouth is the most effective and least expensive form of marketing. Positive interpersonal endorsement can transform a little advertised book or film into a hit. Negative comments can render worthless the most massive marketing blitzkrieg. Just as jokes seem to come from nowhere and spread everywhere so it can be with customer approval. Body shop, the healthy living cosmetics group, has grown from one to 1000 outlets in just over twenty years without advertising. Marks and Spencer, the British based chain store, spends less

than a tenth of the amount its competitors expend on advertising, yet enjoys customer loyalty of a very high order, as well as an ever increasing market share. The main inhibitor to customers acting as a marketing resource is their fear of fluctuating standards. Risking the loss of a friend is a high price to pay for recommending a restaurant, hotel or airline. Therefore, more than in any other form of customer resourcing, marketing is dependent on the rigid maintenance of high-quality standards. One particular danger is that an enthusiastic customer may spread the virus of unrealistic expectations which then afflicts the very product or service recommended. Most of us have been victims of squirming through 'the best film you'll ever see', according to a friend. If the customer is to be effective as a marketing resource, providers need to eschew the traditional approach of, 'If you have a complaint please tell us; if you are completely satisfied please tell your friends.' more effective is to change the second part of the sentence to read, '... if you are completely satisfied please tell us who to tell'. By this means the provider can follow up on leads and equally important, manage expectations. 'Your friends Mr and Mrs X were very satisfied but we would like you to judge for yourselves.' An additional advantage of this approach is that customers keep their friends and the provider keeps the original customer plus others, hopefully.

Quality monitoring is another way of looking at complaints' handling. The quality of a product or service is not determined by its conformance to some standard such as BS5750 or ISO9000, but by customer perception. Encouraging consumers to express concerns about perceived lapses in quality or customer care can save both money and reputation. In an era of *vox populi* in the media, people are more willing to voice their opinions than were their more reticent forefathers. Qualitative research is an industry based on using customers as a quality monitoring resource. Customer panels, questionnaires, on site surveys and telephone surveys are all devices geared to reinforcing this role. Carried out with sensitivity and not too frequently, it can achieve the twin aims of eliciting helpful data and strengthening customer retention. But once sincere interest is perceived as market research on the cheap, this resourcing can rebound against the provider. Whether it

be quality assessment or integrity assessment, perception is reality for most customers.

Self-service is the oldest and most common technique for persuading the customer to act as a resource. Hitherto it has tended to be site-bound and focused on necessities. The spread of mail order, TV shopping and, in due course, interactive shopping will change this balance. Customers need not visit a site physically to make a purchase; luxury goods and non-essentials (with their high profit margins) will form an increasing part of the goods available for home delivery. This trend is explored more fully in Chapter 9.

NEW TYPES OF SELF-SERVICE

Servuction is self-service taken to extremes. It puts the customer virtually in control of the delivery process, usually aided by technology. Medical services offer examples from as simple as the proverbial spoonful of medicine to the more complex self-managed chemotherapy for cancer treatment. The latter negates frequent visits to hospitals and intense, often painful, treatment with adverse side effects. Instead, the patient carries a light unobtrusive piece of equipment which controls the treatment dosage as the individual gets on with his or her normal life. Automated Teller Machines (ATMs) are growing in sophistication and are among the most ubiquitous harbingers of servuction. Singapore, a nation at the forefront of consumer technology, introduced, in 1994, ATMs which enable investors to deal in shares without the intervention of stockbrokers – providing they remember their personal identification number. Cutting out the middleman through the use of technology is but one consequence of this approach to using the customer as a resource. Servuction also leads to technology replacing technology. The international flower service, Interflora and its derivatives, based on florists telecommunicating orders, is being superseded in the United States and elsewhere by users of personal computers (PC). Founded in 1989 in Connecticut, PC Flowers is not a conventional florist. PC users in the United States (and France) can call on its services any time for next day delivery. With the increasing use of technology based service, delivery will

become a greater empowerment of customers as is illustrated in the next section.

Before turning to it, a brief mention of some other ways in which the customer can be encouraged to be both a resource and loyal. *Skill-complementing* enables the customer to use particular abilities which reduce the costs of a service. This can range from expertise in installing a domestic appliance to helping providers explain a situation to foreign customers; a bank in a part of Ireland which has the occasional tourist from Italy and France experiencing language problems calls on the local priest to translate, for a reduction in bank charges!

Smoothing is a recognition that in many cases customers do not require instant and total delivery of goods and services. Encouraging staged delivery can reduce costs to the provider without adversely affecting customer satisfaction. Transport economics (and to some degree those of hotels) depend on encouraging customers to use off-peak services. This type of smoothing depends traditionally on economic pricing with off-season/off-peak reductions. Customer retention can be enhanced by using additionally psychic and moral pricing. The former can appeal to customers' desire for comfort, exclusivity and greater personal attention off-peak; the latter can be evoked in terms of resource use, social responsibility and even pollution control. As ever, any such non-economic claims should be genuine not simply sales gimmicks.

Reference was made earlier to the irritation which can be caused when customers find themselves being used as involuntary training aids. Being waited on by a trainee spilling food, suffering delays as new recruits familiarise themselves with equipment at supermarket check-outs are sure fire ways of losing custom. However, many people are flattered to be asked to help trainees acquire the competences necessary to serve them well. Some, particularly older customer, with spare time on their hands welcome the opportunity to interact with learners and play a defined role. It also helps with the customer understanding better the way the company works. One example is that of a bank which invites business customers to take part in role plays *vis-à-vis* trainee managers, both parties benefiting from the learning experience.

One of the most common forms of complementary service is the use by customers of their own transport their goods

home. It is so widespread that it can lead to the key lessons of using the customer as a resource to be overlooked:

- the inputs require certain competences on the part of the customer;
- the outcome is of mutual benefit to both parties;
- customer satisfaction and retention will benefit from the process providing the balance of advantage is effectively managed.

While hitherto the focus has been on consumers, those seeking to extend the concept of the customer as a resource can learn much from business-to-business customer relationship.

EMPOWERING CUSTOMERS

Empowerment, encouraging people to use their initiative and total capabilities, has moved from being a buzz word of the 1980s to the predominant management philosophy of the 1990s. In making the transformation, the concept of empowering has widened from employees to customers. Business-to-business customer relationships have spearheaded this metamorphosis. Techniques of customer empowerment include ready access to testing products, assuming the customer role, and creating partnerships to serve the ultimate consumer.

Computer and software manufacturers such as IBM, Microsoft and Martin Marietta provide state-of-the-art demonstration and training centres where customers can test drive new products and systems at no cost and no risk. Customers are empowered to conduct tests as they wish and to clear concerns about *their* highly individual needs (usually relatively common) before purchase. This not only strengthens the customer bond but creates a predisposition to customer satisfaction. Being able, prior to purchase and installation, to discover the total capabilities of equipment without being scared of the unexpected noise or the appearance of a warning light is something which consumers of domestic appliances would welcome but seldom experience.

An additional advantage of the test-driving approach is that it provides the manufacturer with important information on customers' needs, perceptions and concerns. Without these insights customers can be lost, not because of inadequacies in the product but inaccuracies in the instructions for use.

Manufacturers of capital equipment can get inside the customer's mind by having their employees work in conditions in which the customer gets the fullest satisfaction. Weyerhaeuser, a US manufacturer of newsprint and other industrial products, requires its hourly employees to visit customer plants across the world regularly. Not only does this strengthen relationships, but it reveals instances where customers endure, without complaining, irritations in processes which can easily be put right at no expense to the manufacturer. The resulting increase in customer satisfaction is reflected in reordering.

It is a paradox of the consumer society that banks, airlines, hotels, to name but a few industries, spend fortunes on mystery shoppers, but arrange matters so that bank staff never stand in queues as do bank customers, airline staff never pay full fare on trips, and hotel staff never spend a night in a bedroom in their hotels. Insulated against the inconveniences and vicissitudes experienced by the paying customers, it is little wonder that providers of these services find it difficult to empathise. These and other consumer services can learn from Weyerhaeuser.

Customer-partnership is fundamental to the retention approach of Texas Instruments. It has created an Information Engineering Facility (IEF) for solving client-server computing problems. Working with manufacturers to speed up deliveries, airlines to improve frequent flier programmes, or retailers to enhance stock control, IEF enables Texas Instruments to work as a partner in improving the ultimate delivery of customer care.

The success of the shift in customer retention thinking from seeing the role of the consumer as not just receiving, but resourcing, will depend to an increasing extent on the ability and willingness of companies to empower their customers.

CONCLUSION

The customer has moved a long way in a relatively short time. From passive receiver to active resourcer is not just a change of labels, but a change in thinking and action.

Customer care initiatives in the past have been based on a monistic theory of consumerism; despite a world of change, the role of the customer is seen as constant. Reality is different. Customers are no longer at the periphery of the human resources of an organisation but at the epicentre. Without them there is no *raison d'être* for the other human resources. But just as over the past century management has struggled with how best to develop, motivate and reward people as employees to give of their best, the challenge for now and the new century is how to get people as customers to play their full role in creating wealth.

The measure of wealth is value; the concept of value for money has long been the basis for customer retention. So it will continue, but tomorrow's customers will be seeking more than added-value in terms of money. Their loyalty will depend on the satisfaction of a plethora of values.

8 Not just Value Seeking but Values Searching

INTRODUCTION

Customers start revolutions. Frustrated buyers of bread in Paris and disgruntled tea drinkers in Boston may be the things that myths are made of, but when we think of the French and American revolutions these are the images that come to mind. More real, and historically accurate, are the visions of black passenger Rosa Parks refusing to move to the back of a segregated bus in Montgomery, Alabama, in 1955; sit-ins at hamburger diners by disgruntled black customers across the USA in the early 1960s; boycotts of South African produce across the world in the 1970s and 1980s; Muscovites embarking on spending sprees for McDonald's hamburgers in the 1990s. Customers *do* start revolutions.

Perhaps the best known revolutionary is Ralph Nader who, in the USA in the early 1960s, spearheaded a campaign against American car-makers, claiming that they purposely ignored safety hazards in the design and manufacture of their automobiles. From this concern with customer safety he and a growing band of adherents moved onto the improvement of customers' rights. At the same time, the less revolutionary inclined British were setting up the Consumers' Association. Its founder Michael, now Lord, Young, was as concerned with consumer education as rights; he was subsequently instrumental in the creation of the Open University.

By the mid-1990s a combination of legislation and producer self-enlightenment had much increased the information available to consumers on both sides of the Atlantic. Safety features, once dreams of the founders of consumerism, such as air bags, have become 'standard equipment'. The rights of customers are, as we have seen earlier in the book, enshrined in legislation buttressed by charters, monitored by publicly accountable regulators. Yet, consumer pressure groups proliferate at an ever increasing rate.

The reason for this paradox is to be found in the fact that the success of Nader and others have inspired newer promoters of causes to adopt their techniques. Customers are being recognised as a major channel for effecting social, political, technological and economic change. This can be used as a valuable instrument in customer retention providing the following conditions are met:

- Appealing to customer values must be based on a genuine sharing of the values.
- Concern for a cause has to be accepted by customers as a matter of legitimate interest for the crusading company.
- Securing the retention of a particular segment of customers should not result in others being deprived rightful access to goods and services.

In addition, as with the old Arabian tale of it being preferable to have a camel inside a tent and peeing out rather than the opposite, so too is it better to have crusading customers spending within rather than demonstrating without.

SEARCHING FOR VALUES

Mention was made in Chapter 6 of three clusters of values:

1. Community care
2. Social care
3. Global care

To these have to be added wealth care, self-care, environmental care and moral care. Each of these influence customer behaviour, choice and loyalty. Indeed, loyalty which is not based on shared values is likely to be transitory. Relationships based solely on economic, emotional or psychological dependency by one of the parties *vis-à-vis* the other is built on shifting sands. The claim that the basis of a successful marriage is the interlocking of complementary neuroses may be cynical, but it has more than a grain of truth. The basis of a successful customer relationship is the interlocking of complementary economic, psychological and ethical values.

Value for money has long been, and will remain, a major factor in customer retention. Wealth care, a concern to protect and improve one's economic status, has been a prime motivator in the growth of capitalism. Products and services which are perceived as saving money will long continue to lead to customer loyalty and success. Harrods department store in London uses this value as an anchor for appealing to such traditional motivators as status consciousness and exclusivity. Every January and July it spends more on advertising its sales than for the rest of the year. By providing real, though sometimes comparative bargains, it attracts new customers while enabling its loyal, but often increasingly less affluent traditional customers, to enjoy the cachet of the 'Harrods' label.

At the other end of the market-place are discount warehouses and price sensitive supermarkets such as the world's most profitable retailer – Wal-Mart Stores in the USA. However, the customer appeal of Wal-Mart was dented in 1992 when its chief executive was confronted without warning on a TV programme with the charge that one of its suppliers in South East Asia used child labour. The excuse that the products accounted for only a minute percentage of turnover rang hollow in the major markets served by Wal-Mart, the American South, where, in *Uncle Tom's Cabin* a century earlier, Topsy received little sympathy for claiming to be only a tiny bit pregnant.

Today, Topsy would have free choice to resolve her situation by abortion or otherwise; the right to exercise that choice has been fought for in shopping malls as well as court-rooms. Self-care, which includes the rights of women over their bodies is a major cluster of values influencing customer behaviour.

Harking back to the evolution of the customer depicted in Chapter 1 and subsequently, the principal preoccupation of humankind has been survival. After eons of time and two millennia of Christianity, most of the world's peoples still struggle to live until tomorrow. In economically developed societies our time horizon is longer and increasing. Customers place a high value on promoting and sustaining healthy living; they seek lifestyles which enable them to make full use of their abilities and realise their potential to the full. Providers of goods and services which help people achieve these aims will

retain them as customers. Companies perceived as endangering self-care are themselves an endangered species.

Closely associated with self-care is an awareness of being affected by forces beyond the control of influence of an individual acting alone, hence the focus on environmental care. People, as they walk along littered pavements, choke on obnoxious fumes, witness trees disappearing, sense that foods are losing flavour, that water is losing its purity, and are becoming conscious of being part of an eco-system and not just a village, city or country. Environmental awareness has been stimulated by the media. At the start of the twentieth century customers in New York, London or Paris had only a few problems; bread baked in filthy ovens, food handled from slaughtering meat to serving caviar without regard for basic hygiene; roads covered in the pestilent ordure of horses; hotel beds ridden with fleas; human excretia emptied into often open sewers. But the rain forest of Brazil flourished and the ozone layer did not appear a problem except for mad dogs and Englishmen staying out in the midday sun.

As the century draws to a close the more environmentally aware consumer is bombarded not simply with gamma rays and other perils let through by the hole in the ozone layer, but with unlimited advice on how to protect the environment by conserving, replenishing and recycling. What has changed over the century has been the demand on resources (but that has happened with every century), the improved understanding of the Universe (but that has happened every 500 years or so). The real changes have been the advent of television and the affordability of conscience; the former has stimulated global awareness, the latter moral awareness. Through the ages there have always been saintly people whose conscience is an integral part of their being. But for those lacking these saintly attributes conscience is only affordable when survival is assured. Cynical perhaps, but name those through history, other than saints, monarchs and wealthy individuals who are renowned for their charity.

Moral care is fortunately a matter of increasing interest to customers. Stakeholders in general and customers in particular are showing less tolerance for corporate greed and corruption. They are aware that excessive executive compensation, bribes and commissions end up as additions to the

price tag of any product or service. In an era when consumers question the equity of carrying the costs of such historic institutions as monarchy, established religions and political parties, there is little likelihood of them accepting that those responsible for company failures merit substantial rewards.

Moral care has a broader dimension which extends to putting right injustice in diverse forms, be it enforced adherence to outmoded customs, repressing people, or causing pain to animals. Britain alone in the decade from 1984 to 1994 witnessed three customer led manifestations of moral care:

1. Barclays Bank's withdrawal from South Africa as a direct result of a boycott of the bank by students in Britain.
2. The introduction of the Sunday opening of shops with the abolition of outmoded laws which forbade the sale of the Bible on a Sunday but permitted the sale of *Playboy* magazine.
3. A ban by ferry companies and airlines on the transport of live animals for slaughter.

The success of these campaigns highlights the power of non-consumerist values in influencing customer behaviour and choice. But misreading the signs can turn a crusader's dream into a marketer's nightmare. How this can happen is revealed in any analysis of the pros and cons of 'cause marketing', 'decency positioning' or whatever label is used to attract and retain that growing power in the market-place – the ethical consumer.

An industry based on the labelling of products is never found wanting when it comes to labelling the purchasers of those products. Thus the 'green consumer' of the 1980s has been superseded by the 'ethical consumer' of the 1990s. Whereas the former was concerned, to varying degrees, with the chemical content, recyclable potential and environmental friendliness of products, the latter has focused on the integrity not only of a company's product but of its behaviour.

'Ethical' behaviour can be interpreted in two ways. At a global level it can be applied to irresponsible marketing of baby food by Nestlé in Africa; selling arms to terrorists; making loans to oppressive regimes; experimenting on live

animals; employing children on dangerous tasks. On the other hand, at an individual level the epithet 'unethical' might be applied to behaviour we consider unfair, breaching confidentiality, exploiting human weakness, or insincere. There is a danger that the 'politics of consumption' and the 'morality of consumption' can become confused when customers are encouraged to support so-called good causes.

CAUSE MARKETING

Cause marketing campaigns fall into four categories:

1. Transnational appeal
2. Attention grabbing
3. Image re-engineering
4. Group capture

Transnational appeal is the motivator for global companies from Levi's to Coca-Cola, from Body Shop to Avon cosmetics. These companies promote different causes in different markets. Avon Inc. Cosmetics, for example, contributes to breast cancer research in the USA and AIDS research in Thailand; the Body Shop focuses on helping indigenous tribes in South America and Africa and homelessness in Britain. Levi Strauss, the jeans manufacturer, sponsors multicultural development in the USA and Europe, and educational projects in South-East Asia.

Attention grabbing is not intended to be used pejoratively; it is a way of capturing minds and providing a central point of focus for a particular situation, be it hunger in Africa or coping with the aftermath of an earthquake in Asia. Credit card companies, for example, may organise the collection of donations for free. Additionally, they might donate so much per transaction to a particular cause; relatively small amounts can yield substantial returns. American Express, in the third quarter of 1993, donated 2 cents per transaction to an anti-hunger charity raising \$5 million dollars.

Image re-engineering is a form of corporate plastic surgery. Manufacturers of alcohol and tobacco products have traditionally been generous contributors to charities. Victorian

novels are strewn with brewers seeking to expiate their guilt and justify their profits through well-publicised good works. The tradition continues; cigarette manufacturers support research on cancer prevention and cure; brewers like Coors in the United States spend tens of millions of dollars a year to overcome illiteracy. As with other forms of plastic surgery, there remain tell tale signs which evoke in the onlooker a sense of at best, unease, at worse, repulsion.

Group capture can also cause eyebrows to rise and throats to gasp. Directing cause marketing at a particular group need not enhance customer retention, even of the targeted consumer. The drive by Kraft General Foods to donate 25 cents for scholarships for American African students appears commendable. Linking it with special coupons from Stove Top stuffing and other goodies somehow lessens its appeal. Women, the old and ethnic minorities are all prime targets for good cause marketing. Unfortunately, in many cases it has the aura of Red Riding Hood's grandmother; inside that costume of loving tender care is a ravenous marketing wolf. Fortunately, most consumers have read Little Red Riding Hood.

In 1993, a survey reported in Newsweek (28 March 1994) revealed that 66 per cent of almost 2000 consumers polled in the US claimed that they were likely to switch brands if a competitive product supported a cause relevant to them. However, 58 per cent had strong doubts about the sincerity of such campaigns. Other revealing findings were the main reasons for brand choice:

- (a) Past experience with the brand – 71 per cent
- (b) Price – 62 per cent
- (c) Company's reputation for quality – 56 per cent
- (d) Word of mouth recommendations – 31 per cent
- (e) Helping a cause – 12 per cent

Despite its low rating, the search for compatible values rather than simply value for money can play a significant role in attracting and retaining certain categories of consumers, particularly women, older people, ethnic minorities, under-privileged groups, and political activists.

RETENTION BY VALUES

In responding to the customer's quest for values sharing a company can select from a number of strategic options. The first is *values positioning*, determining the nature and extent of the values which the company should espouse. Next comes a need to define *the scope of such espousal*; local, national or global. A decision then has to be made on the *approach*; high profile, arms length or covert.

Two interesting case studies which illustrate the strategic issues are those of Levi Strauss and the Body Shop. These highlight some of the opportunities which manufacturers and retailers can grasp as well as the pitfalls to be avoided.

Levi Strauss is a privately owned American manufacturer of jeans. Employing, in 1994, around 36 000 employees across the world it has established the strongest brand in its markets, particularly '501's'. Robert D. Haas, the great great grand-nephew of founder Levi Strauss, as Chairman and Chief Executive, defined in the early 1990s a series of corporate aspirations which guide management behaviour wherever the company operates. These state what 'Levi's' aspire to in terms of management behaviour, cultural diversity, individual recognition, ethical management practices, empowerment and communications. Few would dispute that Levi's is a model employer. Tuned into issues of environmental and moral care, the company has set the pace for values based employment practices in developing countries. Sensitised, perhaps by the furore in the US over Wal-Mart Stores subcontracting in South-East Asia, the company has since 1992 insisted that all its contractors comply with International Labour Organisation standards prohibiting the employment of children under the age of 14.

This enlightened policy posed an ethical dilemma for the company in Bangladesh where the resulting firing of the children faced their families with starvation. Levi's therefore agreed a deal with the contractors whereby the children continued to be paid until 14 when they would be hired back by the contractors. In the intervening period Levi's sent the children to school and totally financed their education.

Unfortunately, this reliance on values based management did not lead to customer retention. In 1994, retailers were

critical of the competitive positioning of Levi's, complaining of delays in production and a lack of touch with a quickly changing market. Matters may change, but at the time of writing Levi's shows that customer retention cannot rest on values alone; the product and the values must gel. A metaphor which most appropriately leads us into the world of cosmetics.

The Body Shop grew from one shop in Brighton, England, in 1972 to 1130 shops in forty-five countries by 1994. Whereas Levi Strauss had three generations in which to evolve its aspirations, Anita and Gordon Roddick stated theirs from the start. They founded their business on values relating to social responsibility, environmental care and individual accountability. Whereas to some degree Levi's hid their values from their customers, the Body Shop emblazoned them in their shop windows.

In her book, *Body and Soul*, Anita Roddick makes the following points:

In the Body Shop, the twin ideals of love and care touch everything we do; how we view our responsibilities, how we treat our staff, how we educate and communicate, how we relate to the community and the environment.

...we hold regular forums when we invite customers to come and tell us what they like, what they don't like, and what products they would like to see added to the range.

...wherever we trade we are an internal part of that community with consequent responsibilities and duties...

Today's corporations have global responsibilities because their decisions affect world problems concerning economics, poverty, security and the environment.

Here we have two high-profile, high-quality values based companies. However, values positioning for Levi's is essentially internally focused, whereas in the Body Shop it is both internally and outwardly focused. The scope of Levi's values, while international in application, tends to be limited to employment practices; the Body Shop with its varied constituencies encompasses all stakeholders, and defines its values

in terms of local, national and global issues. Levi's adopts a low-profile approach, its 'good works', so to speak, being revealed by investigative journalism. The Body Shop, despite its lack of advertising, adopts a high-profile, almost 'in-your-face' approach to promoting causes; some may find such a stance off-putting, but it is the shape of things to come. Despite its detractors, few if any companies have been more successful than the Body Shop in providing its customers with value for money and values to live by. Once Levi's and like-minded companies extend their values sensitivity into the market-place, it too will regain its competitive edge.

That customer values are a market force is illustrated later, where a cross-section of customer pressure groups show just how powerful values can be for customer loyalty and success.

CUSTOMER POWER

The choice facing companies is simple: if they will not harness and apply customer power in pursuit of their objectives, others will use it in pursuit of theirs – which may be anti-business.

'Pressure groups' are organisations whose members share a common interest or cause and seek to pressure influential others to support their aims. Single issue causes attract increasing support; in Britain in 1994 the Royal Society for the Protection of Birds had more members (860 000) than the three major political parties combined. Greenpeace and Friends of the Earth are, with the demise of Communism, the world's most potent international political bodies.

The style and techniques of many groups, be they in Japan, Europe, North America or Australia, reflect the usually high educational and social status of their supporters. The tactics which they employ range from behind-the-scenes influence to direct, sometimes violent, action as shown in Digest 8.1.

Ways of harnessing customer power have been adapted from political activism down the ages. From strikes by slaves in ancient Rome to boycotts of South African produce in the twentieth century, those with a cause have developed a panoply of techniques of persuasion and attention grabbing. Whatever the technique selected there is a similarity in its deployment:

Digest 8.1 Ways of harnessing customer power

Boycotts	Influencing customers to stop purchasing designated products and services until the conditions of the pressure group are met.
Direct action	Taking specific organised action against a company to achieve change or gain publicity for a cause.
Door to door surveys	Contacting customers in their homes on an individual basis to canvass their support for a cause.
Fasts	Attracting attention and support of customers by undergoing voluntary starvation or other action which can evoke concern or guilt among observers.
Housemeetings	Gathering customers together to reinforce individual support for a cause.
Media blitz	Bombarding different types of media with stories and features in support of a campaign.
Media stunts	Capturing media attention by staging a spectacular event and associating it with a cause.
Networking	Forming alliances with other causes to increase the power and influence of each member.
Petitions	Gathering signatories in support of a cause from the committed, the conforming and the indifferent.
Pressuring politicians	Using different degrees and types of persuasion to gain the support of the politically influential for a particular cause.
Terrorism	Damaging and endangering life and property to achieve specific goals.
Token shareholding	Acquiring a sufficient number of shares to entitle participation at meetings where a protest can be made or other action taken to embarrass the company directors and gain publicity for a cause.

- Prominent companies are targeted because they are household names, immediately identifiable by consumers.
- The scope of action is usually nationwide on a particular issue rather than local or global. National chains are more sensitive to image damage than local shops; global issues tend to be diffuse; hence the relative lack of success of Save-the-Whale campaigns.
- Maximum media exposure is sought by means of 'stunts' which are televisually interesting and provide dramatic headlines.
- Support is sought from well-known personalities, particularly television celebrities, to give the campaign star appeal. Customers often identify with their favourite soap opera characters more than with their political and religious leaders.

Frequently the product or service which campaigners attack is peripheral to the mainstream activity of the company targeted for boycotting or other action. This makes it easier for the company to comply with the campaigners' demands in full or in part, thus allowing the crusaders to claim victory at minimal commercial disturbance.

Boycotts, celebrity patronage and other devices for capturing hearts and minds can be used *by* companies as well as against them. Examples of using techniques for customer retention by appealing to and supporting consumers' values are shown in Digest 8.2. There is, however, a balance to achieve. When operating in the realm of values and beliefs, companies can find themselves meddling in the stuff of souls. Action which retains the loyalty of one sector of customers can repel others. Striking the correct balance requires the application of the criteria listed (above) plus a sensitivity to an emerging and potent force, the Compassion Factor.

THE COMPASSION FACTOR

Compassion is at one end of the continuum of care, interest at the other. Interest in a cause or situation can imply a concern for the needs of others, bounded by intellectual curiosity and emotional detachment; compassion breaks the chains of

Digest 8.2 Techniques for customer retention by values

<i>Technique</i>	<i>Tactics</i>	<i>Effect on customer retention</i>
Affirmative action	Positive discrimination in favour of employing members of minority or underprivileged groups	Positive: Attracts fellow members of targeted groups and politically aware customers. Negative: Can lead to loss of customers who feel threatened, perceive a drop in standards or resent being part of a social experiment.
Boycotts	Refusal to buy/supply designated products until desired changes in circumstances relating to the purchase are achieved	Positive: Effect on those affected can be swift and painful leading to desired changes, thus reinforcing loyalty of those customers supporting the change. Negative: Customers may resent inconvenience or perceive approach as bullying.
Celebrity patronage	Use of well-known personality, with whom customer identifies, to promote a cause.	Positive: Attracts attention and provides a sense of shared values with a role model. Negative: Antagonises customers who are antipathetic to the personality and/or feel they are being manipulated. Made worse if the champion appears to fall from grace.
Contributions	Providing financial or staff resources in support of a cause.	Positive: Customers attracted by spontaneous voluntary staff initiatives and/or corporate financial assistance. Negative: Customers resent being dragged into supporting corporate/staff initiative even if sympathetic to the cause.

<i>Technique</i>	<i>Tactics</i>	<i>Effect on customer relation</i>
Demonstrations	Company authorises employees and other stakeholders to support a cause publicly.	Positive: Customers share a sense of solidarity with company. Negative: Sense of 'rent-a-nob' can antagonise customers and make them resentful of support by association.
Patronage	Public commitment to support a cause or activity by offering protection against various vicissitudes. Usually associated with support for the arts.	Positive: Enthuses customers who are interested in the activity. Negative: Perceived as a perk for employees and an attempt to gain or enhance social status.
Petitions	Providing facilities for gathering signatories in support of a cause.	Positive: Evidence of social awareness and commitment attracts supporters of the cause. Negative: Neutral customers and non-supporters resent distraction and embarrassment from refusal to sign petition.
Sponsorship	Support for a specific event which results in it being named after or associated with the sponsoring company.	Positive: Attracts attention and even admiration of customers who are interested in the event. Negative: Can antagonise customers who do not want to be associated with the event, or perceive it as 'cheap' advertising.

cerebral objectivity in favour of deep emotional response to the plight of others. Interest without involvement is an intellectual exercise; compassion without involvement is an emotional sham. In terms of customer retention, interest at its worse can be narcissistic, compassion at its worse can be self-indulgent. As ever, motivation determines the integrity of action.

As with other facets of 'Good Cause Marketing', compassion is open to abuse. The claim by a leading British pig breeder that in marketing pork and ham greater emphasis should be placed on the relatively more humane conditions under which pigs are reared and slaughtered in Britain, compared with their porcine brothers elsewhere, could surely be viewed as an abuse of the 'compassion factor' (his phrase) as much as of the ungulated victims.

Used sensitively and discriminatively compassion has a major role to play in customer retention in such industries as financial services, medical services and in dealing with the old, disadvantaged or others, who despite their best endeavours have customer needs which cannot be met through traditional approaches or established procedures. Compassion must not be confused with charity; nor should it be conveyed in a patronising manner. Rather it operates at the edge of the economic, psychological and moral dimensions of retention. Like all at-the-edge activities it involves risk.

The compassion factor is likely to involve some or all of the following:

- character assessment of the 'victim';
- evaluation of the causes giving rise to the situation, including any contribution made by the provider;
- determination of options to resolve the situation;
- the consequences of each option for those directly involved and interested parties such as other customers, the media, law enforcement agencies;
- the justification for the chosen option.

The essence of compassion is not giving in to pity, but drawing out from all concerned the strengths and means for remedying a pitiful situation. It reflects sensitivity to one of the core values influencing customer behaviour – moral care – and is likely to impact on others.

Every industry is affected to some degree by a growing concern among consumers on matters of moral care. Individual industries are also connected in the public mind with other core values. Sensitivity to the appropriate values is important to sustaining and strengthening customer loyalty.

PRESSURE FOR CORE VALUES

The pressure groups in Digest 8.3 have been selected to illustrate the challenges facing companies in industries perceived as having an impact for better or worse on the core values of self-care, community care, global care, environmental care, wealth care and moral care.

The examples are selected for illustrative purposes only; their selection does not imply their primacy nor the rightness of their aims and tactics.

The Campaign for Lead Free Air (CLEAR) reflects a concern for self-care and environment care. It targets the oil and car manufacturing industries but it is typical of organisations seeking to change process industries, such as chemicals and others, who are the source of health endangering emissions such as road haulage. Self-care is also the motivator for Action on Smoking and Health (ASH). As mentioned in Chapter 6 the tobacco industry is under greater attack than most. By the end of the 1990s, pressure groups against smoking will probably no longer exist in the USA and other major countries; legislation prohibiting smoking will have made them redundant.

There is a possibility, though rather slight, that the tobacco weed will have been replaced by another – marijuana. The National Organisation for the Reform of Marijuana Laws (NORML) aims to legalise pot. It is an example of an unusual type of consumer pressure group; one which seeks to make available a product or service which at the time offends core values. Earlier examples, varying between societies, have been groups advocating greater availability of contraceptives, alcohol and soft pornography. The opening up, in the early 1990s, of the so-called Pink Market, with products and services designed specifically for homosexual and lesbian consumers, shows how today's taboo can become tomorrow's competitive

Digest 8.3 Examples of consumer pressure groups

<i>Title</i>	<i>Aims</i>	<i>Tactics</i>	<i>Achievements</i>
Campaign for Lead Free Air (CLEAR), UK	Phasing out of leaded petrol	Media blitz Political pressure Emphasis on harm to children	Legislation to eliminate lead from petrol by 2005 Higher taxes on leaded petrol Oil companies have changed product Car companies redesigned engines
Action on Smoking and Health (ASH), UK	Banning of tobacco advertising	Media blitz Political pressure Emphasis on health hazards	Advertising banned on TV Reduction on scope for sponsorship of sporting events
National organisation for the Reform of Marijuana Laws (NORML), US	Legalising of pot	Political pressure Networking	Pot smoking acceptable on mainstream TV Linked to marketing of films and records
Students Organising Students (SOS), US	Enhancing all aspects of women's physical and mental well-being	Direct action Networking	Boycotting of company (e.g. Domino's Pizza Chain) whose owners are anti choice on abortion

<i>Title</i>	<i>Aims</i>	<i>Tactics</i>	<i>Achievements</i>
End Child Prostitution In Asian Tourism , (ECPAT) Thailand/ Australia	End sexual exploitation of Asian children by Australian male tourists and others	Political pressure Legislation Education campaign to raise awareness	Australian law prohibits citizens or residents having sex with children overseas Coordination of action by authorities in Thailand, the Philippines and Australia
Friends of the Earth, Greenpeace and others. International	Eliminating environmental spoilation	Media stunts Political action Demonstration	Bringing environmental issues into the mainstream of politics Causing major changes in business activities and plans internationally
'Donga Tribe' and others. UK	Stopping building of motorways	Media stunts Political pressure Demonstrations	Delays in road building Encouragement of road pricing
West Harlem Environmental Action (WHE ACT) and others. US	Empowering poor communities to fight local cases of environmental injustice	Legal action Direct action Political pressure Boycotts	Substantial financial settlements for corrective action and community compensation

Digest 8.3 Cont.

<i>Title</i>	<i>Aims</i>	<i>Tactics</i>	<i>Achievements</i>
Jewish Action Alliance and others. US/UK	Blacklisting companies that comply with the Arab League boycott of companies trading with Israel	Political pressures Demonstrations Boycotts of high profile firms	US legislation prohibits Arab boycott. Companies fined include: - American Express Bank - Sara Lee Corp. - Safeway stores
Asian Immigrant Women Advocates (AWIA), US and others internationally	Improve working conditions of immigrants	Boycotts Demonstrations	Forced major clothing and perfume manufacturer to improve working conditions by demonstrating at stores stocking its goods.
The American Association of Retired Persons (AARP), US	Extending and protecting the rights of the elderly	Political pressure Negotiations with insurance and other service companies	Discounts on insurance premiums and other prices Supermarkets pay special attention to mature consumers
Struggle Against Financial Exploitation (SAFE), UK	Helping business customers cope with banks	Media stunts Political pressure Token shareholding	Acceptance as a group representing customers interests and concerns

opportunity. Caution needs to be exercised in espousing core values which are perceived by customers as more the abuse of privileged position than a legitimate commercial concern.

Students Organising Students (SOS) is a tiny group which achieved gigantic coverage in the US by organising a boycott of Domino's Pizza Chain in support of its militant feminist aims. It was able to do this because the owner of the chain had made public his views on abortion. This is not intended to imply that company leaders should not be as free as anyone else to voice their views or advance a cause; Anita Roddick is a witness to this. However, unless there is an apparent congruency between the customer needs the company seeks to satisfy and the values it trumpets, there is likely to be an adverse effect on retention.

That there can be successful linkage between a controversial cause and the provision of customer satisfaction is shown by End Child Prostitution in Asian Tourism (ECPAT). Australian tourists, sickened by witnessing exploitation while vacationing in Thailand and the Philippines, were able, in 1994, to gain the cooperation of airlines and tour operators to encourage local action against this evil trade. The tourist industry, embracing hotels, transportation and catering, is one whose survival will depend on satisfying their customer's sometimes conflicting needs. Opportunities to explore without despoiling the local environment; the desire to witness ancient rituals without desecrating tribal values; freedom to indulge in adventure without endangering the lives of others – each of these dichotomies has to be reconciled by companies in ways which retain both customers and corporate integrity. Satisfying conflicting desires is part of the human condition. Companies in the leisure industries will only retain customers if they are willing and able to sensitise those they serve to issues of self-care ('careful sex'); community care ('respect local customs and traditions'); environmental care ('avoid despoiling and polluting places'). Of these three, environmental care has received the greatest attention.

From giant international, political machines such as Friends of the Earth, to small outlandish 'new age' groups such as the 'Donga Tribe' holding up the building of a road, the world is littered with groups whose aims are to stop it being littered. Environmental care shows the power which a core value once

articulated, its supporters organised and its detractors pilloried, can exercise on customer behaviour. The following are just a few examples of how companies are responding to legal pressure in the USA, and social-political pressure elsewhere, to convince customers of their commitment to environmental care:

- Monsanto Chemicals (USA) established a five year plan to reduce its emissions of toxic chemicals worldwide by 90 per cent; achieving this target in 1993.
- Union Carbide (USA) reports annually on its performance against the 'Responsible Care' programme established by the American chemical industry. It makes public its targets for improvement and results to date.
- Kunert (Germany), a textile manufacturer, publishes annually an 'eco-balance sheet' detailing the company's consumption of electricity, air and water against its output of products and waste.
- B & Q (UK), a major do-it-yourself retailer, insists its suppliers comply with detailed and exacting environmental protection standards.
- Dow Europe, transnational chemicals and related products manufacturer, publishes an annual review giving 'eco-balance' details and also itemising 'unwanted events' such as complaints and fines.

Whilst in the 1980s the audience for these reports has been government agencies, employees and shareholders, companies in the 1990s, influenced by Japanese practice, are directing their message more and more to customers. But customer retention by values requires more than reports and other pieces of paper so beloved of the bureaucrats; customers need to share the care. How this can be done has been shown by Pacific Gas and Electric (PG&E), the largest investor owned energy utility in the United States.

A report for the 1992 United Nations Conference on Environment and Development mentioned PG & E's Customer Energy Efficiency programme. This aims to reduce electricity demand growth by 75 per cent within a decade. The result will be a saving to consumers of billions of dollars as well as preventing emissions of about 18 million tons of CO₂. Over

half a million residential customers joined the programme together with commercial, agricultural and industrial users. Within a year there had been savings of enough electricity to power 100 000 homes for a year and enough natural gas to serve 50 000 households.

Customers are encouraged to use the most energy-efficient technologies and practices to reduce their energy costs and improve the environment. Residential customers can use their savings from reduced energy bills for other purchases. Business customers are able to use their savings to increase their competitiveness. By these means the local economy benefits. This programme, the result of collaboration between a company, its regulators and its customers, serves to show that it is possible to achieve customer loyalty and success through initiatives which, in this instance, appeal to self-care, community care, wealth care and environmental care.

Failure to pursue such initiatives can result in the situation typified by the next example in Digest 8.3, West Harlem Environmental Action (WHE ACT). This is one of many thousands of examples of action on safe guarding not just environmental care but community care, which can prove costly to perceived transgressors. This pressure group arose as a reaction against a sewage plant being constructed in Harlem, New York City without the community being consulted. Despite claims that it was state-of-the-art, the plant spews foul smelling pollutants into the environment. As a result of ACT, the operators have spent over \$55 million to improve the plant and provided \$1.1 million for a community centre and pollution monitoring system.

Perhaps the industry most vulnerable to consumer pressure is retail, particularly chains, since by their nature they provide easily accessible rallying points for demonstrations and have a local, national and even global appeal for media coverage. The examples of the Jewish Action Alliance and the Asian Immigrant Women Advocates (AWIA) shows how political and social aims are pursued at the check-out rather than the ballot box. As with moral issues this can prove a minefield for companies caught up, often innocently, in the cross-fire of politics. It is therefore advisable to steer clear of political entanglements, such as donations to political parties and contentious causes if a company wishes to pursue a policy of

retention by values. There will be sufficient 'non-political' causes seeking support.

One such cause will be protecting the older customer. The American Association of Retired Persons (AARP) is a powerful and growing lobby in the United States. Its methods of influence are discreet but effective, not least its power to set up its own insurance scheme as a means of forcing down the premiums of insurers. This metamorphosis of crusader into competitor is a growing trend which directly impacts on customer retention. The dust of history may have blinded many of today's suppliers to the fact that the Cooperative Movement in Britain and elsewhere was a pressure group based on defined values, which became a major force in retail, finance and even funeral undertaking. The growth of pressure groups seeking preferential consumer rights for the old, disabled and underprivileged will use the compassion factor as their main form of leverage.

The final example shows how this can happen even in a long-established, highly regulated industry with its own Ombudsman. Founded in 1992 in Britain by two businessmen frustrated in their dealings with Barclays Bank, the Struggle Against Financial Exploitation (SAFE) grew rapidly to around 2000 paying members by 1994. Whatever the merits of their case, SAFE has gathered media attention far beyond its size by playing on the compassion factor, or rather the alleged lack of it by banks. Pressure groups such as SAFE highlight an important aspect of customer relationships which is often overlooked by companies – enforced consumption. This can act like a virus which eats away at customer loyalty, undetected by providers until it is too late to remedy.

ENFORCED CONSUMPTION

Since the time of slavery, when the Roman master decided what his slaves would consume, to the exploitation of customers forced to buy from the company stores of their industrial bosses, people detest enforced consumption. In the 1990s the practice continues; it does not usually result in open rebellion, but in simmering resentment.

Enforced consumption occurs when customers perceive that their freedom of choice is limited by legal, economic, social or moral constraints with which they find it necessary to comply. Freedom to take one's custom elsewhere may exist literally, but the customer is unwilling for a variety of reasons to exercise the ultimate option.

Orthodox Jews, practising Moslems and adherents of other faiths are compelled for moral reasons only to buy from certain shops products which have been prepared in accordance with prescribed rituals. Bank customers may be required (or at least requested) to hold an account at a bank used by their employer into which their salary is paid. Business executives may be required to drive a particular make of car, fly by a designated airline, stay at a prescribed hotel – most people would not consider these to be hardships, but the human psyche works in mysterious ways. The coddled business traveller may willingly ignore the lumpy mattress in a self-selected inn, but like the Princess will complain of the pea under the many layered mattress of the company chosen luxury hotel. Context changes perception.

The captive audience is the advertiser's dream, but can prove the marketer's nightmare. Whereas customers in a supermarket may be willing to trade-off limited brand availability against price cuts, this may not be the case of students at a campus. Universities seeking new sources of income began, in the early 1990s, to reach exclusive supplier contracts with banks, bookshops, telephone companies and supermarkets. This concept took a quantum leap forward in 1992 when Pennsylvania State University (USA) granted the Pepsi Cola Company exclusive rights to sell its beverage to students. As a counter-offensive in the never ending 'Cola wars', in 1994 the Coca-Cola Company agreed a \$10 million ten year contract with Rutgers University (USA). This gives it exclusive rights to sell all its products to a market of 48 000 students. As part of the deal all campus based cafeterias and retailers must sell only Coca-Cola beverages.

What may appear an attractive marketing proposition could well rebound on companies anxious to acquire exclusive deals. The distinction between customer detention and retention is more than semantic. Prisoners are in a sense the most loyal of customers, but once free they always vow never to return.

Companies sensitive to the phenomenon of enforced consumption need to individualise their service to even a greater degree than when dealing with non-captive customers. The use of personal names rather than corporate labels for business travellers, treating bank customers as personal customers and not simply as salary recipients, keeping conditional purchases (such as the granting of a loan being dependent on accepting other financial products) to a minimum are ways of changing the perception of 'enforcement'.

Such a change is necessary if a company seeks to retain customers by sharing their values. History shows that institutions based on the support of people exercising freedom of choice endure. Those whose support, however enthusiastic and widespread, is dependent on coercion or false promises, do not survive. But making loyalty endure calls for more than slogans and avowals of support for worthy causes. It needs a willingness to confront and manage customers' concerns in all areas of their value systems.

MANAGING CUSTOMERS' CONCERNS

A major challenge for companies engaged in providing goods and services, which are perceived as threatening to their value systems, is how to retain customers and allay their fears. As previously discussed, these systems comprise core values such as self-care, community care and environmental care. Industries as disparate as mining, chemical processing, oil refining, transportation and tourism need to be able to identify and assuage customers' concerns in order to sustain their loyalty.

When it comes to fears and concerns, logic can disappear. Perceptions become reality and data, no matter how scientifically based, will not change minds. In the United States, a number of major chemical and oil companies, such as du Pont, developed in the early 1990s the Risk Outrage Outcome Tool (ROOT). This is a system for determining which risks to a community are likely to cause the public to become 'outraged' to the point of active opposition, and to design communications and other measures to allay fears.

The ROOT approach specifies seven factors which contribute to outrage and prescribes how to counteract them:

1. Voluntary versus involuntary risks.
2. Familiar versus unfamiliar risks.
3. Not dread versus dread risks.
4. Diffuse in time and space versus focused in time and space risks.
5. Controlled by the individual versus controlled by the system risk.
6. Fair versus unfair risks.
7. Morally relevant versus morally irrelevant risks.

By using the ROOT approach to risks it is possible to extend it to the management of other concerns of customers which can affect their loyalty.

Voluntary versus involuntary risks: Involuntary risk is viewed as up to four times as hazardous as voluntary risk. Every customer has a personal taxonomy of risk. Enforced risks, such as exposure to a chemical spill in one's neighbourhood, head the list as being least acceptable. Next come natural risks which, as 'acts of God', may be viewed as less outrageous even by atheists. Voluntary situations cause the least outrage. So with values: customers are much less willing for their custom to draw them willy-nilly into support of a cause than when they have free choice. Something as simple as a store supplying plastic bags only on payment of a small sum to charity is a form of involuntary beneficence which customers resent. The reaction is even stronger when an account-holder discovers that their bank is using part of its profits to support some cause with which he or she does not agree or finds offensive on religious or political grounds. Customers, therefore, need to feel they have a say in the causes which a company supports on their behalf. There is a difference between people feeling they have a say and actually having a say. Lack of opposition can be as powerful as active support in enabling a company to pursue a cause and strengthen customer loyalty at the same time.

Familiar versus unfamiliar risks: Familiarity makes risk more acceptable. Customers have a grater tolerance for the risks

involved in handling hazardous household cleaners than for the processes by which they are produced. To reduce the chances of risk outrage companies need to explain the technical side of their business which causes concern in non-technical terms. Similarly, where there is a possibility that pressure groups can stoke the fears of customers about action perceived as damaging to their values, there is a need to explain matters in terms the customer can understand.

Not dread versus dread risks. We all have a hierarchy of things we dread. Although the order may vary there are some general patterns to be discerned. Most of us dread cancer more than asthma, Alzheimer's more than heart disease. So it is with all types of risks. One person's phobia is another's delight. To reduce outrage arising from public fear of toxins and pollutants, often based on ignorance, chemical companies are advised to address the dread factor squarely, keeping in mind that the public perception is reality. In like manner, some perceived offences against core values can be viewed more seriously than others. Much depends on the customer's perception of the moral standing of a company. Banks, for example, are perceived as having a higher moral standing than, say, bookmakers; a claim of dishonourable behaviour by a bank is likely to be viewed more severely than a much greater fraud perpetrated by a bookmaker. Companies must therefore be highly sensitive to the customer's perception of their moral standing when embarking on a course of action which could lead to charges of unethical behaviour. (This is covered in depth in *Managing the Integrity Factor* by James J. Lynch, IFS International, Bedford, 1994.)

Diffuse in time and space versus focused in time and space risks: If all the deaths in a year from smoking-related diseases in Britain occurred at one time in Birmingham, smoking would be banned instantly. People's imagination can be stimulated to envisage catastrophies that will never occur. To put their fears at rest it is necessary to confront them and then reassure them that the risk is infinitesimal and precautions are in place. Companies need to be on their guard against propagandist attacks which can evoke unnecessary but none the less real fears. Thus a series of bank robberies can cause a run on a local bank which could snowball if not handled properly. Shared

values will be instrumental in retaining customers only if customers' concerns about perceived threats to these values are encouraged to be articulated, so that fears can be put to rest.

Controlled by the individual versus controlled by the system risks: People are more relaxed with risks they can control. Most of us prefer to drive a car in bad weather than to be flying as a passenger in a plane. Thus the more empowered the customer is to control a situation the more secure he or she will feel. Faced with an attack on the values and integrity of a company to which the customer has given loyalty, it is important that they feel in control of the situation either through being in possession of the relevant facts or having easy access to an authoritative source. This is where carelines, newsheets and other communication media, dealt with in early chapters, have an important role.

Fair versus unfair risks: A sense of fairness is a strong adhesive for customer retention. People are much more willing to accept the risks from hazardous waste facilities from local sources than from other people's refuse. If some company action is likely to affect a particular group adversely, it will be more acceptable if those concerned are given some sort of benefit. To be effective such compensation must be made in a manner which is perceived by the company's stakeholders, as well as the recipients, as being morally justifiable.

Morally irrelevant versus morally relevant risks: To accept risk people have to be convinced that the action proposed by the company is both economically and morally acceptable. Whatever the core value involved, customer support needs to be elicited on a broad front as discussed in Chapter 4. The three dimensions of customer retention – economic, psychological and moral – each has a part to play in managing the risks which customers are willing to take in melding corporate and personal values.

CONCLUSION

Values are the engine of behaviour; they direct us towards certain goals and deflect us from others. Just as there are

fundamental similarities yet significant differences between the engine that drove the first Ford Model T car and today's racier GTs, so are today's customers motivated in different ways from their predecessors. Customer retention depends on anticipating and adapting to these changes in pace and direction. But care must be taken not to move too far ahead of the customer or to appear to lead them along undesired byways. In such cases it is likely that the leader rather than the followers will get lost.

Because values by definition are parts of their lives which people value, attempts to cheapen them through cynical 'cause marketing' are likely to lose customers. Loyalty (which is itself a value) will be reinforced if customers perceive that their beliefs and priorities are respected. Failure to do so can strengthen the sometimes shrill voice of the anti-business crusaders.

Focusing on values must not blind us to the importance of value for money as a central plank of any platform for retention. In the transitional years of the twentieth/twenty-first centuries, customers will find it no easier to 'make ends meet' than did their ancestral customers a century earlier. The reason is not so much one of poverty as of there being more ends to meet. One of these is the enjoyment of worthwhile experiences as well as the consumption of quality products.

9 Not Just Shopping but Shaping

INTRODUCTION

Customers today seek quality experiences as well as quality products. In the early 1990s the publishing world witnessed a strange phenomenon. Across the globe, best-seller lists were headed not by tales of adventure, romance, revelations or 'how-to' manuals, but by books without words or authors. Known generally as 'Magic Eye', these publications linked together optometric science and computer graphics to enable readers (viewers) to conjure 3-D pictures without special glasses. Whereas in the past books created experiences in the mind, now they can evoke a physical experience by tapping on unused human capabilities and technological innovation. The age of customer experience shaping has dawned, and with it untold opportunities for customer retention.

Whereas a product is a purchase with a limited shelf life, an experience is a memory which remains with the customer for ever. We may not remember the make of shoes our mother forced us to wear as a child, but we never forget the ridicule they drew from our school mates or if they pinched and caused us pain. We may have forgotten the details of the menu of a romantic evening, but an aroma, a melody or a name brings to mind the memory we have always carried with us. We remain loyal to providers of happy memories; we recoil from purveyors of bad experiences.

CREATING YOUR OWN REALITY

Most of the customers of the first quarter of the twenty-first century will have been influenced by, or at least aware of, the cultural wave of the last quarter of the twentieth century – the New Age. This blend of Eastern spiritual philosophies, abstruse political theories and bizarre diets rejects the 'either/or' choice of the consumerist society for one where

virtually anything goes. Many of the core values and pressure groups described in the preceding chapter have a New Age tinge. By espousing the abolition of the boundaries of religion, politics, nationalities, race and gender, New Agers feel free to explore hitherto unknown or forbidden experiences, to create their own reality.

This 'movement' gained its impetus in the 1970s with the rise of a new type of retail outlet, the New Age shop. Selling books, trinkets, exotic foods and even more exotic clothes, these were not just vendors of products but meeting places for like-minded people, providers of information networks opening doors to healthy living and the occult. Above all, these were shops providing their customers with the means to create their own reality and shape their experiences.

It is not intended to belittle the sincerely held beliefs of the many who subscribe to New Age value systems. However, even the most open-minded observer might raise a sceptical eyebrow at the efficacy of such New Age products and services as:

- 'The new life you thirst for': a potassium mineral supplement manufactured by Transnition Nutrition Inc. – 'The Foundation to Benefit Mankind'.
- 'The MC2 Dreamachine': a technical innovation for whole brain synchronisation and mental fitness.
- 'Moldavite': the starborn stone of transformation.
- Gem elixirs for a vibrationally new you.
- Dermalife skin lotion: gently peels back the layers of time.

How gullible can customers be? And yet, and yet . . . Flip through any 'lifestyle' magazine, zap across TV channels, and similar products and promises pour from major companies. Perhaps the most fervent converts to the New Age culture have been the producers of mass market products and services. (The fact that many of the marketers of the 1990s were the 'flower people' of the 1960s and 1970s may also play a part.)

What mainstream companies have learned from the New Age fringe is that customers want more than a product; they want an experience and one they can shape. For at least a little while they want to create their own reality. It will usually be an improvement on the one others have created for them.

EXPERIENCE SHAPING

An experience is an event that affects a person or group. In the case of a group the event may be shared though members are affected by the experience in different ways: ask any family on holiday together. Experiences act on the senses and the emotions, shaping them into a pattern which creates in us feelings we call pleasure or pain. Without going into the minutiae of psychology, normal people are predisposed to repeat experiences which have given them pleasure, to avoid a repetition of those which have caused pain.

When it comes to customer retention it is important to keep in mind that reality and perception can be inextricably entwined in consumer behaviour. An experience perceived as pleasurable, perhaps because others like it, will be sought out even if the reality does not match expectations. More important for providers is the contrary principle that experiences perceived as painful, or lacking pleasure (because others say so), will be spurned. This is the psychology underlying word-of-mouth advertising described in Chapter 7.

When it comes to customer retention, as distinct from life in general, experiences can be categorised as:

- delightful: far exceeds expectations and more than fulfils needs;
- satisfying: exceeds expectations and completely meets needs;
- acceptable: just meets expectations and needs;
- dissatisfying: fails to meet expectations and needs adequately;
- unacceptable: completely fails to meet expectations or needs, resulting in a bad experience.

Criteria for assessing the quality of each type of experience is given in Digest 9.1.

Traditionally, experience has been associated with services rather than products. Retailing, travel and entertainment are all industries whose success depends on providing experiences which are at least acceptable and preferably delightful. However, today's and tomorrow's customers are looking for more; where possible they want to shape their experience.

Digest 9.1 Criteria for assessing the quality of service experience

<i>Criteria</i>	<i>Delightful</i>	<i>Satisfying</i>	<i>Acceptable</i>	<i>Dissatisfying</i>	<i>Unacceptable</i>
Ambience – providing an environment conducive to the comfort and well-being of customers.	Enhances customers' self-image and social status.	Friendly, efficient atmosphere.	Comfortable.	Discomforting and anxiety generating.	Disturbing, stressful and demeaning.
Behaviour of service provider.	A symbiosis of enhanced self-esteem for both parties.	Friendly and proactive.	Responds willingly to requests.	Threatening and uncaring.	Intimidating and malevolent or totally uncaring.
Care – the existence of a genuine concern for the customer.	A holistic approach which transcends the immediate situation and aims to provide a continuing experience.	Conveys a sense of concern for meeting customer needs	Provides a basic standard of care.	Indifferent to the needs of the customer.	Totally uncaring.

<i>Criteria</i>	<i>Delightful</i>	<i>Satisfying</i>	<i>Acceptable</i>	<i>Dissatisfying</i>	<i>Unacceptable</i>
Communications – conveying data required or requested by the customer	Displays complete empathy with customer and communicates accordingly.	Information is provided clearly and at the appropriate time.	Basic information is provided on request.	Information is provided sporadically and is difficult for the customer to understand.	Information is misleading or is withheld with serious problems for the customer.
Competence – the mastery of the knowledge and skill necessary to perform a task efficiently.	Displays complete mastery of a situation.	Shows a high level of competence.	Able to perform to an adequate standard.	Displays incompetence on matters important to the customer.	Totally inept; a danger to self and customers.
Courtesy – interacting in a manner which dignifies the experience.	A culture of courtesy permeates all relationships regardless of the circumstances.	Staff are polite and warm.	Staff are correct but cool.	Staff are unintentionally rude.	Staff are deliberately rude.
Flexibility – the ease and extent to which effects on circumstances can be changed for the benefit of the customer	Circumstances are spontaneously adjusted to enhance customer satisfaction, often without the awareness of the customer.	Customers requests for changes are met spontaneously.	Requested changes are accommodated provided they are within company.	Procedures are rigidly adhered to regardless of changed circumstances.	Total inflexibility regardless of adverse effects on the customer.

Digest 9.1 Cont.

<i>Criteria</i>	<i>Delightful</i>	<i>Satisfying</i>	<i>Acceptable</i>	<i>Dissatisfying</i>	<i>Unacceptable</i>
Follow-through – ensuring that promises are fulfilled.	Customers are kept aware of progress and forewarned of potential problems.	Customers are informed of problems as they occur.	Customers are told of difficulties on request.	Customers are kept in the dark.	Customers are misled as to progress and problems.
Innovation – finding new and better ways to meet customers' needs.	A sense of customer focused creativity pervades every experience.	Initiative is displayed as necessary.	Limits to initiative are defined.	Initiative is absent.	Rigid adherence to prescribed procedures regardless of customers' needs.
Reliability – consistent conformance to standards and commitments.	Standards and commitments are treated as minimal conditions for customer care.	Standards and commitments are often exceeded.	Standards and commitments are met.	Performance regularly falls below standards	Standards and commitments are either undefined or ignored.
Security – safeguarding the person, property, and privacy of the customer.	Security is discreet, totally efficient and effective.	Safeguards beyond statutory requirements are in operation.	Legal requirements are met.	Legal requirements are ignored.	Customer is wantonly placed in jeopardy.

Digest 9.1 *Cont.*

<i>Criteria</i>	<i>Delightful</i>	<i>Satisfying</i>	<i>Acceptable</i>	<i>Dissatisfying</i>	<i>Unacceptable</i>
Technology-support – the extent to which technology is available to enhance the quality of the experience.	Technology adds value to the experience.	Technology is appropriate to customer needs and available.	Technology is available but difficult for the customer to benefit from.	Necessary technology is unavailable or unreliable.	Technology is ignored or misused with adverse effects on the customer.

This means that the experience dimension of products must be marketed more effectively and that service experiences need to be redesigned.

To market the experience dimension of a product, it is necessary to make the ethereal more tangible and extend the ephemeral. The European launch of the Renault Laguna, in 1993, was not built around performance characteristics such as fuel consumption or acceleration, but concentrated on design; an ethereal factor which is influenced by cultural differences as well as the aesthetic preferences of individuals. National advertising focused on the experiences which the car would provide. In France, the message was 'I'l n'y a pas ceux qui conduisent qui aiment les voitures.' (the car is *designed* not just for those who drive it). The appeal is to a shared or family experience. In Britain, the slogan 'It's all worked out beautifully' conveys a sense of a pleasurable experience of the driver. When it came to Germany the appeal was to Teutonic values and an assurance that driving the car would not result in a dissatisfying or unacceptable experience, with the assurance, 'Nichts an ishm is Zufall' (Nothing is left to chance).

The success of this campaign prompted Renault, in 1994, to adopt a more forthright experience-shaping approach to marketing its small car, the Twingo. For a start the advertising showed not the model but an animated car. Next the message was that the Twingo adapts to every situation, allowing drivers to use it as they choose. The fact that a similar claim could be made since 1885 saw the birth of the internal combustion engine misses the point that Renault was, for the first time, articulating the claim. To retain their customers more and more manufacturers will strive to make the ethereal more tangible and appeal to experience shaping. From British Gas – 'You're in control', to mobile phones – 'You're always in touch', the ability of customers to create their reality will prove a powerful force for retention.

Extending the ephemeral, or the short-lived, is another challenge for manufacturers. Here we are dealing not so much with the durability of a product as with increasing its appeal through its ability to prolong memories of good experiences in life. A model for achieving this is the watch industry. Many of its products are bought not only for their function as time pieces, but to implant memories of such

experiences as graduation, wedding anniversaries, twenty-first birthdays or retirement. Fixing a product in the consumer's mind as a symbol of a good experience encourages the repurchasing of the product by those who want to repeat the experience or share it. The product/experience is what customers seek from manufacturers, just as it is the service/experience by which they judge service providers.

THE FUTURE OF SHOPPING

Shopping in the future will comprise four types of experience:

1. Encounter purchasing
2. Interactive home-bound shopping
3. Entertainment expeditions
4. Just-for-me cybershopping

Encounter purchasing is, and will remain, the most common, be it for the weekly groceries or Christmas presents. It involves the purchaser visiting a location, whether it is a local store, supermarket or shopping mall, to select, buy and usually transport particular goods. This type of shopping meets a range of deeply entrenched social and economic needs. It provides customers with opportunities to meet other people and enjoy what for many is the main form of interpersonal relationships in an increasingly impersonal world. Economically, investing in shops over the years has been a primary economic activity, revitalising cities and creating major employment opportunities in out-of-town shopping centres. Furthermore, this type of shopping creates a structuring of activities in which many people find comfort. For some, the weekly visit to the supermarket on a Sunday has taken on the ritual of church-going.

For more than a century the retail industry has been in an accelerated state of evolution. France was the first country to create a new type of shop in addition to the local store. The department stores of Paris and later of other capitals radically changed the consumers' shopping experience. These *grands-magasins* purveyed mass produced goods for the growing middle classes. Essential to this new experience was the oppor-

tunity to touch and smell products before buying them. Prices were fixed and unsatisfactory goods could be returned for an exchange or refund. Browsing during opening hours and window shopping at other times became two experiences unknown to earlier shoppers.

The next innovation – the spread in the early years of the century of stores such as Woolworths and Marks and Spencer – was designed to give the working classes a taste, albeit a weak one, of the experiences enjoyed by the more affluent patrons of Messers Harrod, Selfridge, Bloomingdale and Macy. These chains also gave an assurance of consistency in quality to increasingly mobile customers. The growing availability of the motor car extended this mobility and with it, in the 1950s, came the supermarket – one stop shopping for essentials. Combined with the increasing use of refrigerators and freezers, the spread of supermarkets enabled shoppers to reduce the frequency of shopping for the mundane essentials of life; always a chore and consequently an unenjoyable experience.

By the mid-1960s out-of-town shopping malls sought to counter-balance the chore factor by offering greater choice and creating a perception of shopping as a family experience. In the 1990s, these malls are often oases of cleanliness and glamour in otherwise rundown dirty areas. Sometimes the fog of harsh reality seeps under the automated ultra modern entrances and materialises as derelicts seeking shelter, the lonely seeking company and gangs of youths seeking prey. These lessen the attractiveness of the now traditional shopping experience and increase the appeal of interactive home shopping.

INTERACTIVE TV SHOPPING

TV home shopping has been around since the 1970s in America and the 1980s in Europe. Initially, it consisted of programmes, often fronted by a celebrity such as a film actress, offering for sale fake jewellery and other kitsch to viewers who simply had to phone through their order together with credit card details. At first, little more than a diversion from soap opera for the bored housebound home-maker or

couch potato, TV home shopping offered much the same type of experience as most day time programmes, observation without involvement. That began to change in the 1990s when interactive shopping became a multibillion dollar business. While suffering from a tatty image and associated with those common vices of indolence and profligacy, this type of shopping is breaking new ground in customer experience shaping.

The means for bringing this about is interactive media – the combining of cable television, the telephone and the computer. Computers have long been able to reduce words, numbers, images and sounds to endless combinations of the digits zero and one. Since the 1980s, fibreoptics have provided a means to reduce voices and texts to pulses of light and transmit them by glass cable to computers which transform the flashes into images. These, coupled to telephones and ancillary equipment such as Compact Disc Roms which store and retrieve data, reproducing it on the television screen, provide the tools for interactive shopping and a host of other experiences.

Customers can use their television screens at any time to browse through the products, not just of a department store but of a global market. Virtually any product your heart desires and your pocket can afford can be ordered and paid for by using a remote control; delivery to your home is assured. At one and the same time, it is possible to order aspirin, a vacuum cleaner, the latest best-selling book and pizza, with the knowledge that you are getting a good deal because comparative data on prices, features and benefits are available at the press of a button.

Home shopping, like conventional retailing, has evolved over the past century. Catalogue selling, pioneered by Sears Roebuck at the turn of the century, was the mainstay of alternative shopping for Americans living in the mid-West and West in sparsely populated areas. In Britain in the 1930s, mail order, or catalogue shopping, was a way for the poor to finance purchases by pooling weekly amounts with other members of a local shopping club. The 1930s also saw the advent of door-to-door selling, usually of vacuum cleaners and small items likely to appeal to customers who, living on sprawling housing estates, had similar incomes needs and tastes.

By the 1960s, mail order through magazines began to grow in popularity with the proliferation of newspaper supplements and specialist publications. The latter enable sellers to pinpoint customers with great accuracy. In subsequent decades there dropped through mail boxes not only magazines pregnant with advertising inserts soon cast aside like unwanted progeny but also personalised mail shots from the databases described in Chapter 2. As mentioned earlier, TV shopping began in the 1970s as did telemarketing. By the 1990s the home had become the bazaar.

Interactive home shopping in the years ahead will, like other domicile-based purchasing, take various forms:

- (a) Conventional TV shopping whereby purchasers are offered a smorgasbord of goodies they can order by free phone or electronic mail.
- (b) Customer data and direct marketing channels which, for a membership fee, provide product information and competitive quotes on everything from cars to vacations.
- (c) Department store lines devoted to a particular store which customers, located far away, can 'visit' browse and order with the reassurance of a trusted name. In addition, dealing, albeit by remote control, with Macy's or Selfridges reduces the impersonality of TV shopping.
- (d) Local grocery suppliers brought 'on line' by a proxy shopping service contacted by computer which arranges for the selection and home delivery of the goods.
- (e) Specialist suppliers of goods such as compact discs and tapes which can be tested at home (using anti-recording devices) prior to purchase.

Interactive home shopping transforms what is for many an unenjoyable experience into a leisure type activity. By being able to choose what they like, from where they like, be it bed, bath or garden, whenever they feel like it, customers are able to shape their shopping experience. But not everyone wants to be perceived as a sybaritic couch potato. It is the need to lure customers from the comfort and security of their homes which has spurred the development of the next type of shopping.

ENTERTAINMENT EXPEDITIONS

Making shopping fun has been the aspiration of many retailing pioneers from Mr Selfridge with parades of elephants to the specially dressed windows of shops at Christmas. This fun orientation was inspired, not so much by a desire to make the world a happier place, but by the knowledge that when people open their mouths to laugh they are more inclined to open their purses and wallets. Unfortunately, the spirit of joy tends to evaporate as soon as it comes in contact with a counter or check-out. A town where the happiest spot is the local store must be a sad place indeed. But that began to change in the 1980s and will change even more in the 1990s and beyond.

Three trends are evident in the development of shopping as an entertainment expedition:

1. Pleasure shopping domes
2. Fun-shops
3. Shops in fun places

The doughnut revolution, as planners call it, began in Britain in 1964 with the opening of the first shopping centre in Crawley, West Sussex. This was the first step in a process which has subsequently led to shopping malls ringing the outside of towns, leaving an often derelict hole in the centre. By the mid-1990s almost a thousand shopping centres existed in the UK. Like the cuckoo in the nest they grew at the expense of small shops. The half million shops which existed in Britain at the end of the Second World War had halved in number fifty years later. Purveyors of basic commodities such as butchers and fishmongers had been reduced in the half century from 32 000 to 13 000 and from 13 000 to 2000 respectively. Customer retention had not worked for them.

But as we have seen, shopping centres offered convenience but not much else; essentially, they were a conglomeration of shops which did little to change the shopping experience. Thus was born the out-of-town retail park in the early 1980s copying from American experience a decade earlier. Retail parks, with cinemas, ice-skating rinks, children's crèches and permanent fun fairs, are designed as pleasure shopping domes. In contrast to shopping centres which are locally

based, they set out to attract day trippers from hundreds of miles away. They refer to customers as 'visitors' in the same way that holiday resorts such as Blackpool and Southend do.

Take, for example, Merry Hill, a once waste ground on the outskirts of Dudley, in the West Midlands of England. With 260 shops and 10 000 car parking places, it attracted 22 million shoppers a year in the early 1990s, making it 'the prime tourist attraction in the West Midlands'. This and its counterparts seek to make shopping not simply a leisure experience but an opportunity for dispersed families to meet, and a focal point for outings for old-aged pensioners, the disabled and others for whom interesting surroundings need to be combined with secure, warm shelter and easy access to cheap food and toilet facilities.

But, of course, the future of shopping cannot be dependent on compassion. It is essential to attract and retain customers who spend. A 1993 report on spending patterns at retail parks in Britain revealed that pensioners spend £18 per visit, whereas customers aged 24 to 34 spent on average £362.80. Hence the rise of so-called fun-shops.

Who better to conceive and run fun-shops than those purveyors of entertainment, Hollywood film studios. Walt Disney, the World's greatest experience producer, to whom we shall return later in this chapter, started it all. He created consumer products out of film characters so that screen experiences could be relived by doting grandparents, indulgent parents and cartoon struck children. As the author sits through repeated video showings with his grandchildren of the Disney films of *his* childhood, the reality of customer retention is reinforced as in no other experience.

The Disney Company was soon followed by Warner Brothers studios in franchising shops throughout the world. By 1994 there were 268 Disney Stores and 68 owned by Warners, setting a trend which other entertainment conglomerates such as Sony, the Japanese owner of Columbia studios, has followed.

These fun-stores hold three vital lessons for customer retention through experience shaping. First, through costumes, trinkets and toys for both children and adults, they make the ethereal experience of the cinema or video tangible and extend the ephemeral. Mickey lives! And so do Snow

White, the Good Fairy and Cinderella's coach. Next, experience can be reinforced and profitable; everything sells everything. Films sell videos, videos sell toys, all sell visits to theme parks. Finally, as *Time* stated in report (9 May 1994) the costumes and other artifacts sold in fun-shops 'serve as a commercial Rorschach: they let us *wear* who we think we *are*': Mickey, Cinderella or Captain Hook.

The fun-shops concept has spread to other retail outlets, from Toys-R-Us to McDonald's. Though associated with children the idea is one that will spread to clothing stores, consumer durables and other more mundane products. For example, in 1994 a young English entrepreneur, Daniel Green, gained much media attention by providing Britain's first ever crèche for men. Reasoning that men find accompanying their wives shopping for clothes less of an enjoyable experience than their companions, and thus reducing the pleasure of the ladies, Green provides a club-like room in his clothing store where the men can read, view television and play games, while their female companions shop and shop, spend and spend.

The third strand in shopping as an entertainment expedition is the opening up of shops in fun places or, contrariwise, places we would rather not be. In the first category are shops in theme parks, sports stadia and leisure centres. The second category includes shops at stations, airports and hospitals, where people seek diversion and an opportunity to reshape what is often an otherwise boring experience. Boring is not a word that could ever be used to describe the next type of future shopping.

JUST-FOR-ME CYBERSHOPPING

The very title smacks of gimmickry, but the technology exists to provide the ultimate in not just shopping but shaping. 'Just-for-me' implies that a product or experience is uniquely personal, cybershopping means the use of computers and other media in the purchasing process. This new form of shopping falls into two categories:

1. Personal designing.
2. Virtual reality shopping.

It is possible to provide a tailor in Hong Kong with a thread of fabric and request that a tie, curtains or chair cover be reproduced which exactly matches the design and cloth from which it was drawn. Alternatively, the desired design, drawn originally from, say, tweed can be reproduced in silk or the original colour and pattern reversed. By a blend of computer graphics and computer controlled manufacturing a customer can buy a textile for their own exclusive use without having to order rolls of the material. In similar fashion, robot manufacturing is capable of responding direct to a customer's request for a refrigerator of a specified size and colour with additional features, to provide the kitchen experience the customer wants. Using the interactive computer technology described earlier, the home shopper can, metaphorically speaking, push Henry Ford from the driving seat and order a car of any colour that takes his fancy, including black.

We have seen, however, that not everyone wants to be a home shopper. The 'just-for-me' consumer will therefore happily travel in the near future to a new form of retail outlet, a new generation of fun-shopping – the virtual reality shop. The premises will be fully equipped for multi-use virtual reality so that, if necessary, the whole family can shape the experience. Combining computer science, sensors, graphics, photography, simulation and perception psychology, virtual reality enables people virtually to experience the sights, sounds and feel (and inevitably smells) of a situation. Using electronic headgear, gloves and movable platforms, the virtual reality customer can not only 'see' inside a dish-washer, but live inside it; not only mix and match countless styles of interior decoration, but move every piece of furniture in a room in every conceivable way. For example, instead of having to choose with their partner between a farmhouse-styled kitchen or a Victorian or futuristic one, the customer can *experience* living in all three or in some bizarre mutation. 'Taste and try before you buy' has come into its own as a marketing ploy in the era of virtual reality.

Shopping, the most common consumer experience, has long been the main means of attracting and retaining customers. In future, success in retention will depend on retailers implanting in their customers a sense of a common, yet unique, experience. Such a concept appears at first sight to be

contradictory; how can an experience be both common *and* unique? Every bride and groom, every parent, every bereaved, *knows* that their experience is in common with countless others, but they *feel* it is unique. Enabling customers to shape their experience in a way which they feel is unique is a power bond. This applies not only to retail but to a variety of industries. Making it happen calls for a clear understanding of the ways in which customers can contribute to shaping their experience.

THE CUSTOMER AS SHAPER

Surveying the future of shopping, we have seen the evolution of the customer from passive receiver to just-for-me experience shaper. In between are gradations of shaping:

- Spectator
- Shared shaper
- Solo shaper

The passive receiver customer role is being supplanted by a more active one, be it as carer, resource or change-driver (see Chapters 6, 7, 8). In terms of undergoing an experience this role makes few demands on the customer. The experience, such as it may be, is determined by the provider. Whether or not the customer enjoys it appears to be of little consequence. An attitude of 'take it or leave it' usually merits choosing the latter. It is no way to retain customers.

The spectator role can shape the customer's experience. Much depends on the nature and extent of influence which the customer can exert. A customer in a cinema can in no way influence the performance on screen, whereas in a theatre the performance, and hence the customer's experience, can be shaped by the response of the audience. The greater the opportunities for such experience shaping, the more important it is for the customer to have the appropriate level of knowledge. Applause at the wrong moment in an opera can spoil the experience for performers and audience.

Technology will increasingly make the spectator role more interactive. Multimedia techniques make it feasible to edit

what appears on the TV screen. Those wanting a happy ending to a drama can select *their* happy ending; those wanting the villain to win can concoct their own diabolical denouement. Games, once associated with open spaces, are now played in cyberspace. The video game market is part of the process by which individuals pass from the electronic nursery to the electronic shopping spree.

Shared shaping roles are those where the customer partakes in an activity along with others, such joint effort being essential to the success of the experience. The obvious example is a celebration such as a wedding, birthday or some such event. In the past, religion played a key role in shaping 'rites of passage'. Lovers got married in church, children were baptised, blessings were sought at significant events. With the decline in religious influence and changes in family values, people turn to commerce to help them mark significant milestones in their lives. The Disney organisation was one of the first to identify and respond to this trend.

The launch of the Disney Stores in 1989 was but a first step in a plan to provide the 'Disney experience' in such ways as:

- (a) A wedding at the Seven Seas' Lagoon chapel combined with a honeymoon in the surrounding Disney World. 'Fantasy' receptions can be arranged from providing Cinderella's glass carriage to convey the happy couple, to the Seven Dwarfs as ushers.
- (b) Disney Vacation Club, a time share resort in Orlando, will enable the family to celebrate every wedding anniversary in fantasy land and pursue 'hobby learning' at the Disney Institute.
- (c) Disney cruises will provide a desirable retirement present.

Finally, should customers be more adventuresome they can visit far away places from Tokyo to Toronto, secure in the knowledge that no matter how foreign the surroundings they can be assured of the experience of the Wonderful World of Disney.

Such a prospect is unlikely to appeal to the solo shaper. He or she wants to move from acceptance, however participative

of what is an available experience, on the shelf so to speak, to one which they can truly shape.

FROM OFFERED TO SELF-SHAPED EXPERIENCES

Providing it is effectively managed the 'offered' experience will retain customers, but the shaped experience will give a competitive edge. Like all airlines, British Airways is keen to attract and retain its high yielding First Class customers. Like most, it sought to do so by providing top-class cuisine, service and inflight entertainment. Passengers could shape their experience in so far as choosing from the gourmet delights of the menu and selecting a movie. But in 1989 with the introduction of Sleeper Service, experience shaping took on an added dimension. On flights of up to nine hours departing after 7.00 pm, passengers could decide to eat before boarding, slip into pyjamas once on board and sleep, or have the more traditional experience of full inflight service.

Extending customer choice lies at the heart of experience shaping. If that choice enables the customer to exchange a reality of life, such as the weather, for their own reality so much the better. Hence the success of Center Parcs in contrast to the relative failure of Euro-Disney.

Center Parcs began in Holland as a series of climate controlled holiday villages for affluent young families wanting a short break with their children. By 1994 it had grown to fourteen villages scattered across Holland, France, Britain and Belgium, with plans for more locations in other countries. In addition it had attracted competitors. The appeal of a Center Parc lies in its location and its guaranteed exotic experience. Unlike conventional resorts where location is important in terms of climate, scenery or other exotic characteristic, the attraction of the Center Parc location is its convenience. Each is located just hours from major cities; exotica is readily available for short spells without the hassles of delays at airports, foreign tongues and unfamiliar food for children.

The guaranteed exotic experience is centred on 3000 square meter pleasure domes which encase swimming pools, restaurants and shops. There is always a constant Mediterranean soft summer of 21 degrees Celsius throughout the

complex, rising to 29 degrees in the pool area. Outside the domes are villas and a variety of recreational facilities for those wanting to brave the local climate. The design is such that whereas in traditional resorts the experience choice can be exposure to the weather *outside* or some sheltered activity *inside*, at Center Parc vacationers can shape their 'outdoor' experience to the reality of local weather or the perceived reality of chosen weather. This contrasts with Euro-Disney where, in common with similar theme parks in Europe, customers are at the mercy of a sometimes unpleasant climate which literally dampens their enthusiasm for the offered experience.

Transforming the 'offered' into a 'self-shaped' experience will be a major competitive weapon in customer retention. Digest 9.2 gives examples of typical transformations of today's products and services which are technically feasible and are likely to be taken for granted by the next generation of consumer. To take advantage of these trends companies need to:

- have a clear strategy for customer input management;
- be capable of releasing the experience dimension of products and intensifying the experience sensation of services;
- encourage and equip customers to overcome technofear;
- guide customers in moving from the role of passive receiver to shaper;
- provide opportunities for self-shaping experiences which adds value for the customer;
- use self-shaping as an instrument of renewal in the fight for customer loyalty.

The examples quoted on pages 257 to 259 are but the tip of an iceberg of self-shaping experience opportunities. Taking them in the order listed highlights the key features of self-shaping.

Since people spend more time in the home than in other locations, products, which have over the years provided an easier experience to their users through the wonders of electronics, will take a quantum leap when computer controlled. The use of minute nanomachines, invisible to the

Digest 9.2 Transforming an experience from offered to self-shaped

<i>Product/service</i>	<i>Offered</i>	<i>Self-shaped</i>
Windows	Change their visual and thermal characteristics depending on the weather.	Change their characteristics depending on activity and body heat of room occupants.
Lighting	Dim or increase in luminosity with changes in the amount of natural light.	Change level of luminosity and colour in accordance with registered mood of room occupant.
Household goods	Electronically controlled to provide flexible usage.	Computer controlled to provide lifestyle and personal usage.
Child/old people care systems	Computer based monitoring systems equipped with moisture, air motion and sound sensors and cameras to alert carers re physical needs.	Computer based holographs and sound systems to stimulate and/or put at ease in accordance with psychological needs.
Health/fitness regimes	Self-administered testing, medication and testing prescribed by medical specialist.	Self-designed and monitored total fitness plans adapted to lifestyle and psychological/moral profile based on holistic medicine principles.

Digest 9.2 Cont.

<i>Product/service</i>	<i>Offered</i>	<i>Self-shaped</i>
Home entertainment	TV, video, CDs, radio separate or linked.	Multimixes of media to suit personal preferences. Personally designed schedules for each family member, including forewarning of clashes and means to avoid them.
News media	Newspapers and magazines available on TV screens.	Personal editions (screen or hard copy) containing preferred balance of contents and exclusion of undesired news.
Education	Computer programs to accelerate learning in chosen subjects.	Multimedia systems to create mutations of subjects (e.g. psychological geography) opening brand new fields of knowledge.
Restaurants/Catering	Different speeds and levels of service. Various national and international menus for different types of meals.	Any time, any type 'eating events' as distinct from breakfast, lunch, dinner. Mutation menus (e.g. Chinese lasagne).
Hotels	Alternative catering services. Computer based room service.	Total real time availability of services, meals, check-in and check-out times.

<i>Product/service</i>	<i>Offered</i>	<i>Self-shaped</i>
Air transport	Computer based check-in and arrival procedures improves speed and efficiency of flying experience.	Personal flight plans regarding time and activities pre-departure, inflight entertainment options, arrival arrangements.
Road transport	Computer assisted driving systems to avoid bottle-necks.	Optional routes to suit journey purpose, mood of driver and time available; creation of personal maps.
Travel	View video as a prelude to selecting holiday.	Virtual reality provides sight, sound, temperature and smell foretaste of different resorts.
Shopping	TV home shopping, etc.	Interactive shopping. Just-for-me cybershopping.
Financial services	Optional savings and loan plans designed from standard products.	Truly personal financial plans to meet not only economic but psychological and ethical needs.

human eye, will work miracles of sensitivity and responsiveness. Such hitherto ethereal and ephemeral aspects of life as moods and inclinations will be capable of conversion into pulses and stored in the memory of products. Windows, lights, heating and ventilation systems will respond not only to the weather outside but to the psychic climate of the user. Decor will change in tone and even design to uplift depression and heighten moments of pleasure. Washing machines and other relatively noisy equipment will stop automatically when a nearby phone is in use. Ovens will adjust at the sound of a voice to ensure that a dish is perfectly cooked to meet unexpected changes in the arrival time of guests. Voice activation will truly personalise product ownership.

Systems designed for baby care will be adapted to old folk care, enabling carers and cared alike to enjoy a better quality of life than was available to preceding generations. This will be part of the growth of self-care values with their emphasis on health and fitness as a way of life rather than a fad. The home as gym and clinic will become commonplace. The bathroom will become not simply a location for hygiene and personal grooming but a diagnostic centre. Sensors and computer linked transmitters will analyse body waste and provide an instant daily health report; alerting customers' doctors to potential problems as necessary.

Home as an entertainment centre will become more prevalent as multimedia, high definition television, wide-screens and totally embracing sound become essential domestic appurtenances. Family members will be able to use their interactive telephone linked console to enter the names of their favourite actors, sports teams, musicians and other sources of enjoyable experiences. Computer chips will cross-reference a detailed electronic programme guide and produce a personalised viewing schedule for each family member. But what if father's favourite sporting event coincides with mother's art programme and the children's favourite film? No problem, either videos will be able to record five or six programmes simultaneously for later viewing or programmes are beamed at different times to various time zones. If you miss *Casablanca* when it is transmitted in the UK at 9.00 am on Tuesday, it will be available for recording via satellite from Japan at 4.00 am on Thursday.

When it comes to 'news' or special interest rather than entertainment, similar self-shaped experiences will be available. A favourite newspaper or magazine can be viewed on the screen, delivered by fax or through the letter box. It will contain what the customer wants; larger sport's sections (or no sport's sections); stories about a favourite topic, no mention of a subject which one finds morally offensive. *Playboy*, with just the short stories by well-known authors and without the nude photographs, or vice versa, will be available at no extra charge.

From information to education will be a short step. Customers, used to computers in the schoolroom, will easily adapt to computers in the living room. Membership of a global computer network such as Internet (connecting millions of individuals, companies and special interest groups across the globe) will give access not only to all the world's knowledge but to an enormous paradigm shift – mutation will become the norm. Off-beat combinations will be accepted as mainstream occurrences. Where learning has tended to be subject streamed, new convergences will occur. The pursuit of history of the Napoleonic Wars could lead, through computer programmes, to a study of Napoleon's hat; a history of headgear, from tam-o-shanter to stetson; the therapeutic advantages of headgear in different climates; fashion and climate; the psychology of hats; *The Three Cornered Hat* as an opera; other pieces of art inspired by hats, from novels to paintings; the etiquette of hats; headwear as a feminist issue – create your own specialist niche as you move along your preferred subject chain. From cranial indexing to the social classification of headbands, the choice of mutated subject knowledge is endless. Even if Andy Warhol's claim of fifteen minutes fame for everyone does not come about, self-shaped education will enable everyone to be a world authority on something.

Mutation will arise in other spheres as customers flex their cybermuscles. This will apply particularly to catering from restaurants to hotels and food products. At any point in time people are eating somewhere on earth. Western civilisation (always a minority) imposed a categorisation of meals into breakfast, lunch, dinner, each with a different type and balance of food and drink. This sequencing has shaped organisationally based conventions historically; breakfast foods

are available from 6.00 am to 11.00 am, luncheon foods from 12.00 pm to 3.00 pm and so forth. (In 1991 the author was told at a motorway service station in Britain that the toaster was 'shut down' at 10.30 am.)

These time-frames were set more for the convenience of providers than consumers and are changing. 'All day' breakfasts are popular in Britain – partly because the alternative meals are appalling. Whereas in the past people aped the habits of those they considered their social betters, hence 'dinner at eight', by the 1990s comparators are geographic rather than social. Anytime meals with any combination of foods is an option – customers increasingly want just-for-me eating experiences as well as just-for-me shopping experiences. Chinese lasagne or Mexican Irish stew are typical mutations.

Customers also have to be willing to pay for the choices. Satisfying these new types of expectations will call for new types of pricing. Hotels, for example, which rented rooms by the hour were usually occupied by people making their bodies available on a similar basis. The concept of dailyroom rate is now the norm, but with it comes the inconvenience of set times for check-in and departure. Self-shaped experience marketing of hotels will lead to time-unit pricing, at a premium, enabling customers to check-in and out to suit their, and not the hotelier's, convenience. Only a minority may be willing to pay for the option but those who do will welcome it.

Such flexibility will have advantages for travellers by air or road; schedules will be determined not by check-in or check-out times but by personal travel plans. Routes can be plotted by 'computer road map' to make the journey an enjoyable experience. Developments such as British Airways Sleeper Service will make air travel, if not enjoyable, at least more endurable. For the travel industry as a whole, technology will enable brochures, videos and other unreliable expectations creators to be replaced by a more substantial foretasting. Virtual reality will simulate as far as is humanly possible the 'feel' of a holiday experience.

As was shown earlier, virtual reality will become the true-life trailer for shopping and other consumer experiences. Its success in customer retention will depend on how much the marketers of tomorrow learn from their counterparts who create the cinema and video trailers of today. Selecting only

the best parts for the potential customer to experience may initially attract, but it will lose customer loyalty as expectations are dashed when the whole experience unfolds; overexposure to fragments of experience can sate the appetite for enjoying the whole.

But customer retention through self-shaping experience need not depend on anything as sophisticated as virtual reality. Financial services, for example, will be revolutionised by relatively unsophisticated technology. Telephone banking appeals because it is simple to use and enables customers to conduct their financial affairs whenever they want, in the warmth of their living room, rather than the clinical coolness of the banking hall. And options for experience shaping are increasing here as elsewhere. Intuit Inc., a personal finance software firm in the United States, launched its 'Quicken' program in 1987. By 1994 it had spread to Europe and will go further. This enables users to manage their finances, pay bills, receive statements and evaluate financial products and services using their PCs. Suddenly, through linkages with Credit Card companies and cheque clearing houses, a software company is becoming more important in the financial lives of people than their banks. Eventually, as customers feel they can shape and manage their personal economic destinies, they will become their own financial planner, at least as well qualified and with access to as much information as today's so-called personal banker.

Even a limited survey of opportunities for self-shaping experiences should convince the most sceptical that this approach to customer retention will become increasingly important as technology enables customers to make their own reality.

CONCLUSION

Self-experience shaping draws on the senses and emotions to create the psychological state which gives us joy. There are an unfortunate few for whom the only source of joy is *schadenfreude*, taking pleasure in the misfortune of others, but most people as customers or in other aspects of life seek out an uplifting, pleasurable experience. Companies providing

opportunities for such happenings are virtually assured of success.

For most of history the customer has been offered experiences shaped by the provider to satisfy needs and outmatch expectations. From the brothels of Pompeii to the latest Hollywood blockbuster, the advertised promises have not always matched the delivered reality. However, advances in computer technology and the techniques of customer input management provide a new kit of tools by which customers can be enabled and empowered to shape their own experience in a truly unique fashion.

Customer loyalty depends on delivering high-quality experiences as well as high-quality products. It must be based on sound customer care systems and a genuine desire to give the customer value for money. Innovations and even gimmicks can provide insights into experience shaping. But in the end, successful customer retention will be determined not so much by slavishly following the principles of the Magic Eye, with which this chapter began, but by focusing on that which is most important to all customers – the magic I.

10 Not just Synergy but Symbiosis

INTRODUCTION

A loyal customer base is like a nuclear core, providing an inexhaustible source of renewed energy. But should it be taken for granted, not properly cared for, it will become a Chernobyl, destroying its begetter. Pan American Airways, IBM and Woolworths stores are but a few examples of companies which have paid the price of ignoring this lesson. As stated in the Preface, Ford Motors estimates that for every one point gained in owner loyalty there is a \$100 million uplift in profits.

In the 1980s companies predicted that by the turn of the century robots would provide the key to profitability. By replacing workers, output and productivity would be vastly increased while operating costs would reduce. Robots do not strike or demand pay increases. During the 1990s there was a realisation that competent and caring workers were more important to customer retention than were robots. In the twenty-first century the caring, resourceful, values-driven, experience-shaping customer will be the critical resource to be managed, if sustained growth and profitability are to be assured. This will call for a rethinking of traditional approaches to customer retention and the acceptance of new ways. In this final chapter we draw together earlier strands, interweaving them with emerging trends to create a net which captures loyalty and provides security and comfort to those within its folds.

RETHINKING QUALITY AND CARE

The quality and customer care drives of the 1980s undoubtedly improved the lot of the customer, but have inevitably lost momentum. This was due, at least in part, to increased pressures on employees at the customer interface at a time of

manpower cuts and the introduction of new technology. An over-reliance on competitor benchmarking shifted attention from the changing roles and needs of customers; knowing that your competitors are delivering similar standards of quality and service does not mean that you are doing what the customer wants.

Customer retention does not depend on achieving some quality certification or even prize, but on producing tangible customer benefits while lowering costs or raising sales. An over-emphasis on speed of delivery can adversely affect the manner of delivery. Handholding of customers in the initial stages of a relationship, or when introducing new systems, will pay greater rewards than answering the telephone in less than three rings.

In the past, new quality and care programmes were introduced without changes to organisation structure and customer roles; the result was often frustrated employees, disenchanted customers and disappointed shareholders. If quality and care are to provide solid foundations for retention, structures must be redesigned accordingly.

ORGANISING FOR CUSTOMER RETENTION

Companies aiming to attract and retain customers need to rethink how they set about providing not just satisfaction but added value. The first step is to organise themselves round the process of retention rather than depending on the traditional structure of functions and departments. Each core process – care, resourcing, values-building, experience-shaping – should have its champion to lead the process and meld it with others to engender a distinctive style customer loyalty which is impervious to the blandishments of competitors. This might be called a ‘Curia model’ based on the practice of the Roman Catholic church where at the Vatican there is an interlinking of core processes whose shared aim is ‘keeping the Faith’.

The pyramid hierarchy of old, whereby only the most persistent dissatisfied customer had the stamina to scale the heights to remedy a complaint, needs to be flattened. More horizontal structures reduce fragmentation and increase the opportunities for synergy, providing greater energy by com-

binning formerly disparate parts together. The fusion of functions, departments and jobs will create a force field of synergy which will eliminate work that does not lead to customer attraction, satisfaction and retention. But synergy by itself will not transform organisations, symbiosis is also necessary.

This state of achieving mutual respect and advantage will characterise new forms of teamwork. Self-managed teams will be the building blocks of organisations, setting goals, measuring performance and metamorphosing into new style relationships. Team achievement will complement individual effort as the basis for performance appraisal and rewards. Teams will embrace all types of stakeholders, particularly suppliers and customers.

With customer satisfaction as the prime criterion for assessing company performance and success, all teams will be customer driven, including 'internal' customers. Suppliers will be perceived bifocally and treated as customers; similarly, customers will be seen as suppliers. Where possible, customers will serve on company teams, not simply as *representatives of* consumer interests but as *contributors to* customer retention. Digest 10.1 defines the steps in creating the customer retention organisation.

The first step is to determine strategic retention objectives. Keeping the customers you want is the name of the game. Moving into new markets or extending your share of existing ones are highly motivating strategic activities. Just as important, but more difficult to accomplish, is the strategic withdrawal from undesired customer sectors. Barriers to strategic withdrawal range from legal to psychological. Threats of charges of discrimination can inhibit companies from refusing to transport certain passengers such as the almost inebriated, the mentally disturbed, or the irresponsible. Bank customers whose accounts cost more to administer than they contribute to profitability are subsidised by the more affluent who complain about the level of charges. Cinema-goers who are noisy eaters of odorous foods may boost profits, but drive off committed film viewers. Strategic objectives for customer rejection might be based on such tactics as price (the Ritz is open to all), entry conditions (no back-packs at Harrods for security reasons) or differentiated services (non-consuming, quiet cinema sessions).

Digest 10.1 Creating the customer retention organisation

Determine strategic retention objectives



Identify distinctive retention advantages which will achieve objectives



Define core processes and competencies for realising competitive advantages



Structure around customer attracting, satisfying and retaining processes



Eliminate all activities which do not yield added value to the customer and other stakeholders



Create retention focused teams



Appoint core retention process champions



Set specific attraction, satisfaction and retention goals and measures



Empower and enable employees and customers to achieve and monitor goals



Constantly renew the energy and processes needed to ensure continuing customer loyalty and success

Most retention strategic objectives will, however, focus on the positive. It is here that customer input management and the changing roles of customers described earlier come into operation. These lead in turn to identifying the distinctive competitive advantages which the company has in matters of retention. Typical advantages are listed in Digest 10.2; they vary between industries.

Financial services have a variety of means for retaining customers. These range from long-term financial obligations incurred by customers to the avoidance of hassle involved when transferring accounts from one bank to another. Tra-

Digest 10.2 Distinctive retention advantages

Financial	Long-term financial obligations
Hassle	High switching costs
Tradition	'Family' doctor
Psychological	High comfort level with product/service
Exclusiveness	Restricted membership of a club
Convenience	Service delivery near home or work-place
Quality	Guaranteed quality levels for all goods
Price	'Never knowingly undersold'
Technical support	Software dependence
Product support	Razor blades
Branding	Food products which can be relied on

dition can also play a role where a family have used a particular supplier for generations. The first to move to an alternative must be prepared to withstand the ancestral wrath.

Psychological factors can be at least as potent as economic ones. Where a customer is comfortable in dealing with a company, it is difficult for a competitor to make a dent in their loyalty. A sense of exclusiveness or such lowly motives as convenience and inertia can prove strong magnets. A sense of reassurance in the consistent quality level and the knowledge that complaints will be handled speedily and sympathetically strengthen the psychological bonds.

However, in strategic planning the primary focus is likely to be on economic retention factors since these are easier to measure and report on to shareholders. Price competitiveness is the most obvious of these, but there are other sources of retention, such as technical support to customers in matters like software compatibility and also product dependency, whereby the benefits of an innovation, for example, contour razor blades, depend on the customer using the appropriate equipment. Branding is also important. Here Nestlé, the world's largest branded food company, has long been a trail blazer.

Swiss-based Nestlé operates globally, but has an eclectic approach to retention through branding, mixing local and global products. The company rejects the concept of a life-cycle for brands, believing that a well-managed brand will long outlive its creators. In a multicultural world it markets its products, such as coffee, to meet culture specific needs. Eschewing the possible charge of imposing a foreign product, in Asia, it has transformed Nescafé from a Western drink to a relaxing beverage consistent with Asian values and lifestyles. Nestlé plans to make massive inroads into the largest potential market of the twenty-first century, China. This it will do by using local raw materials developed and tested to Swiss standards thus appealing to local patriotism and global glamour. However, as was shown in Chapter 4, branding and bonding, though important, will not by themselves secure retention advantage. The role of the salesperson will change radically.

Teamwork will be the hallmark of effective selling. Rewards linked to individual performance were seen in the early 1990s in financial services and elsewhere to lead to the antithesis of customer care. Customers sold pensions and other products inappropriate to their needs or too expensive, had their loyalty dented in regard to companies with whom they had dealt for years. Teams, through peer pressure and shared competence will keep integrity standards high; commission as a major source of reward will disappear. Competing by integrity rather than simply product performance and price can be highly profitable as well as optimising customer satisfaction.

A survey in 1993 in the United States found that compared with a decade earlier, customer satisfaction in their relationship with new car dealers had fallen from 40 to 35 per cent; whereas in 1983, 26 per cent of buyers rated the integrity of their dealers excellent or very good, it fell to 21 per cent over the ten years. This fall in trust was an important factor in the success of the Saturn car with a fixed price and a company commitment to sustaining customer satisfaction, including such details as valet cleaning being part of every service check. Customers chose the integrity option.

Selling is moving from a marketing activity to a consulting one. Sales people, a major influence on customer retention rates, will act increasingly as problem-solvers, not simply as product vendors. They will be judged as much by how well they understand their customers' business as their product

knowledge. This partnership syndrome will extend into reward systems: customer satisfaction indices will contribute at least in part to determining levels of remuneration. This is just one of the examples of the move to symbiosis or interdependency which will be discussed more fully later in this chapter.

New core processes and competencies will also be needed in management. Among these new requirements will be the now familiar need for empowerment together with such other attributes as:

- (a) *Evangelising*: the competence to communicate with customers in ways which motivate them and strengthen their loyalty.
- (b) *Trend scanning*: the processes to monitor developments relevant to customer retention, identifying those which will require new skills, and processes.
- (c) *Opportunity-mapping*: the processes to identify opportunities for customer retention and take swift action to seize them, thus gaining competitive advantage.
- (d) *Needs anticipation*: the competence to foresee and take action to meet the totality of customer needs.
- (e) *Expectations management*: the processes to stimulate and influence customer commitment by managing the expectations thresholds of customers at different stages in the customer retention life-cycle.
- (f) *Perception-shaping*: the competence to influence the ways in which customers view a situation and act accordingly.

Armed with these processes and competencies it is then necessary to move onto the next stage – eliminating all activities which do not yield added value to the customer and other stakeholders.

This and the subsequent stages call for a three prong approach to organisational renewal and development. First, at company level, all activities should be judged against the following criteria:

- Does it involve all concerned in promoting customer retention as the best way of using resources to gain competitive advantage?

- Is everyone concerned aware of the need for a style of customer retention which will give the company a noticeable differential in the public eye?
- Does the activity provide retention-focused systems: that is, specific and tangible practices and procedures which will help bring about any general change in culture and attitude that is deemed necessary?
- Does the activity help to establish customer retention as a long term continuing *process* rather than a one-off programme of change?

Next, each core retention process champion should encourage their team to:

- Turn a customer retention need into an objective and a specification for action.
- Continually challenge the use of resources: 'Would customers prefer us to use time and money differently?'
- Ensure that retention is connected plainly with team activities, and is seen to be so.
- Act as an exemplar of concern for the needs of others.

Individually, regardless of their role, people should be helped to acquire and display the following behaviours:

- Listen and observe what customers really want.
- Interpret customer wants in terms of what should be *done* by the company.
- Explain and share feedback with customers to check that their wants are being met.
- Anticipate and prevent misunderstanding and mistakes.
- Improve the perceptions customers may have of the quality of company products and standards of care.
- Challenge any assumption within the company or team that could jeopardise customer retention.

In setting specific attraction, satisfaction and retention initiatives, the company should test them against five criteria: boldness, expectedness, timing, innovativeness and how far can it be personalised.

Initiatives should be bold, evoking a sense of delight and surprise. However, while there is merit in them being

unexpected, care is needed to avoid their introduction as being inopportune. The opening of a luxurious airport lounge in a city recovering from the ravages of an earthquake can give rise to a sense of psychological discomfort which far outweighs the blandishments of opulent surroundings. Innovation is always to be welcomed when it enhances customer retention, but no matter how inventive, a process that can convey a sense of personalised service will almost invariably score over one that is merely novel.

Achieving new thinking on customer retention is not easy. Inevitably there will be resistances to be overcome.

OVERCOMING RESISTANCE

A 'resistance' is something which inhibits the total capability of a system both to operate efficiently and adapt to change. Every provider of customer care has the potential to move beyond current practices and standards, but for a variety of reasons, some more apparent than others, there are combinations of factors which impede the process; the most common of these are:

- Cultural
- Educational
- Legal
- Perceptual
- Political
- Procedural
- Technical

Cultural resistance has its roots in the pervading beliefs of a provider on what is desirable in terms of values and behaviours. The more deeply entrenched are these as to what is permissible or unacceptable, the greater will be the resistance preventing the movement necessary to meet new trends and demands. Values define the criteria by which individually and collectively providers make moral choices and judge the moral stance of others. For some, sustained customer loyalty is more important than short-term profitability; for others customers are to be exploited rather than served. Beliefs are what a provider holds to be true: at best

they result in a positive life enhancing creed, 'We hold these truths to be self-evident. . .'; at worst they provide an excuse for prejudice, 'All blacks/Jews/women/men/whites/lawyers/customers are . . .'. An important aspect of cultural resistance is that it can swiftly spread through an organisation. Furthermore, it is reinforced if the provider feels that long held norms of behaviour towards customers is threatened by innovative 'outsiders'. Thus when banks find themselves threatened by the inroad into their market of 'non-banks', their tendency is to attack the newcomer rather than seek to learn from the new competition how to attract and when to retain customers.

Educational resistance manifests itself in a provider displaying a lack of the new competencies necessary to move beyond conventional customer retention practices effectively and efficiently. When a provider moves from a generalist customer retention approach to one that is more segmented and focused, it is almost inevitable that this type of resistance will inhibit movement in the short term. Companies which have concentrated on the development of 'hard' competencies such as accounting, engineering and computer programming can find the transition to 'soft' competencies such as 'care', 'environmental scanning', 'ethical awareness' very difficult. The problem can be compounded when those accountable for what might be called 'nuts and bolts training' are expected to be equally skilled in capturing hearts and minds. This can result in a training facade in which masks of superficial knowledge are used to cover over inadequacies in competence and commitment. On the other hand, the removal of educational resistance can open the way for cutting through other impediments to progress.

Legal resistance exists outside organisational boundaries, but its existence nevertheless can impede any move to improve customer retention. For example, there may be legal constraints which prevent a provider extending the range of customer care practices. The critical point about legal resistance is that the provider by itself cannot remove it, although it can influence the action need for change. Another important factor is that the provider may have little or no control over the speed and extent to which the resistance is overcome. These conditions can lead to provider-customer

liaisons aimed at effecting change. Removal of minimum price levels and the opening of shops on Sundays are but two examples where legal resistances to customer care have been overcome by a combined effort.

Perceptual resistance is to be found in the minds of many providers involved in the process of customer retention. Such resistance has its roots in the prevailing attitudes, assumptions and opinions which underlie the historic behaviour of the provider. Attitudes reflect the dominant standpoint which the provider adopts towards customers, in terms of preferences, likes and dislikes. They have a 'feeling' content, predisposing the provider to approach or avoid customer retention practices or situations at which they are directed. Assumptions and opinions reinforce attitudes. The first determines those things which the provider accepts to be true at a particular point in time, though conscious that there may be an element of uncertainty present; the second is a statement of view about customers and related matters which is consciously self-referred – 'I don't care what you say, I do not believe it will work'. Those striving to move their organisation beyond the limits of conventional customer loyalty must recognise that perceptual resistance may vary between individuals and may exist subconsciously. There are still people who believe that the world is flat.

Political resistance is associated with the distribution and use of power in an organisation. The power to effect change does not always coincide with the power to resist change. Improving customer retention may call for a redistribution of power with resultant resistance stemming from those whose power is (or is perceived to be) lessening. A vital point on political resistance is that there is usually a disequilibrium between the rate at which power can be redistributed in an organisation. Therefore, those whose power is threatened by new approaches to customer retention may seek to exercise greater power, and resistance, at the transitional period than they did previously. This can lead to a deterioration in standards of customer care.

Procedural resistance is the outcome of a clogging of the arteries of an organisation by outdated and burdensome policies, procedures and systems. A provider will develop over time customer retention policies and procedures which were designed to achieve specific objectives under certain

conditions. With the passage of time, both objectives and conditions may change, but the policies and procedures continue. These can then present serious blockages to effecting change. The longer established the organisation the more difficult will be the removal of this type of resistance. In extreme cases it may require a change of context such as from state to private ownership or vice versa.

Technical resistance is the easiest to identify although it may not be the easiest to remove. It has its foundations in inadequate and inappropriate technology. A particular problem in relation to changing customer retention practices may be too high an investment in what is now obsolescent technology which cannot easily be changed. Computer based reservation systems or cash dispensers which provided a lead in customer care, can within a decade or less become an anchor to moving on. Because of its obvious existence, technical resistance can be used as a screen to hide the less tangible blockages.

Whatever the nature of a resistance it has two dimensions, pervasiveness and depth. The former relates to the extent to which the blockage is spread across the organisation; the latter defines how far up and down the hierarchy it is to be found.

Some resistance to moving beyond current customer retention practices may be confined to one or two levels, but spread across the organisation, others may be restricted to a particular department, location or function, but extend from top to bottom. In all cases it is necessary to devise and implement a strategy for removing the resistance before new customer retention strategies can take hold.

The first step in strategy formulation is to determine which is the preferred route or routes along which one will move beyond customer care:

- Customer as carer
- Customer as resource
- Customer as change-driver
- Customer as experience-shaper

Whether it be one or all that beckons, it is necessary to determine the type and number of resistances likely to be encountered. Having identified these, an assessment then has

to be made of the pervasiveness and depth of each of the relevant points of resistance. Figure 10.1 provides a proforma to assist in such a strategic analysis.

Having determined the most strategically significant points of resistance, it is then necessary to define its implications for:

- (a) Care delivery processes
- (b) Provider competencies
- (c) Customer competencies
- (d) Costs
- (e) Competitiveness
- (f) Changes to be managed

Figure 10.2 outlines an approach to this which can be adapted for all types of resistance in relation to each mode of retention covered by the strategic plan. Finally, an action plan has to be derived from the preceding analysis. This should define, team by team or section by section, what has to be achieved in terms of:

- Structure
- Systems
- Roles
- Competencies
- Development and training.

Figure 10.3 shows one way of dealing with this final phase of strategic planning.

STRENGTHENING SYNERGISTIC RELATIONSHIPS

Synergistic relationships which improve customer retention will arise not only by fusing roles and functions within companies but with the emergence of national and transnational care alliances. Once again the process of mutation which we considered in Chapter 9 will create new forms of provider. Telecommunications giants will link with banks, entertainment companies will join producers of electronic products; retailers will ally themselves with food producers. These linkages will differ from the mergers of old.

Figure 10.1 Customer retention
Strategic analysis: 1

<i>Mode of retention</i>	<i>POTENTIAL RESISTANCE</i>						
	<i>Cultural</i>	<i>Educational</i>	<i>Legal</i>	<i>Perceptual</i>	<i>Political</i>	<i>Procedural</i>	<i>Technical</i>
Customer as carer							
Customer as resource							
Customer as change-driver							
Customer as experience-shaper							

Figure 10.2 Customer retention
Strategic analysis: 2

<i>Type of resistance (From strategic analysis 1)</i>	<i>IMPLICATION FOR</i>					
	<i>Care delivery processes</i>	<i>Provider competencies</i>	<i>Customer competencies</i>	<i>Costs</i>	<i>Competitiveness</i>	<i>Changes to be managed</i>
Cultural						
Educational						
Legal						
Perceptual						
Political						
Procedural						
Technical						

Figure 10.3 Customer retention
Strategic analysis: 3

<i>Changes required (From strategic analysis 2)</i>	<i>IMPLICATIONS FOR</i>					<i>Other</i>
	<i>Structure</i>	<i>Systems</i>	<i>Roles</i>	<i>Competencies</i>	<i>Development & training</i>	

In the 1960s airlines, perceiving themselves to be in the travel business rather than air transport, went on a spree of hotel buying and became involved in the development of resorts. Unfortunately, executive energies which should have been focused on running their airline were diverted to coping with hotel management. It took almost twenty years of turmoil and millions in shareholder funds to restore the situation where each party was able to concentrate on their distinctive competencies be it running hotels or managing an airline. Another abortive attempt at synergy occurred in the 1980s with what might be called the Princess and the Frog syndrome. Scandinavian Airlines (SAS) acquired well-merited publicity for its customer care programme. Some organisations such as British Airways copied it and emulated SAS's success. Others however, took a short cut becoming 'SAS Service Partners'. Providers of poor meals at airports, for example, appeared to believe that a kiss from Princess SAS would transform their state from a customer-repelling amphibian to a customer-attracting Prince of care. The failure of this and other instances of superficial image transfer would be testified to by consumers of salmonella sandwiches and other delicacies provided by airport caterers sporting the badge 'SAS Service Partner'.

For synergistic alliances to make any real impact on customer retention each of the partners must bring complementary strengths to the relationship which will add value for their joint customer. Thus the linkage of a bank and a telephone company can provide a better quality of home banking than would be available otherwise. One form of synergy which could be called 'cocooning' will increase; this occurs where a retailer sets up shop within another retailer. Post offices in supermarkets, fast food restaurants in department stores are typical examples.

But synergy, though it may raise standards of retention and extend care options, will not by itself transform the nature of customer loyalty. For that, symbiosis is necessary.

BUILDING SYMBIOTIC PARTNERSHIP

A symbiotic partnership exists where a number of conditions prevail:

- both partners are aware of their interdependency and are comfortable with it;
- each brings to the relationship complementary needs and the capacity to satisfy them in the other;
- there is a constant state of empathy between the partners;
- each strives to serve their own and their partner's needs in a climate of unselfishness and mutual respect.

For some, such a relationship may appear highly idealistic; for others it is a living reality called marriage.

In this book we are not attempting to create an ideal world. Unless *some* of the above characteristics exist to *some* degree in a provider–customer relationship, the chances of sustaining loyalty will be slim. As a first step, it can be helpful to work in teams using a Customer Retention Action Planning aid of the type illustrated in Figure 10.4 which was designed for a bank.

However sophisticated the analysis, it should provide, in relation to a customer segment or a major client, answers to the questions:

- What do customers want from us?
- Are they getting what they want?
- If not, what are we going to do about it?
- If so, what else can we do to keep the customer satisfied?

Answers to the last two questions will be found in earlier chapters. Whatever the specific needs, experience in consultancy on customer retention shows that there is usually scope for improvement in such areas as:

- (a) Designing
- (b) Delivering
- (c) Bundling
- (d) Educating
- (e) Installing
- (f) Repairing
- (g) Recovering

Designing the product to keep customers loyal at as many stages in the retention cycle (see page 91) as possible, calls for a blending of technical innovation, aesthetics and human

Figure 10.4 Customer retention action planning

Customer segment:
Approximate numbers:
Annual revenue generation:
Cost of servicing:

WHAT DO CUSTOMERS WANT FROM US?

Financial Needs and Expectations

How Well Met?

Marketing Needs and Expectations

How Well Met?

Administration Needs and Expectations

How Well Met?

Psychological Needs and Expectations

How Well Met?

Other Needs and Expectations

How Well Met?

Figure 10.4 Cont.

WHAT DO WE WANT FROM CUSTOMERS?

Financial Needs and Expectations

How Well Met?

Marketing Needs and Expectations

How Well Met?

Administration Needs and Expectations

How Well Met?

Psychological Needs and Expectations

How Well Met?

Other Needs and Expectations

How Well Met?

ACTION PLAN

ACTION

BY WHOM

BY WHEN

biology. Products and services retain their appeal if technology adds value at low cost, the appearance adapts, where customers require it, to changing fashion, and account is taken of the changing capabilities of the human body. Products which appear familiar but require less effort to operate will appeal to customers in old age; whereas the new and the challenging appeal at earlier life stages.

Delivery of products, and more particularly services, was considered in earlier chapters. The major shift here is the desire of the customer to add value by being involved in the delivery process as a resource or experience shaper.

Bundling together combinations of products and services, or unbundling them into discrete parts, personalises products and customises services which satisfy the just-for-me consumer. Be it combining hair dressing with video selection from a screen above the wash-basin, or choosing only a desert course in a restaurant, bundling, unbundling and mutation purchasing are powerful weapons in the competitive battlefield.

Educating customers, be it through at-a-glance operating instructions or heightening awareness of what it is or is not feasible to provide, will raise the comfort level of customers by managing their expectations and extending their capabilities. New approaches to joint provider-client training will play a key role in various industries in overcoming technofear and buttressing symbiotic partnerships.

Installing new equipment and systems can be a nightmare for sellers and customers alike. For the customer it means diverting time from other pursuits, suffering inconvenience and discomfort. While all negative aspects cannot be eliminated, techniques such as virtual reality can avoid costly changes of mind as to the preferred location for built-in furniture and fixed equipment. Round the clock installing service and the use of dust-removing, noise reducing equipment can all keep customers happier at times of installation and afterwards.

Repairing, like installing is a chore. Reducing that chore by easily replaceable components, speedy response and the offer of repair/replace options all contribute to higher levels of customer satisfaction.

Recovering is the service twin of product repairing. Putting right a lapse in service such as luggage lost by an airline,

overlooked wake-up calls in a hotel, or failure of the bridal car to arrive on time are all telescopic events. In other words, customers view them through one end of the telescope seeing them as gigantic errors; providers looking through the reverse lens see them as tiny mishaps. Little is to be gained by seeking a common focus; what the customer wants is restitution fast, taking account of psychic as well as economic damage. As mentioned in the Preface, there is growing evidence that customers who experience good examples of recovery are more loyal than those who never experienced a problem.

Exploring these and other opportunities for customer retention improvement will help to answer the question, 'What do customers want from us?' posed in the 'Customer Retention Analysis' on pages 283–4. But to complete that analysis and draw up an action plan there is another question to be answered: 'What do we want from our customers?'

The conventional responses, 'more sales', 'higher profits', 'less hassle' still hold true, but by themselves they are insufficient for a symbiotic partnership. For that to endure it is necessary to be clear as to what we want in terms of:

- (a) Recognising and sustaining reciprocal obligations.
- (b) Complementary internal resource capabilities.
- (c) Sharing values beyond immediate satisfaction and gain.
- (d) Shaping experiences which add value to the relationship.

How to encourage customers to give us what *we* want so we can give them what *they* want will not always be easy. Despite new technologies, attitudes, needs and expectations, customer retention will require the same mix of commitment and persistence that it always has. No matter how difficult may be the road ahead in marketing, reaching the chosen destination will be easier if we follow the signposts which head the last five chapters of this book:

- Not just caring but sharing
 - Not just receiving but resourcing
 - Not just value seeking but values searching
 - Not just shopping but shaping
 - Not just synergy but symbiosis
-

CONCLUSION

As we leave the century in which we were born, we leave behind outmoded concepts of the customer, marketing, loyalty and success. Change does not recognise calendars and we are already experiencing the impact of what will become twenty-first century realities.

The either/or customer of the past, forced to choose between competing options is transforming into the both/and customer demanding concurrent satisfaction of divergent needs. Marketing as a distinctive function is mutating into linked processes which mould human resourcing, finance, selling, manufacturing and transporting into new forms. Drivers become salespeople as well as transporters; sales representatives become client consultants; personnel executives become customer input managers. These are not trendy changes of labels but fundamental changes of role. Such role redefining is essential to match the changing roles of the customer as carer, resource, change-driver and experience-shaper.

Loyalty too takes on new meanings as does success. Whereas in the past customer loyalty owed as much to tradition and inertia as to sustained satisfaction, it is now determined by the added value companies provide economically, psychological and morally. Relations based on imbalanced dependency are shifting to partnerships of interdependency.

Success for companies must always be measured in terms of profit; where output does not exceed input, failure, waste and abuse of resources, human and otherwise are inevitable. Economic profit will therefore remain essential to success, but it will be linked to social, psychological and environmental balance sheets.

Finally, loyalty and success for any company will depend on enabling customers to satisfy their economic needs, realise their psychological aspirations and experience a sense of spiritual uplift. In other words, helping people to feel good about themselves.

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